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## Electronic Components | Japan

# Sep Q Preview: Looking to Confirm Sustained Competitive Advantages in Core Products

We estimate Sep Q OP for the 19 electronic component companies in our coverage +20.6% YoY and +15.0% QoQ. Strong AI/DC related demand likely to support continued profit growth at key names in the coming fiscal year.

## Key Takeaways

- Our Top Pick is Murata Mfg; we expect the strength of its high-value-added MLCCs will become even clearer.
- We see potential for guidance hikes along with Sep Q results from Ibiden, Minebea Mitsumi, TDK, Meiko, Hirose, Murata Mfg, and Nichicon.
- Market assessments appear bullish from bottom-up perspective, but increasingly somewhat cautious from a top-down view.

**We highlight potential upward revisions to longer-term outlooks at Murata Mfg and Ibiden, where AI/DC related product sales are rising:** Murata Mfg is our Top Pick, as we expect continued earnings growth from F3/28 supported by higher sales of high-value-added AI/DC products in growth driver MLCCs and further like-for-like price hikes. We expect the company to revise up its medium-term plan and capex budget at its Nov 30 IR Day event. For Ibiden, we are watching for upward revisions to not only F3/27 guidance but also its longer-term outlook from F3/28, as well as capex plans (including buildings) premised on upfront payments from customers.

**We expect guidance hikes at 7 of the 19 companies we cover:** We look for full-year guidance hikes along with Sep Q results announcements at Ibiden, Minebea Mitsumi, TDK, Meiko, Hirose, Murata Mfg, and Nichicon. For Meiko, we focus on whether it increases capex plans as well as raising F3/27 and medium-term earnings targets. For TDK, we are watching not only the size of the potential guidance hike but also comments on HDD industry restructuring and how it plans to develop its relationship with Taiyo Yuden over the longer term.

**Market appears positive in bottom-up terms, but increasingly a bit cautious from top-down perspective:** In discussions with institutional investors in Hong Kong and Singapore during Oct 12-16, we heard favorable outlooks from many investors regarding electronic component companies based on bottom-up assessments by product category etc, yet our impression was that a growing number of portfolio managers are more cautious regarding rising interest rates and other macro factors as well as valuations. After Sep Q results, we expect investors to focus not just on quarterly and full-year earnings, but also on valuations based on the sustainability of competitive advantages in core products over the longer term.


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**ELECTRONIC COMPONENTS**
**Japan**
Industry View **In-Line**

Earnings announcement schedule of electronic component coverage companies

| (JPY) | | Rating | Price | PT | Exp. Date | |
|---|---|---|---|---|---|---|
| | | | 26/10/20 | | Announce | Briefing |
| IBIDEN | 4062 | OW | 9,167 | 15,000 | 10/29 | 10/30 |
| NITERRA | 5334 | OW | 3,536 | 5,250 | 10/30 | 10/30 |
| MINEBEA MITSUMI | 6479 | EW | 3,260 | 4,300 | 11/6 | 11/6 |
| MABUCHI MOTOR | 6592 | EW | 1,731 | 1,750 | 11/2 | 11/2 |
| TDK | 6762 | OW | 2,834 | 4,000 | 10/30 | 10/30 |
| ALPS ALPINE | 6770 | EW | 2,091 | 2,450 | 10/30 | 10/30 |
| NIHON DEMPA KOGYO | 6779 | EW | 2,726 | 4,500 | 11/9 | 11/19 |
| MEIKO ELECTRONICS | 6787 | OW | 20,200 | 39,600 | 11/6 | 11/12 |
| HIROSE ELECTRIC | 6806 | OW | 23,900 | 32,600 | 11/4 | 11/5 |
| JAE | 6807 | EW | 2,658 | 2,700 | 10/28 | 10/28 |
| CMK | 6958 | EW | 754 | 920 | 11/4 | 11/9 |
| DAISHINKU | 6962 | UW | 730 | 650 | 11/12 | 12/2 |
| HAMAMATSU PHOTONICS | 6965 | EW | 2,085 | 2,500 | 11/10 | 11/11 |
| KYOCERA | 6971 | EW | 3,515 | 4,000 | 11/2 | 11/2 |
| TAIYO YUDEN | 6976 | EW | 9,095 | 10,500 | 11/5 | 11/5 |
| MURATA MANUFACTURING | 6981 | OW | 6,643 | 11,000 | 10/30 | 10/30 |
| NICHICON | 6996 | EW | 2,249 | 3,400 | 11/6 | 11/13 |
| NIPPON CHEMI-CON | 6997 | UW | 1,674 | 2,400 | 11/10 | 11/18 |
| KOA | 6999 | EW | 2,008 | 2,400 | 10/23 | 10/26 |

Electronic components coverage: OP forecasts

| (JPY bn) | | Next Q | | F26e | | F27e | | F28e | |
|---|---|---|---|---|---|---|---|---|---|
| | | MSe | FSe | MSe | FSe | MSe | FSe | MSe | FSe |
| IBIDEN | 4062 | 31.0 | 30.7 | 135.0 | 130.0 | 200.2 | 189.0 | 273.8 | 273.4 |
| NITERRA | 5334 | 24.5 | 30.1 | 142.9 | 152.5 | 172.0 | 185.4 | 198.1 | 219.0 |
| MINEBEA MITSUMI | 6479 | 29.7 | 31.8 | 124.6 | 125.7 | 138.2 | 144.3 | 155.1 | 164.1 |
| MABUCHI MOTOR | 6592 | 7.8 | 7.3 | 27.5 | 26.8 | 29.4 | 29.5 | 31.6 | 32.4 |
| TDK | 6762 | 107.1 | 108.8 | 360.4 | 348.8 | 400.7 | 412.6 | 454.0 | 482.9 |
| ALPS ALPINE | 6770 | 10.9 | 13.1 | 48.5 | 46.5 | 51.2 | 52.7 | 58.1 | 61.3 |
| NIHON DEMPA KOGYO | 6779 | 1.4 | 1.3 | 5.5 | 5.2 | 7.5 | 7.4 | 9.1 | 9.3 |
| MEIKO ELECTRONICS | 6787 | 9.6 | 9.3 | 39.3 | 42.7 | 59.4 | 59.2 | 74.6 | 77.5 |
| HIROSE ELECTRIC | 6806 | 14.4 | 14.3 | 55.3 | 54.0 | 62.4 | 62.4 | 67.8 | 71.6 |
| JAE | 6807 | 2.2 | 3.3 | 8.4 | 11.4 | 10.7 | 14.4 | 12.2 | 17.0 |
| CMK | 6958 | 1.2 | 1.1 | 5.1 | 5.5 | 5.8 | 7.0 | 6.7 | 8.0 |
| DAISHINKU | 6962 | 0.2 | 0.2 | 1.3 | 1.8 | 2.0 | 2.5 | 3.0 | 3.3 |
| HAMAMATSU PHOTONICS | 6965 | 7.0 | 6.0 | 23.4 | 21.2 | 26.2 | 24.8 | 31.8 | 31.7 |
| KYOCERA | 6971 | 39.4 | 27.4 | 165.3 | 163.7 | 171.5 | 188.9 | 184.5 | 223.4 |
| TAIYO YUDEN | 6976 | 12.6 | 12.5 | 45.1 | 44.9 | 66.1 | 79.3 | 83.8 | 119.4 |
| MURATA MANUFACTURING | 6981 | 125.0 | 130.9 | 490.8 | 471.0 | 702.6 | 685.5 | 891.0 | 910.5 |
| NICHICON | 6996 | 2.4 | 3.0 | 10.7 | 12.6 | 14.6 | 15.3 | 15.8 | 17.5 |
| NIPPON CHEMI-CON | 6997 | 1.5 | 1.9 | 7.5 | 8.5 | 8.6 | 11.5 | 9.8 | 13.9 |
| KOA | 6999 | 1.5 | 2.1 | 5.7 | 6.0 | 6.8 | 7.0 | 8.5 | 8.0 |
| Total | | 429.4 | 435.0 | 1,702.3 | 1,678.6 | 2,136.0 | 2,178.6 | 2,569.4 | 2,744.1 |

Hamamatsu FY ends in Sep, Mabuchi in Dec, MSe = Morgan Stanley Research estimates, FSe = FactSet Consensus; Source: FactSet, Morgan Stanley Research


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## AlphaSignals Earnings Preview

| Focus KPI | Focus KPI Surprise | Likely impact to consensus EPS* |
|---|---|---|

**Ibiden** 4062.T

| | | |
|---|---|---|
| F3/27 2Q OP and mid-to-long term guidance revision | ↑ Likely upside surprise | ↑ Modest revision higher |

- We forecast 2Q OP of ¥31.0bn (FS consensus: ¥30.7bn).
- We forecast F3/27 OP of ¥135.0bn (company guidance: ¥127.0bn; FS consensus: ¥130.0bn).
- We expect the company to raise its medium- to long-term outlook for F3/28 onward and announce new capex plans.

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**Niterra** 5334.T

| | | |
|---|---|---|
| F3/27 2Q OP and non-operating loss | — In-line | — Largely unchanged |

- We forecast 2Q OP of ¥24.5bn (FS consensus: ¥30.1bn), including ¥15.0bn in costs associated with the exit from Wells.
- We forecast a 2Q net loss of ¥32.8bn, including ¥49.1bn in non-operating financial expenses.
- We forecast F3/27 OP of ¥142.9bn (company guidance: ¥150.0bn; FS consensus: ¥152.5bn).

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**Minebea Mitsumi** 6479.T

| | | |
|---|---|---|
| F3/27 2Q OP and F3/27 guidance revision | — In-line | — Largely unchanged |

- We forecast 2Q OP of ¥29.7bn (FS consensus: ¥31.8bn).
- We forecast F3/27 OP of ¥124.6bn (company guidance: ¥120.0bn; FS consensus: ¥125.7bn).
- We expect the company to raise its F3/27 guidance.

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**Mabuchi Motor** 6592.T

| | | |
|---|---|---|
| F12/26 3Q OP | — In-line | — Largely unchanged |

- We forecast 3Q OP of ¥7.8bn (FS consensus: ¥7.3bn).
- We forecast F12/26 OP of ¥27.5bn (company guidance: ¥26.5bn; FS consensus: ¥26.8bn).

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**TDK** 6762.T

| | | |
|---|---|---|
| F3/27 2Q OP and F3/27 guidance revision | — In-line | ↑ Modest revision higher |

- We forecast 2Q OP of ¥107.1bn (FS consensus: ¥108.8bn).
- We forecast F3/27 OP of ¥360.4bn (company guidance: ¥295.0bn; FS consensus: ¥348.8bn).
- We expect the company to raise its F3/27 guidance.

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**ALPS ALPINE** 6770.T

| | | |
|---|---|---|
| F3/27 2Q OP | — In-line | — Largely unchanged |

- We forecast 2Q OP of ¥10.9bn (FS consensus: ¥13.1bn).
- We forecast F3/27 OP of ¥48.5bn (company guidance: ¥48.5bn; FS consensus: ¥46.5bn).

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**Nihon Dempa Kogyo** 6779.T

| | | |
|---|---|---|
| F3/27 2Q OP | — In-line | — Largely unchanged |

- We forecast 2Q OP of ¥1.4bn (company guidance: ¥1.3bn; FS consensus: ¥1.3bn).
- We forecast F3/27 OP of ¥5.5bn (company guidance: ¥5.2bn; FS consensus: ¥5.2bn).

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**Meiko Electronics** 6787.T

| | | |
|---|---|---|
| F3/27 2Q OP and mid-to-long term guidance revision | ↑ Likely upside surprise | ↑ Modest revision higher |

- We forecast F3/27 OP of ¥9.6bn (FS consensus: ¥9.3bn).
- We forecast F3/27 OP of ¥39.3bn (company guidance: ¥38.0bn; FS consensus: ¥42.7bn).
- We expect the company to raise its medium- to long-term outlook for F3/27 onward

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**Hirose Electric** 6806.T

| | | |
|---|---|---|
| F3/27 2Q OP and F3/27 guidance revision | — In-line | ↑ Modest revision higher |

- We forecast 2Q OP of ¥14.4bn (company guidance: ¥12.2bn; FS consensus: ¥14.3bn).
- We forecast F3/27 OP of ¥55.3bn (company guidance: ¥50.0bn; FS consensus: ¥54.0bn).
- We expect the company to raise its F3/27 guidance.

| Focus KPI | Focus KPI Surprise | Likely impact to consensus EPS* |
|---|---|---|

**Japan Aviation Electronics Industry** 6807.T

| | | |
|---|---|---|
| F3/27 2Q OP | ↓ Likely downside surprise | ↓ Meaningful revision lower |

- We forecast 2Q OP of ¥2.2bn (FS consensus: ¥3.3bn).
- We forecast F3/27 OP of ¥8.4bn (company guidance: ¥9.5bn; FS consensus: ¥11.4bn).

**CMK** 6958.T

| | | |
|---|---|---|
| F3/27 2Q OP | — In-line | ↑ Modest revision higher |

- We forecast 2Q OP of ¥1.2bn (FS consensus: ¥1.1bn).
- We forecast F3/27 OP of ¥5.1bn (company guidance: ¥5.0bn; FS consensus: ¥5.5bn).

**Daishinku** 6962.T

| | | |
|---|---|---|
| F3/27 2Q OP | ↓ Very likely downside surprise | ↓ Modest revision lower |

- We forecast 2Q OP of ¥0.2bn.
- We forecast F3/27 OP of ¥1.3bn (company guidance: ¥1.4bn; FS consensus: ¥1.8bn).

**Hamamatsu Photonics** 6965.T

| | | |
|---|---|---|
| F9/26 4Q OP and F9/27 guidance announcement | — In-line | — Largely unchanged |

- We forecast 4Q OP of ¥7.0bn (FS consensus: ¥6.0bn).
- We forecast F9/26 OP of ¥23.4bn (FS consensus: ¥21.2bn).

**Kyocera** 6971.T

| | | |
|---|---|---|
| F3/27 2Q OP | — In-line | — Largely unchanged |

- We forecast 2Q OP of ¥39.4bn (FS consensus: ¥27.4bn).
- We forecast F3/27 OP of ¥165.3bn (company guidance: ¥160.0bn; FS consensus: ¥163.7bn).

**Taiyo Yuden** 6976.T

| | | |
|---|---|---|
| F3/27 2Q OP | — In-line | — Largely unchanged |

- We forecast 2Q OP of ¥12.6bn (FS consensus: ¥12.5bn).
- We forecast F3/27 OP of ¥45.1bn (company guidance: ¥45.0bn; FS consensus: ¥44.9bn).

**Murata Manufacturing** 6981.T

| | | |
|---|---|---|
| F3/27 2Q OP, F3/27 guidance revision, and mid term guidance overview | — In-line | ↑ Modest revision higher |

- We forecast 2Q OP of ¥125.0bn (FS consensus: ¥130.9bn).
- We forecast F3/27 OP of ¥490.8bn (company guidance: ¥430.0bn; FS consensus: ¥471.0bn).
- We expect the company to raise its F3/27 guidance, followed by an upward revision to its mid-to-long term outlook and the announcement of new capex plans at its IR Day on Nov 30.

**Nichicon** 6996.T

| | | |
|---|---|---|
| F3/27 2Q OP and F3/27 guidance revision | ↑ Likely upside surprise | — Largely unchanged |

- We forecast 2Q OP of ¥2.4bn (FS consensus: ¥3.0bn).
- We forecast F3/27 OP of ¥10.7bn (company guidance: ¥8.7bn; FS consensus: ¥12.6bn).
- We expect the company to raise its F3/27 guidance.

**Nippon Chemi-Con** 6997.T

| | | |
|---|---|---|
| F3/27 2Q OP | — In-line | — Largely unchanged |

- We forecast 2Q OP of ¥1.5bn (FS consensus: ¥1.9bn).
- We forecast F3/27 OP of ¥7.5bn (company guidance: ¥8.0bn; FS consensus: ¥8.5bn).

**KOA** 6999.T

| | | |
|---|---|---|
| F3/27 2Q OP | — In-line | — Largely unchanged |

- We forecast 2Q OP of ¥1.5bn (FS consensus: ¥2.1bn).
- We forecast F3/27 OP of ¥5.7bn (company guidance: ¥5.4bn; FS consensus: ¥6.0bn).

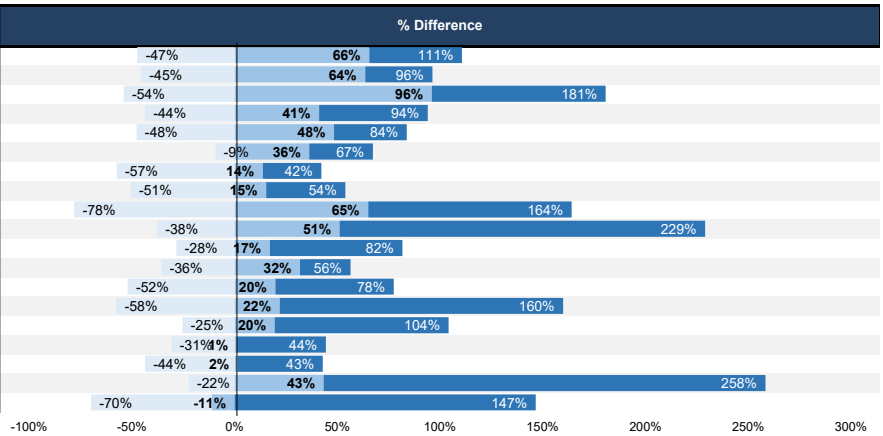
*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

*Mitsubishi UFJ Morgan Stanley Securities Co., Ltd. ("MUMSS") is acting as financial advisor to TOSHIBA CORPORATION ("TOSHIBA") in relation to the business integration of the semiconductor business of Toshiba Electronic Devices & Storage Corporation, a subsidiary of Toshiba, the semiconductor business of ROHM Co., Ltd. and Mitsubishi Electric Corporation's Power Devices as announced on March 27, 2026. The proposed transaction is subject to regulatory approvals and other customary closing conditions.*

# Risk-Reward, share price performance, Forecast ROE and P/B of 7 major electronic component companies

**Exhibit 1:** Electronic Components Industry: Gaps between recent share prices and PTs (base, bull, bear case fair value)

| | | Rating | Price 26/10/20 | Target Price Base | % Difference |
|---|---|---|---|---|---|
| MURATA MANUFACTURING | 6981 | Overweight | 6,643 | 11,000 | -47% 66% 111% |
| IBIDEN | 4062 | Overweight | 9,167 | 15,000 | -45% 64% 96% |
| MEIKO ELECTRONICS | 6787 | Overweight | 20,200 | 39,600 | -54% 96% 181% |
| TDK | 6762 | Overweight | 2,834 | 4,000 | -44% 41% 94% |
| NITERRA | 5334 | Overweight | 3,536 | 5,250 | -48% 48% 84% |
| HIROSE ELECTRIC | 6806 | Overweight | 23,900 | 32,600 | -9% 36% 67% |
| KYOCERA | 6971 | Equal-weight | 3,515 | 4,000 | -57% 14% 42% |
| TAIYO YUDEN | 6976 | Equal-weight | 9,095 | 10,500 | -51% 15% 54% |
| NIHON DEMPA KOGYO | 6779 | Equal-weight | 2,726 | 4,500 | -78% 65% 164% |
| NICHICON | 6996 | Equal-weight | 2,249 | 3,400 | -38% 51% 229% |
| ALPS ALPINE | 6770 | Equal-weight | 2,091 | 2,450 | -28% 17% 82% |
| MINEBEA MITSUMI | 6479 | Equal-weight | 3,260 | 4,300 | -36% 32% 56% |
| HAMAMATSU PHOTONICS | 6965 | Equal-weight | 2,085 | 2,500 | -52% 20% 78% |
| CMK | 6958 | Equal-weight | 754 | 920 | -58% 22% 160% |
| KOA | 6999 | Equal-weight | 2,008 | 2,400 | -25% 20% 104% |
| MABUCHI MOTOR | 6592 | Equal-weight | 1,731 | 1,750 | -31% 1% 44% |
| JAE | 6807 | Equal-weight | 2,658 | 2,700 | -44% 2% 43% |
| NIPPON CHEMI-CON | 6997 | Underweight | 1,674 | 2,400 | -22% 43% 258% |
| DAISHINKU | 6962 | Underweight | 730 | 650 | -70% -11% 147% |



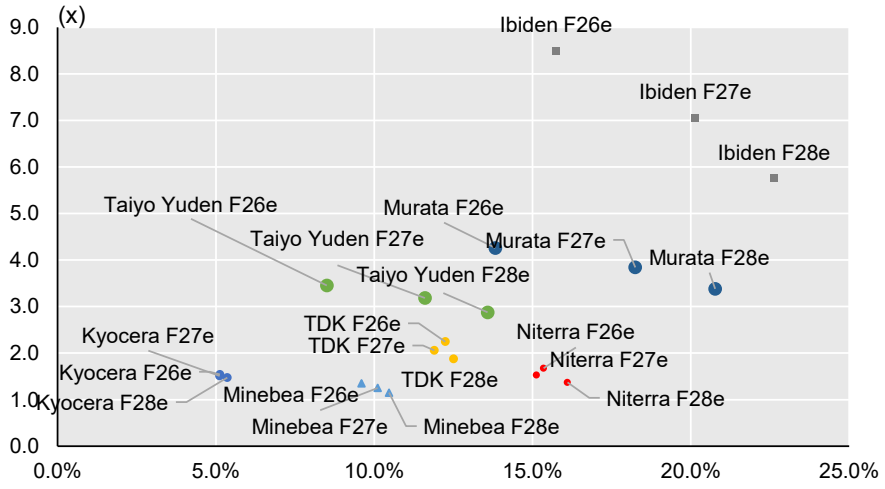

Source: FactSet, Morgan Stanley Research

**Exhibit 2:** Electronic component industry share price performance

| Rank | 2020 | | 2021 | | 2022 | | 2023 | | 2024 | | 2025 | | 2026 Based on 10/20 Closing Price | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 1 | IBIDEN | 85% | NIHON DEMPA KOGYO | 184% | NITERRA | 22% | CMK | 80% | MEIKO ELECTRONICS | 122% | IBIDEN | 182% | IBIDEN | 172% |
| 2 | NIDEC | 73% | MEIKO ELECTRONICS | 147% | KOA | 17% | MEIKO ELECTRONICS | 73% | TDK | 54% | TAIYO YUDEN | 56% | NIHON DEMPA KOGYO | 167% |
| 3 | DAISHINKU | 51% | DAISHINKU | 135% | ALPS ALPINE | 10% | IBIDEN | 63% | NITERRA | 52% | NICHICON | 49% | TAIYO YUDEN | 157% |
| 4 | TAIYO YUDEN | 44% | CMK | 72% | JAE | 6% | TDK | 55% | ALPS ALPINE | 31% | NIPPON CHEMI-CON | 49% | MURATA MANUFACTURING | 105% |
| 5 | MURATA MANUFACTURING | 38% | MINEBEA MITSUMI | 59% | MABUCHI MOTOR | -2% | JAE | 53% | TOPIX | 18% | KYOCERA | 39% | MEIKO ELECTRONICS | 89% |
| 6 | HAMAMATSU PHOTONICS | 31% | IBIDEN | 42% | IRISO ELECTRONICS | -2% | MINEBEA MITSUMI | 47% | HIROSE ELECTRIC | 17% | KOA | 38% | KYOCERA | 60% |
| 7 | TDK | 25% | TAIYO YUDEN | 37% | NICHICON | -3% | NITERRA | 37% | NIDEC | 0% | NITERRA | 36% | KOA | 46% |
| 8 | NIHON DEMPA KOGYO | 19% | JAE | 26% | TDK | -3% | MURATA MANUFACTURING | 36% | MABUCHI MOTOR | -4% | MABUCHI MOTOR | 28% | CMK | 44% |
| 9 | NICHICON | 14% | HAMAMATSU PHOTONICS | 24% | TOPIX | -5% | KYOCERA | 26% | JAE | -8% | MURATA MANUFACTURING | 27% | HIROSE ELECTRIC | 38% |
| 10 | HIROSE ELECTRIC | 12% | HIROSE ELECTRIC | 24% | KYOCERA | -9% | MABUCHI MOTOR | 25% | MINEBEA MITSUMI | -11% | ALPS ALPINE | 24% | NICHICON | 37% |
| 11 | MABUCHI MOTOR | 8% | NITERRA | 14% | NIPPON CHEMI-CON | -13% | TOPIX | 25% | MURATA MANUFACTURING | -14% | TOPIX | 22% | TDK | 28% |
| 12 | KOA | 8% | KYOCERA | 14% | NIHON DEMPA KOGYO | -13% | DAISHINKU | 24% | NICHICON | -15% | MINEBEA MITSUMI | 22% | DAISHINKU | 26% |
| 13 | TOPIX | 5% | TOPIX | 10% | HAMAMATSU PHOTONICS | -14% | NICHICON | 6% | KYOCERA | -23% | CMK | 21% | HAMAMATSU PHOTONICS | 25% |
| 14 | IRISO ELECTRONICS | -8% | KOA | 9% | HIROSE ELECTRIC | -14% | ALPS ALPINE | 3% | NIPPON CHEMI-CON | -26% | IRISO ELECTRONICS | 19% | MABUCHI MOTOR | 20% |
| 15 | MINEBEA MITSUMI | -10% | NIDEC | 4% | MURATA MANUFACTURING | -28% | TAIYO YUDEN | -3% | IRISO ELECTRONICS | -27% | NIHON DEMPA KOGYO | 17% | TOPIX | 18% |
| 16 | NIPPON CHEMI-CON | -13% | MURATA MANUFACTURING | -2% | IBIDEN | -30% | HIROSE ELECTRIC | -4% | NIHON DEMPA KOGYO | -31% | MEIKO ELECTRONICS | 16% | NIPPON CHEMI-CON | 15% |
| 17 | KYOCERA | -15% | NIPPON CHEMI-CON | -2% | CMK | -34% | HAMAMATSU PHOTONICS | -8% | DAISHINKU | -35% | TDK | 7% | JAE | 6% |
| 18 | NITERRA | -17% | IRISO ELECTRONICS | -3% | MINEBEA MITSUMI | -40% | IRISO ELECTRONICS | -13% | KOA | -36% | DAISHINKU | 3% | ALPS ALPINE | 5% |
| 19 | MEIKO ELECTRONICS | -22% | NICHICON | -3% | TAIYO YUDEN | -42% | NIPPON CHEMI-CON | -16% | IBIDEN | -39% | HAMAMATSU PHOTONICS | -6% | MINEBEA MITSUMI | 4% |
| 20 | JAE | -29% | TDK | -13% | NIDEC | -49% | NIDEC | -17% | HAMAMATSU PHOTONICS | -39% | HIROSE ELECTRIC | -8% | NITERRA | 3% |
| 21 | CMK | -40% | MABUCHI MOTOR | -15% | MEIKO ELECTRONICS | -49% | KOA | -18% | TAIYO YUDEN | -39% | JAE | -16% | IRISO ELECTRONICS | -17% |
| 22 | ALPS ALPINE | -46% | ALPS ALPINE | -20% | DAISHINKU | -55% | NIHON DEMPA KOGYO | -19% | CMK | -48% | NIDEC | -25% | NIDEC | -18% |

Source: FactSet

**Exhibit 3:** Forecast ROE and P/B of 7 major electronic component companies




Note: e=Morgan Stanley Research
Source: FacSet, Morgan Stanley Research

# Jul-Sep results preview

**Ibiden (4062.T):** We estimate 2Q OP of ¥31.0bn (guidance ¥27.6bn, consensus ¥30.7bn). We are forecasting a QoQ increase of ¥4.1bn because we expect electronics-related sales to be up ¥16.2bn, and think that Ibiden should be able to secure positive profit growth despite an estimated rise of ¥700mn in its overall depreciation and amortization costs.

**Niterra (5334.T):** We estimate 2Q OP of ¥24.5bn (guidance ¥30.2bn, consensus ¥30.1bn). Niterra invested ¥25.0bn in a JIP-managed fund established to take Toshiba private and additionally subscribed to ¥25.0bn of subordinated bonds issued by the JIP-led consortium. Niterra posted ¥19.0bn in financial income in F3/26 4Q and ¥99.5bn in F3/27 1Q. We believe that this financial income is mainly due to changes in the value of investments accompanying fluctuations in the share price of Kioxia Holdings. We estimate that Kioxia Holdings' share price dropped primarily because of the generation of ¥49.1bn in financial costs in 2Q. Niterra stands to post an operating loss of ¥15.0bn as a result of the withdrawal from Wells' business. However, we think this loss is likely to be tax deductible accompanying the corporate liquidation of Wells, and estimate this will push up NP in 2Q by ¥3.0bn.

**Minebea Mitsumi (6479.T):** We project 2Q OP of ¥29.7bn (consensus ¥31.8bn), for a QoQ rise of ¥3.4bn. We think profit is likely to increase on the back of a higher volume of mainstay miniature ball bearings in PT, as well as a higher volume of HDD spindle motors in MLS. In AS business, we also estimate that progress is being made in passing on higher materials costs to product prices, and that this will lead to increased profit.

**Mabuchi Motor (6592.T):** In 3Q, we expect OP to remain about flat QoQ at ¥7.8bn (consensus ¥7.3bn). We see motor production volume dropping from 341mn units in 2Q to 330mn units in 3Q, but motor shipment volume up QoQ in both automotive and life industry businesses. Thus, we are estimating that profit will remain about flat QoQ.

**TDK (6762.T):** In 2Q, we project OP at ¥107.1bn (consensus ¥108.8bn), up by ¥20.8bn QoQ. We expect the growth to be mainly due to rising seasonal sales of magnetic sensors, rechargeable batteries and inductors for North American smartphones, as well as continued growth in sales of HDD heads for STX and WDC.

**Alps Alpine (6770.T):** In 2Q, we estimate OP at ¥10.9bn (consensus ¥13.1bn), rising by ¥10.0bn QoQ. We expect components OP up ¥6.8bn QoQ to ¥9.6bn on the back of sales of new smartphone camera actuator products with high added value. We estimate mobility OP will increase ¥4.9bn QoQ to ¥1.9bn owing to rising recovery of development costs from clients.

**Nippon Dempa Kogyo (6779.T)**: In 2Q, we estimate OP will rise ¥200mn QoQ to ¥1.4bn (guidance ¥1.3bn). We forecast that higher marginal profit due to sales growth and a better product mix will more than offset the increase in labor costs (including one-time factors such as increases in base salary rates) and other rising costs such as write-off costs.

**Meiko Electronics (6787.T)**: In 2Q, we project that OP will be ¥9.6bn (up ¥3.5bn QoQ, consensus ¥9.3bn). The firm plans to hike prices by a total of 30% in Jul and Sep. In addition to contributing to a large QoQ sales increase of 23%, we think that these price

hikes could offset the effect of higher materials costs generated in 2Q. We forecast that that OP margin will recover to the 10% level, which is about the same as the same period of the previous year.

**Hirose Electric (6806.T):** In 2Q, we estimate that OP will be ¥14.4bn (up ¥1.1bn QoQ, consensus ¥14.3bn). On a QoQ basis, we estimate that yen appreciation from ¥159.5/$ to ¥155/$ stands to have a negative effect of about ¥400mn. Moreover, we estimate that costs such as depreciation and amortization costs and raw material costs will increase, but we forecast that the rise in marginal profit due to sales growth will exceed these cost increases. We project 1H OP of ¥27.7bn, quite a bit higher than the firm's estimate of ¥25.5bn which it released at the time of the 1Q results announcement. Thus, we believe that there is a lot of leeway for a further upward revision to the firm's plan which calls for full-term OP of ¥50.0bn.

**Japan Aviation Electronics (6807.T):** In 2Q, we estimate that OP will be ¥2.2bn (up ¥1.9bn QoQ, consensus ¥3.3bn). The main reasons why are forecasting a large QoQ increase in profit in 2Q are positive effects of price optimization for particular clients of slightly more than ¥1.0bn, and rising sales for aviation applications due to seasonal factors.

**CMK (6958.T):** We estimate 2Q OP at ¥1.2bn (up ¥800mn QoQ, consensus ¥1.1bn). We are QoQ jump mainly because, in addition to rising sales for Japanese Tier 1 systems, we assume SE Asia losses will drop ¥700mn accompanying higher operating rates in Thailand.

**Daishinku (6962.T):** We expect 2Q OP of ¥200mn (up ¥200mn QoQ). On a QoQ basis, we think the firm can offset the negative effects of yen appreciation and rising raw material costs through higher marginal profit and operating income accompanying sales growth, and thereby move into the black. However, we still only expect 2H OP of ¥200mn, and see considerable challenges for Daishinku to achieve its estimate for full-term OP of ¥1.4bn.

**Hamamatsu Photonics (6965.T):** In 4Q, we expect OP to reach ¥7.0bn (guidance ¥5.6bn, consensus ¥6.0bn). This would be an increase of ¥700mn from the previous quarter's profit of ¥6.3bn. At Hamamatsu, sales tend to decrease in 1Q and 3Q and rise in 2Q and 4Q for seasonal reasons, and we estimate that in 4Q this year earnings will be higher than in 3Q. However, while we believe earnings are on the recovery track, write-off costs for a new factory for optical semiconductors have risen and the posting of sales of image measuring devices has been delayed, so we do not expect OP to reach the ¥7.6bn posted for 2Q.

**Kyocera (6971.T):** In 2Q, we expect OP to drop ¥9.7bn QoQ to ¥39.4bn (consensus ¥27.4bn). While expecting profit to rise ¥2.1bn QoQ to ¥25.9bn in core components, we think profit in electronic components is likely to be down ¥2.8bn QoQ to ¥6.0bn owing to falling profits at KAVX, and in solutions is likely to drop ¥8.3bn QoQ to ¥22.0bn.

**Taiyo Yuden (6976.T)**: We estimate 2Q OP of ¥12.6bn (consensus ¥12.5bn), rising by ¥7.8bn QoQ from ¥4.8bn. We expect sales of MLCCs up 18.1% QoQ, operating rates to increase from 85% in 1Q to 95% in 2Q, and with sales of inductors for North American smartphones rising profit to show a significant increase over 1Q.

**Murata Manufacturing (6981.T):** We estimate that 2Q OP will be ¥125.0bn (consensus

¥130.9bn), rising by ¥26.6bn. Breaking this down segmentally, we estimate that components profit will expand ¥12.5bn QoQ to ¥126.0bn, and device & module profit by ¥13.9bn QoQ to ¥1.0bn. For components, we project that sales of MLCCs for AI and data center applications will continue to increase, the MLCC product mix will improve, and operating rates will keep rising. For device & module, we see sales for North American smartphone applications rising for seasonal reasons and these operations turning into the black. However, because production of North American smartphones is divided into fall models and spring models, we expect the contribution to profit of sales for North American smartphone applications to be limited.

**Nichicon (6996.T):** In 2Q, we project OP at ¥2.4bn (down ¥0.4bn QoQ, consensus ¥3.0bn). We expect capacitor sales to be up QoQ, but modest profit growth owing to continued effects from rising raw material costs. We also forecast that NECST profit will decline owing to the disappearance of positive effects of some high-margin projects in applied equipment which were posted as sales in 1Q. However, for 1H we forecast OP of ¥5.2bn, marking a good run-rate in relation to full-term guidance of ¥8.7bn, and thus believe there is a high probability that the firm will revise up its forecast.

**Nippon Chemi-Con (6997.T):** In 2Q we estimate OP at ¥1.5bn (down ¥200mn QoQ, guidance ¥1.3bn, consensus ¥1.9bn). While we expect sales up QoQ, we forecast OP will decline owing to the effect of rising raw material prices (for aluminum foil etc.), the negative impact of the shift to yen appreciation, and rising fixed costs. We forecast 1H OP of ¥3.2bn, but while our estimate is higher than the firm's forecast of ¥3.0bn, we think Nippon Chemi-Con will leave unchanged its full-term OP estimate of ¥8.0bn.

**KOA (6999.T):** In 2Q, we estimate that OP will reach ¥1.5bn (up ¥600mn QoQ, guidance ¥1.6bn, consensus ¥2.1bn). We forecast that profit will rise substantially QoQ in line with the firm's plan. This is because, in addition to sales growth, we think the impact of raw material costs – including the transfer of higher costs to product prices – is likely to be mild.

# We forecast earnings assuming ¥155/$ and ¥180/€

Our forecasts for Jul-Sep and beyond are based on our forex assumptions of ¥155/$ and ¥180/€. Based on each company's briefing, we estimate that a ¥1/$ fluctuation would result in an impact of ¥14.9bn (0.9% of FY26e OP) in total annual OP of our coverage. For companies with fiscal years ending in March, the average ¥/$ exchange rate was ¥112.3/$ in FY21, ¥135.4/$ in FY22, ¥144.5/$ in FY23, ¥152.5/$ in FY24, and ¥150.6/$ in FY25. For companies such as Murata, Hirose, Niterra that produce a high percentage of their core products in Japan and have a high percentage of sales denominated in foreign currencies, we expect a weaker yen/stronger dollar to boost profits and a stronger yen/weaker dollar to depress profits. In our view, the impact of FX on earnings of companies with a high ratio of overseas sales of module components, motors, and others is often unknown until the earnings of overseas subsidiaries is consolidated with that of the Japanese headquarters.

**Exhibit 4:** Sensitivity of OP to forex for coverage electronic components companies

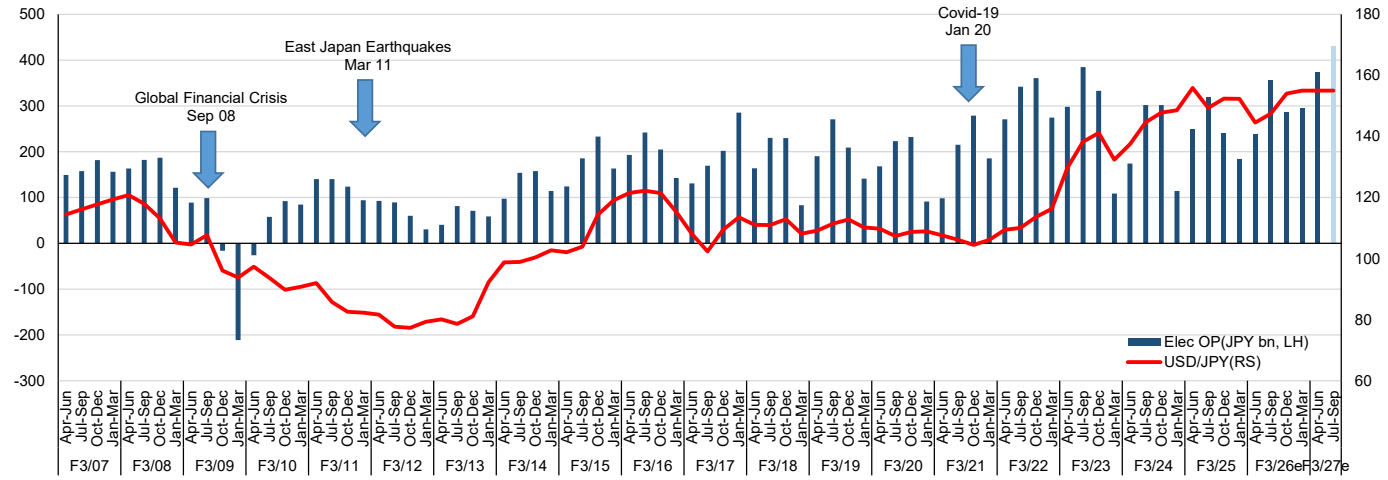
| | | F26e | FX assumption | (by company) | FX sensitivity (JPY bn/year) | Assumption:¥150/USD | | Assumption:¥160/USD | |
|---|---|---|---|---|---|---|---|---|---|
| | | OP (JPY bn) | USD/JPY | USD/JPY | USD/JPY | OP (JPY bn) | Change (%) | OP (JPY bn) | Change (%) |
| IBIDEN | 4062 | 135.0 | 155.0 | 150.0 | 0.8 | 131.0 | -3% | 139.0 | 3% |
| NITERRA | 5334 | 142.9 | 155.0 | 150.0 | 1.0 | 137.9 | -3% | 147.9 | 3% |
| MINEBEA MITSUMI | 6479 | 124.6 | 155.0 | 155.0 | 1.5 | 117.1 | -6% | 132.1 | 6% |
| MABUCHI MOTOR | 6592 | 27.5 | 155.0 | 150.0 | 0.3 | 26.0 | -5% | 29.0 | 5% |
| TDK | 6762 | 360.4 | 155.0 | 150.0 | 2.0 | 350.4 | -3% | 370.4 | 3% |
| ALPS ALPINE | 6770 | 48.5 | 155.0 | 150.0 | 1.2 | 42.5 | -12% | 54.5 | 12% |
| NIHON DEMPA KOGYO | 6779 | 5.5 | 155.0 | 150.0 | 0.1 | 5.1 | -7% | 5.9 | 7% |
| MEIKO ELECTRONICS | 6787 | 39.3 | 155.0 | 150.0 | 0.1 | 38.8 | -1% | 39.8 | 1% |
| HIROSE ELECTRIC | 6806 | 55.3 | 155.0 | 150.0 | 0.3 | 53.7 | -3% | 57.0 | 3% |
| JAE | 6807 | 8.4 | 155.0 | 153.0 | 0.3 | 6.9 | -18% | 9.9 | 18% |
| CMK | 6958 | 5.1 | 155.0 | 150.0 | 0.0 | 5.1 | 0% | 5.1 | 0% |
| DAISHINKU | 6962 | 1.3 | 155.0 | 150.0 | 0.1 | 1.0 | -19% | 1.5 | 19% |
| HAMAMATSU PHOTONICS | 6965 | 23.4 | 155.0 | 151.7 | 0.3 | 21.9 | -6% | 24.9 | 6% |
| KYOCERA | 6971 | 165.3 | 155.0 | 150.0 | 1.0 | 160.3 | -3% | 170.3 | 3% |
| TAIYO YUDEN | 6976 | 45.1 | 155.0 | 149.8 | 0.9 | 40.6 | -10% | 49.6 | 10% |
| MURATA MANUFACTURING | 6981 | 490.8 | 155.0 | 149.1 | 4.5 | 468.3 | -5% | 513.3 | 5% |
| NICHICON | 6996 | 10.7 | 155.0 | 145.0 | 0.1 | 10.2 | -5% | 11.3 | 5% |
| NIPPON CHEMI-CON | 6997 | 7.5 | 155.0 | 153.0 | 0.3 | 6.2 | -17% | 8.8 | 17% |
| KOA | 6999 | 5.7 | 150.0 | 157.0 | 0.1 | 5.7 | 0% | 6.9 | 21% |
| **Total** | | **1,702.3** | | | **14.9** | **1,628.6** | **-4%** | **1,777.1** | **4%** |

Note: e=Morgan Stanley Research estimates; Source: Company data, Morgan Stanley Research

## We expect combined OP for our coverage universe to rise 45% YoY in FY26 and rise 21% in Jul-Sep 2026

We forecast total OP for our coverage at ¥1.7023trn in FY26 (FactSet consensus ¥1.6786trn), up ¥526.0bn/44.7% from ¥1.1762trn in FY25. After OP declined for two straight years, from ¥1,261.5bn in FY21 (+58.0% YoY) to ¥1,098.2bn in FY22 (-12.9%) and ¥879.5bn in FY23 (-19.9%), it turned to growth in FY24 at ¥984.5bn (+11.9%) and ¥1,176.2bn in FY25 (+18.2%), and we expect the earnings growth to accelerate in FY26. We forecast total OP for our coverage in Jul-Sep at ¥429.4bn, up 20.6% from ¥373.5bn in Jul-Sep 2025 and up 15.0% from ¥365.1bn in Apr-Jun 2026.

## Exhibit 5: Total OP since the Global Financial Crisis




e=Morgan Stanley Research estimates; Source: FactSet, Morgan Stanley Research

## Exhibit 6: Sales and OP for electronic components companies

| (JPY bn) | | F25 1Q | 2Q | 3Q | 4Q | F26 1Q | 2Qe | 3Qe | 4Qe | F21 | F22 | F23 | F24 | F25 | F26e | F27e | F28e | F29e | F30e | F26Ce 1He | F26Ce 2He | F26Ce | F26e FSE | F27e FSE | F28e FSE | +1Q FSE |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Sales** | | | | | | | | | | | | | | | | | | | | | | | | | | |
| *USD/JPY:Average Rate* | | *144.5* | *147.5* | *154.0* | *156.9* | *159.5* | *159.2* | *155.0* | *155.0* | *112.4* | *135.4* | *144.5* | *152.5* | *150.6* | *155.0* | *155.0* | *155.0* | *155.0* | *155.0* | | | | | | | |
| IBIDEN | 4062 | 97.5 | 98.0 | 103.1 | 117.6 | 123.2 | 135.7 | 147.6 | 156.1 | 401.1 | 417.5 | 370.5 | 369.4 | 416.2 | 562.5 | 701.0 | 864.2 | 1,036.8 | 1,169.4 | 253.5 | 296.5 | 550.0 | 552.4 | 695.1 | 876.7 | 132.3 |
| NITERRA | 5334 | 169.9 | 181.2 | 174.9 | 205.2 | 203.7 | 194.2 | 197.9 | 197.7 | 491.7 | 562.6 | 614.5 | 653.0 | 731.2 | 793.5 | 816.6 | 878.3 | 945.9 | 1,020.0 | 391.0 | 399.0 | 790.0 | 801.4 | 848.6 | 946.5 | 200.1 |
| MINEBEA MITSUMI | 6479 | 366.9 | 411.4 | 453.9 | 432.2 | 426.6 | 432.0 | 451.7 | 423.7 | 1,124.1 | 1,292.2 | 1,402.1 | 1,522.7 | 1,664.4 | 1,733.9 | 1,780.7 | 1,855.0 | 1,927.4 | 2,003.8 | 846.5 | 843.5 | 1,690.0 | 1,738.7 | 1,825.2 | 1,906.5 | 447.5 |
| MABUCHI MOTOR | 6592 | 47.0 | 48.0 | 52.1 | 53.4 | 50.4 | 56.0 | 60.4 | 57.8 | 134.6 | 156.7 | 178.7 | 196.2 | 200.4 | 224.5 | 242.1 | 255.2 | 271.4 | 288.6 | 106.4 | 118.6 | 225.0 | 226.3 | 242.7 | 252.6 | 60.2 |
| TDK | 6762 | 535.8 | 647.6 | 675.2 | 646.3 | 741.0 | 790.2 | 785.4 | 755.2 | 1,902.1 | 2,180.8 | 2,103.9 | 2,204.8 | 2,504.8 | 3,071.8 | 3,360.5 | 3,667.4 | 4,007.9 | 4,384.8 | - | - | 2,580.0 | 2,960.5 | 3,198.3 | 3,452.8 | 789.7 |
| ALPS ALPINE | 6770 | 238.9 | 266.8 | 255.5 | 258.3 | 237.9 | 289.5 | 286.0 | 284.0 | 802.9 | 933.1 | 964.1 | 990.4 | 1,019.5 | 1,097.4 | 1,191.1 | 1,231.6 | 1,311.7 | 1,399.1 | 508.0 | 537.0 | 1,045.0 | 1,078.3 | 1,128.6 | 1,172.9 | 295.7 |
| NIHON DEMPA KOGYO | 6779 | 12.7 | 14.0 | 13.2 | 14.8 | 15.3 | 16.2 | 16.1 | 16.9 | 45.4 | 52.5 | 50.3 | 53.1 | 54.6 | 64.5 | 72.7 | 78.2 | 84.6 | 91.7 | 31.0 | 31.5 | 62.5 | 63.5 | 71.0 | 77.6 | 15.6 |
| MEIKO ELECTRONICS | 6787 | 53.1 | 58.4 | 60.5 | 68.5 | 73.2 | 87.9 | 97.2 | 103.2 | 151.3 | 167.3 | 179.5 | 206.8 | 240.6 | 361.5 | 475.4 | 555.4 | 646.8 | 750.1 | - | - | 320.0 | 350.9 | 446.4 | 526.3 | 80.2 |
| HIROSE ELECTRIC | 6806 | 49.0 | 53.1 | 54.5 | 54.7 | 62.1 | 64.9 | 65.6 | 64.0 | 163.7 | 183.2 | 165.5 | 189.4 | 211.3 | 256.6 | 276.9 | 298.6 | 322.5 | 348.7 | 125.0 | 125.0 | 250.0 | 251.1 | 271.0 | 293.1 | 64.4 |
| JAE | 6807 | 51.6 | 58.8 | 56.3 | 61.1 | 58.3 | 62.8 | 61.9 | 65.9 | 225.1 | 235.9 | 225.8 | 221.6 | 227.9 | 248.9 | 256.0 | 272.2 | 285.1 | 298.8 | 120.0 | 120.0 | 240.0 | 244.1 | 254.0 | 268.0 | 62.7 |
| CMK | 6958 | 22.8 | 24.4 | 25.8 | 27.2 | 27.2 | 28.0 | 28.5 | 28.6 | 81.5 | 83.8 | 90.6 | 95.5 | 100.2 | 112.3 | 116.2 | 120.7 | 125.9 | 131.6 | - | - | 110.0 | 113.6 | 119.6 | 125.4 | 27.8 |
| DAISHINKU | 6962 | 9.4 | 10.2 | 10.0 | 10.0 | 10.6 | 10.9 | 11.2 | 11.1 | 41.3 | 38.4 | 39.3 | 38.6 | 39.6 | 43.8 | 46.2 | 49.5 | 52.8 | 56.3 | - | - | 41.0 | 42.5 | 44.5 | 47.0 | 10.9 |
| HAMAMATSU PHOTONICS | 6965 | 50.6 | 56.2 | 48.7 | 56.6 | 51.9 | 60.6 | 60.5 | 63.9 | 169.0 | 208.8 | 221.4 | 204.0 | 212.1 | 236.9 | 245.5 | 265.2 | 287.0 | 311.1 | 112.5 | 126.5 | 239.0 | 235.9 | 251.6 | 272.4 | 65.5 |
| KYOCERA | 6971 | 478.0 | 513.3 | 530.6 | 548.2 | 525.4 | 520.0 | 512.5 | 521.0 | 1,838.9 | 2,025.3 | 2,004.2 | 2,014.5 | 2,070.2 | 2,078.9 | 2,174.9 | 2,273.1 | 2,418.5 | 2,573.4 | - | - | 2,080.0 | 2,117.3 | 2,207.3 | 2,330.9 | 527.6 |
| TAIYO YUDEN | 6976 | 84.8 | 92.8 | 88.5 | 89.2 | 93.9 | 110.1 | 113.0 | 111.8 | 349.6 | 319.5 | 322.6 | 341.4 | 355.3 | 428.7 | 486.0 | 558.4 | 630.0 | 686.6 | - | - | 424.0 | 416.5 | 479.2 | 559.1 | 108.0 |
| MURATA MANUFACTURING | 6981 | 416.2 | 486.6 | 467.5 | 460.6 | 502.3 | 574.5 | 565.8 | 552.0 | 1,812.5 | 1,686.8 | 1,640.2 | 1,743.4 | 1,830.9 | 2,194.6 | 2,628.3 | 3,104.1 | 3,682.2 | 4,348.3 | 1,040.0 | 1,070.0 | 2,110.0 | 2,161.7 | 2,560.1 | 2,998.7 | 553.9 |
| NICHICON | 6996 | 39.6 | 41.1 | 43.5 | 45.5 | 44.7 | 44.8 | 48.3 | 49.9 | 142.2 | 184.7 | 181.6 | 175.8 | 169.7 | 187.7 | 200.6 | 207.4 | 214.3 | 222.0 | - | - | 185.0 | 190.2 | 205.9 | 224.7 | 46.6 |
| NIPPON CHEMI-CON | 6997 | 30.9 | 33.4 | 35.9 | 36.7 | 38.0 | 38.4 | 38.5 | 38.9 | 140.3 | 161.9 | 150.7 | 122.7 | 136.8 | 153.8 | 154.9 | 157.5 | 159.3 | 161.6 | 77.0 | 83.0 | 160.0 | 159.6 | 171.0 | 177.6 | 38.9 |
| KOA | 6999 | 16.8 | 17.8 | 18.5 | 19.2 | 20.9 | 22.6 | 23.0 | 23.0 | 65.0 | 75.1 | 64.8 | 64.1 | 72.3 | 89.5 | 94.2 | 100.1 | 106.4 | 113.1 | 43.0 | 44.3 | 87.3 | 89.7 | 94.6 | 100.1 | 23.1 |
| **Total** | | **2,771.4** | **3,113.2** | **3,168.3** | **3,205.0** | **3,306.4** | **3,539.3** | **3,571.1** | **3,524.6** | **10,082.4** | **10,966.2** | **10,970.4** | **11,407.4** | **12,257.9** | **13,941.4** | **15,319.8** | **16,792.1** | **18,516.7** | **20,359.0** | **-** | **-** | **13,188.8** | **13,794.2** | **15,114.7** | **16,608.8** | **3,550.8** |

| (JPY bn) | | F25 1Q | 2Q | 3Q | 4Q | F26 1Q | 2Qe | 3Qe | 4Qe | F21 | F22 | F23 | F24 | F25 | F26e | F27e | F28e | F29e | F30e | F26Ce 1He | F26Ce 2He | F26Ce | F26e FSE | F27e FSE | F28e FSE | +1Q FSE |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **OP** | | | | | | | | | | | | | | | | | | | | | | | | | | |
| *USD/JPY:Average Rate* | | *144.5* | *147.5* | *154.0* | *156.9* | *159.5* | *159.2* | *155.0* | *155.0* | *112.4* | *135.4* | *144.5* | *152.5* | *150.6* | *155.0* | *155.0* | *155.0* | *155.0* | *155.0* | | | | | | | |
| IBIDEN | 4062 | 17.6 | 14.9 | 12.0 | 17.5 | 26.9 | 31.0 | 38.3 | 38.8 | 70.8 | 72.4 | 47.6 | 47.6 | 62.0 | 135.0 | 200.2 | 273.8 | 349.8 | 407.9 | 54.5 | 72.5 | 127.0 | 130.0 | 189.0 | 273.4 | 30.7 |
| NITERRA | 5334 | 33.8 | 38.1 | 38.9 | 27.3 | 41.8 | 24.5 | 40.9 | 35.6 | 75.5 | 89.2 | 107.6 | 129.7 | 138.2 | 142.9 | 172.0 | 198.1 | 224.6 | 253.4 | 72.0 | 78.0 | 150.0 | 152.5 | 185.4 | 219.0 | 30.1 |
| MINEBEA MITSUMI | 6479 | 17.4 | 27.0 | 31.3 | 28.3 | 26.3 | 29.7 | 34.1 | 34.5 | 90.3 | 76.5 | 69.0 | 91.6 | 102.7 | 124.6 | 138.2 | 155.1 | 170.9 | 187.9 | 53.0 | 67.0 | 120.0 | 125.7 | 144.3 | 164.1 | 31.8 |
| MABUCHI MOTOR | 6592 | 6.4 | 5.7 | 7.4 | 5.9 | 5.4 | 7.8 | 7.8 | 6.6 | 13.8 | 10.8 | 15.5 | 21.6 | 25.5 | 27.5 | 29.4 | 31.6 | 34.6 | 38.3 | 13.1 | 13.4 | 26.5 | 26.8 | 29.5 | 32.4 | 7.3 |
| TDK | 6762 | 56.4 | 91.2 | 83.1 | 41.7 | 86.3 | 107.1 | 93.1 | 73.9 | 166.8 | 168.8 | 172.9 | 224.2 | 272.4 | 360.4 | 400.7 | 454.0 | 502.4 | 565.4 | - | - | 295.0 | 348.8 | 412.6 | 482.9 | 108.8 |
| ALPS ALPINE | 6770 | 3.7 | 17.5 | 12.0 | 8.8 | -0.9 | 10.9 | 13.1 | 25.5 | 35.2 | 33.6 | 19.7 | 34.1 | 42.0 | 48.5 | 51.2 | 58.1 | 68.1 | 78.7 | 9.0 | 39.5 | 48.5 | 46.5 | 52.7 | 61.3 | 13.1 |
| NIHON DEMPA KOGYO | 6779 | 0.8 | 0.7 | 0.8 | 1.2 | 1.2 | 1.4 | 1.3 | 1.6 | 5.2 | 8.3 | 4.3 | 4.6 | 3.4 | 5.5 | 7.5 | 9.1 | 10.5 | 12.3 | 2.5 | 2.7 | 5.2 | 5.2 | 7.4 | 9.3 | 1.3 |
| MEIKO ELECTRONICS | 6787 | 5.6 | 5.8 | 6.1 | 7.1 | 6.1 | 9.6 | 11.2 | 12.4 | 13.3 | 9.6 | 11.7 | 19.1 | 24.6 | 39.3 | 59.4 | 74.6 | 93.5 | 115.2 | - | - | 38.0 | 42.7 | 59.2 | 77.5 | 9.3 |
| HIROSE ELECTRIC | 6806 | 9.8 | 10.6 | 12.0 | 10.5 | 13.3 | 14.4 | 14.7 | 12.9 | 40.8 | 46.8 | 34.0 | 42.7 | 43.0 | 55.3 | 62.4 | 67.8 | 74.0 | 81.1 | 25.5 | 24.5 | 50.0 | 54.0 | 62.4 | 71.6 | 14.3 |
| JAE | 6807 | 1.5 | 3.3 | 1.2 | 3.0 | 0.3 | 2.2 | 1.8 | 4.1 | 18.0 | 17.6 | 14.4 | 15.6 | 8.9 | 8.4 | 10.7 | 12.2 | 13.4 | 14.7 | 3.8 | 5.7 | 9.5 | 11.4 | 14.4 | 17.0 | 3.3 |
| CMK | 6958 | 0.2 | 0.3 | 0.9 | 1.5 | 0.4 | 1.2 | 1.7 | 1.8 | 3.0 | 2.6 | 3.5 | 3.8 | 2.8 | 5.1 | 5.8 | 6.7 | 7.1 | 8.4 | - | - | 5.0 | 5.5 | 7.0 | 8.0 | 1.1 |
| DAISHINKU | 6962 | 0.1 | 0.1 | 0.3 | 0.6 | 0.0 | 0.2 | 0.6 | 0.5 | 5.2 | 4.2 | 2.1 | 0.9 | 1.1 | 1.3 | 2.0 | 3.0 | 3.9 | 4.8 | - | - | 1.4 | 1.8 | 2.5 | 3.3 | 0.2 |
| HAMAMATSU PHOTONICS | 6965 | 4.3 | 6.5 | 1.5 | 3.9 | 2.4 | 7.6 | 6.3 | 7.0 | 34.3 | 57.0 | 56.7 | 32.1 | 16.2 | 23.4 | 26.2 | 31.8 | 38.8 | 43.8 | 10.0 | 12.0 | 22.0 | 21.2 | 24.8 | 31.7 | 6.0 |
| KYOCERA | 6971 | 18.6 | 23.4 | 28.7 | 47.5 | 49.1 | 39.4 | 39.4 | 37.4 | 148.9 | 128.5 | 92.9 | 27.3 | 118.1 | 165.3 | 171.5 | 184.5 | 212.1 | 249.6 | - | - | 160.0 | 163.7 | 188.9 | 223.4 | 27.4 |
| TAIYO YUDEN | 6976 | 3.1 | 5.9 | 7.5 | 3.5 | 4.8 | 12.6 | 14.1 | 13.6 | 68.2 | 32.0 | 9.1 | 10.5 | 20.0 | 45.1 | 66.1 | 83.8 | 98.3 | 107.7 | - | - | 45.0 | 44.9 | 79.3 | 119.4 | 12.5 |
| MURATA MANUFACTURING | 6981 | 61.6 | 103.5 | 37.9 | 78.8 | 98.5 | 125.0 | 134.5 | 132.8 | 424.1 | 297.9 | 215.4 | 279.7 | 281.8 | 490.8 | 702.6 | 891.0 | 1,112.0 | 1,350.6 | 202.0 | 228.0 | 430.0 | 471.0 | 685.5 | 910.5 | 130.9 |
| NICHICON | 6996 | 0.7 | 0.8 | 2.3 | 2.6 | 2.8 | 2.4 | 2.5 | 3.0 | 6.4 | 12.7 | 8.9 | 5.2 | 6.5 | 10.7 | 14.6 | 15.8 | 16.7 | 17.6 | - | - | 8.7 | 12.6 | 15.3 | 17.5 | 3.0 |
| NIPPON CHEMI-CON | 6997 | 0.2 | 0.8 | 1.0 | 1.4 | 1.7 | 1.5 | 1.8 | 2.5 | 8.8 | 12.9 | 9.4 | 3.7 | 3.4 | 7.5 | 8.6 | 9.8 | 10.4 | 10.3 | 3.0 | 5.0 | 8.0 | 8.5 | 11.5 | 13.9 | 1.9 |
| KOA | 6999 | 0.5 | 0.8 | 1.8 | 0.5 | 0.9 | 1.5 | 1.6 | 1.7 | 5.7 | 10.2 | 3.3 | 1.2 | 3.6 | 5.7 | 6.8 | 8.5 | 9.2 | 9.9 | 2.5 | 2.8 | 5.4 | 6.0 | 7.0 | 8.0 | 2.1 |
| **Total** | | **242.3** | **357.0** | **286.6** | **291.5** | **367.2** | **430.0** | **458.7** | **446.3** | **1,234.3** | **1,091.6** | **898.1** | **995.2** | **1,176.2** | **1,702.3** | **2,136.0** | **2,569.4** | **3,050.0** | **3,557.5** | **-** | **-** | **1,555.2** | **1,678.6** | **2,178.6** | **2,744.1** | **435.0** |

Note: Fiscal year for Hamamatsu ends in Sep, Mabuchi ends in Dec, e=Morgan Stanley Research estimates, FSE = FactSet consensus estimate; we show MSe for coverage companies with consensus data missing;
Source: Company data, FactSet, Morgan Stanley Research

## Exhibit 7: Current valuation comparisons

| | | Rating | Price | Mkt Capt | Net F.Asset | EV | P/E | | | | | Ex. Cash P/E | | | | | P/B | | | | | ROE | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | 26/10/20 | (JPY bn) | (JPY bn) | (JPY bn) | F26e | F27e | F28e | F29e | F30e | F26e | F27e | F28e | F29e | F30e | F26e | F27e | F28e | F29e | F30e | F26e | F27e | F28e | F29e | F30e |
| IBIDEN | 4062 | Overweight | 9,167 | 5,189.2 | 135.5 | 5,053.7 | 58.2 | 38.7 | 28.2 | 22.1 | 19.0 | 54.4 | 36.1 | 26.4 | 20.7 | 17.7 | 8.5 | 7.1 | 5.8 | 4.7 | 3.8 | 15.7% | 20.1% | 22.6% | 23.5% | 22.3% |
| NITERRA | 5334 | Overweight | 3,536 | 1,406.7 | 26.8 | 1,379.9 | 11.3 | 10.4 | 8.9 | 7.6 | 6.8 | 11.3 | 10.8 | 9.4 | 8.3 | 7.4 | 1.7 | 1.5 | 1.4 | 1.2 | 1.1 | 15.3% | 15.1% | 16.1% | 16.7% | 17.2% |
| MINEBEA MITSUMI | 6479 | Equal-weight | 3,260 | 1,320.1 | -227.5 | 1,547.6 | 14.6 | 12.9 | 11.5 | 10.4 | 9.5 | 17.3 | 15.2 | 13.5 | 12.3 | 11.2 | 1.4 | 1.3 | 1.2 | 1.1 | 1.0 | 9.6% | 10.1% | 10.5% | 10.6% | 10.7% |
| MABUCHI MOTOR | 6592 | Equal-weight | 1,731 | 445.9 | 146.8 | 299.1 | 17.4 | 15.4 | 16.0 | 14.6 | 13.4 | 12.3 | 11.3 | 11.8 | 10.8 | 9.9 | 1.3 | 1.3 | 1.3 | 1.4 | 1.4 | 7.4% | 8.3% | 8.2% | 9.3% | 10.4% |
| TDK | 6762 | Overweight | 2,834 | 5,378.1 | 525.9 | 4,852.1 | 19.2 | 18.0 | 15.7 | 14.1 | 12.5 | 17.3 | 16.3 | 14.1 | 12.8 | 11.3 | 2.2 | 2.1 | 1.9 | 1.7 | 1.6 | 12.2% | 11.9% | 12.5% | 12.6% | 13.0% |
| ALPS ALPINE | 6770 | Equal-weight | 2,091 | 409.9 | 129.0 | 280.9 | 12.5 | 11.1 | 9.8 | 8.4 | 7.3 | 8.6 | 7.7 | 6.8 | 5.8 | 5.0 | 0.9 | 0.8 | 0.8 | 0.7 | 0.7 | 7.2% | 7.6% | 8.2% | 9.1% | 9.8% |
| NIHON DEMPA KOGYO | 6779 | Equal-weight | 2,726 | 60.0 | -16.4 | 76.3 | 18.2 | 13.9 | 11.2 | 9.6 | 8.2 | 22.2 | 17.0 | 13.6 | 11.7 | 10.0 | 1.8 | 1.6 | 1.5 | 1.3 | 1.2 | 10.3% | 12.4% | 13.8% | 14.3% | 14.9% |
| MEIKO ELECTRONICS | 6787 | Overweight | 20,200 | 519.8 | -92.6 | 612.4 | 18.7 | 14.0 | 10.9 | 8.5 | 6.8 | 22.1 | 16.5 | 12.9 | 10.1 | 8.0 | 3.4 | 2.8 | 2.3 | 1.9 | 1.5 | 19.2% | 22.0% | 23.1% | 24.1% | 24.5% |
| HIROSE ELECTRIC | 6806 | Overweight | 23,900 | 757.6 | 225.5 | 532.1 | 20.2 | 16.3 | 14.8 | 13.3 | 12.0 | 13.8 | 11.4 | 10.6 | 9.7 | 8.9 | 2.0 | 1.9 | 1.8 | 1.7 | 1.6 | 10.2% | 12.1% | 12.6% | 13.1% | 13.5% |
| JAE | 6807 | Equal-weight | 2,658 | 183.3 | 10.1 | 173.3 | 35.8 | 23.9 | 20.8 | 19.1 | 17.4 | 34.7 | 23.1 | 20.1 | 18.4 | 16.8 | 1.2 | 1.2 | 1.2 | 1.1 | 1.1 | 3.5% | 5.1% | 5.7% | 6.0% | 6.3% |
| CMK | 6958 | Equal-weight | 754 | 50.9 | -22.8 | 73.7 | 18.0 | 17.3 | 14.5 | 13.4 | 11.0 | 24.7 | 23.8 | 19.9 | 18.4 | 15.0 | 0.6 | 0.6 | 0.6 | 0.6 | 0.6 | 3.6% | 3.7% | 4.3% | 4.6% | 5.5% |
| DAISHINKU | 6962 | Underweight | 730 | 23.2 | -17.2 | 40.4 | - | 38.7 | 17.9 | 11.6 | 8.9 | - | 67.4 | 31.1 | 20.2 | 15.6 | 0.6 | 0.7 | 0.6 | 0.6 | 0.6 | 0.0% | 1.7% | 3.6% | 5.5% | 6.8% |
| HAMAMATSU PHOTONICS | 6965 | Equal-weight | 2,085 | 644.2 | 31.0 | 613.2 | 34.6 | 28.8 | 23.7 | 19.4 | 17.0 | 35.1 | 29.9 | 25.1 | 20.9 | 18.7 | 2.0 | 2.0 | 2.0 | 1.9 | 1.8 | 5.6% | 6.8% | 8.2% | 9.9% | 11.0% |
| KYOCERA | 6971 | Equal-weight | 3,515 | 4,630.2 | 1,797.8 | 2,832.4 | 27.1 | 26.5 | 23.9 | 24.3 | 20.0 | 16.9 | 17.9 | 17.6 | 18.0 | 15.3 | 1.5 | 1.5 | 1.5 | 1.4 | 1.4 | 5.1% | 5.1% | 5.4% | 5.3% | 6.2% |
| TAIYO YUDEN | 6976 | Equal-weight | 9,095 | 1,209.0 | -71.1 | 1,280.2 | 41.7 | 28.6 | 22.3 | 18.9 | 17.2 | 42.6 | 29.2 | 22.8 | 19.3 | 17.5 | 3.5 | 3.2 | 2.9 | 2.6 | 2.3 | 8.5% | 11.6% | 13.6% | 14.4% | 14.2% |
| MURATA MANUFACTURING | 6981 | Overweight | 6,643 | 12,252.2 | 663.0 | 11,589.2 | 31.4 | 22.0 | 17.2 | 13.7 | 11.2 | 30.2 | 21.5 | 17.0 | 13.7 | 11.3 | 4.3 | 3.8 | 3.4 | 2.9 | 2.4 | 13.8% | 18.2% | 20.8% | 22.6% | 23.4% |
| NICHICON | 6996 | Equal-weight | 2,249 | 152.4 | -0.3 | 152.7 | 19.5 | 15.0 | 13.9 | 13.0 | 12.3 | 19.8 | 15.6 | 14.4 | 13.5 | 12.8 | 1.2 | 1.1 | 1.1 | 1.0 | 1.0 | 6.4% | 7.8% | 8.0% | 8.0% | 7.9% |
| NIPPON CHEMI-CON | 6997 | Underweight | 1,674 | 46.8 | -48.7 | 95.5 | 12.5 | 10.0 | 8.3 | 7.6 | 7.6 | 26.0 | 20.8 | 17.4 | 15.9 | 15.9 | 0.7 | 0.7 | 0.6 | 0.6 | 0.5 | 5.7% | 6.7% | 7.6% | 7.8% | 7.3% |
| KOA | 6999 | Equal-weight | 2,008 | 68.2 | -6.6 | 74.8 | 9.4 | 19.1 | 14.6 | 13.3 | 12.2 | 9.4 | 19.2 | 14.7 | 13.4 | 12.3 | 0.8 | 0.8 | 0.8 | 0.8 | 0.7 | 9.0% | 4.4% | 5.6% | 5.9% | 6.2% |
| **Average (or total)** | | | | **34,747.7** | | **31,559.5** | **23.3** | **20.0** | **16.0** | **13.8** | **12.1** | **23.3** | **21.6** | **16.8** | **14.4** | **12.7** | **2.1** | **1.9** | **1.7** | **1.5** | **1.4** | **8.9%** | **10.0%** | **11.1%** | **11.8%** | **12.2%** |

Note: Fiscal year for Hamamatsu ends in Sep, Mabuchi ends in Dec, e=Morgan Stanley Research estimates
Source: FactSet, Morgan Stanley Research

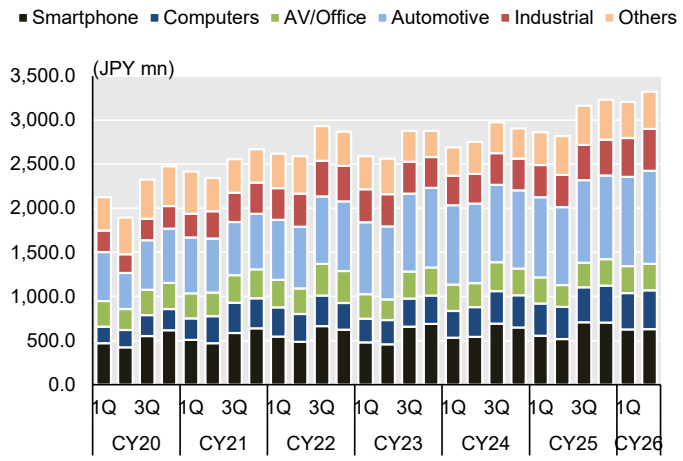
# Trends by application and summary of forecasts

**Exhibit 8:** End-product market and major components market (calendar year)

| (mn units) | 2012 | 2013 | 2014 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026e | 2027e |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Server** | **8.7** | **9.0** | **9.2** | **9.7** | **9.6** | **10.2** | **11.8** | **11.8** | **12.7** | **13.5** | **14.9** | **12.4** | **14.5** | **16.4** | **19.9** | **21.9** |
| YoY % Change | 0% | 3% | 3% | 5% | -2% | 7% | 16% | 0% | 7% | 7% | 10% | -17% | 17% | 13% | 21% | 10% |
| **PC** | **346.1** | **311.8** | **304.7** | **272.1** | **256.2** | **261.3** | **260.2** | **267.5** | **306.6** | **353.6** | **293.8** | **253.2** | **261.6** | **288.5** | **254.8** | **245.8** |
| YoY % Change | -4% | -10% | -2% | -11% | -6% | 2% | 0% | 3% | 15% | 15% | -17% | -14% | 3% | 10% | -12% | -4% |
| **Desktop** | **146.0** | **134.2** | **131.3** | **110.7** | **100.8** | **100.8** | **96.0** | **95.9** | **85.8** | **95.8** | **85.7** | **72.2** | **73.0** | **83.6** | **74.5** | **72.7** |
| YoY % Change | -4% | -8% | -2% | -16% | -9% | 0% | -5% | 0% | -11% | 12% | -11% | -16% | 1% | 15% | -11% | -2% |
| **Notebook** | **200.1** | **177.5** | **173.4** | **161.4** | **155.4** | **160.5** | **164.1** | **171.6** | **220.8** | **257.7** | **208.1** | **181.0** | **188.6** | **204.9** | **180.3** | **173.0** |
| YoY % Change | -4% | -11% | -2% | -7% | -4% | 3% | 2% | 5% | 29% | 17% | -19% | -13% | 4% | 9% | -12% | -4% |
| **Smartphone** | **726.7** | **1,018.7** | **1,301.5** | **1,437.6** | **1,469.5** | **1,465.3** | **1,402.5** | **1,372.6** | **1,281.2** | **1,359.8** | **1,206.2** | **1,165.5** | **1,237.5** | **1,267.7** | **1,104.2** | **1,143.7** |
| YoY % Change | 47% | 40% | 28% | 10% | 2% | 0% | -4% | -2% | -7% | 6% | -11% | -3% | 6% | 2% | -13% | 4% |
| **5G smartphone** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** | **16.1** | **255.3** | **559.5** | **636.8** | **703.4** | **814.6** | **893.1** | **838.3** | **910.1** |
| YoY % Change | - | - | - | - | - | - | - | - | 1485% | 119% | 14% | 10% | 16% | 10% | -6% | 9% |
| **iPhone** | **135.9** | **153.5** | **192.7** | **231.5** | **215.4** | **215.8** | **204.9** | **199.3** | **203.4** | **235.8** | **226.7** | **235.6** | **234.3** | **251.7** | **245.4** | **259.0** |
| YoY % Change | 46% | 13% | 26% | 20% | -7% | 0% | -5% | -3% | 2% | 16% | -4% | 4% | -1% | 7% | -2% | 6% |
| **HDD** | **578.0** | **551.9** | **564.1** | **468.8** | **423.9** | **403.1** | **375.4** | **317.7** | **260.0** | **259.3** | **172.2** | **122.3** | **123.9** | **123.8** | **130.4** | **125.2** |
| YoY % Change | -7% | -5% | 2% | -17% | -10% | -5% | -7% | -15% | -18% | 0% | -34% | -29% | 1% | 0% | 5% | -4% |
| Enterprise | 33.2 | 31.8 | 32.4 | 32.1 | 24.8 | 22.6 | 21.5 | 17.4 | 12.9 | 13.4 | 8.6 | 5.8 | 4.4 | 3.2 | 2.7 | 1.9 |
| NL | 28.1 | 35.5 | 36.9 | 37.2 | 41.0 | 42.4 | 51.3 | 52.7 | 59.1 | 73.5 | 61.5 | 39.4 | 58.6 | 67.6 | 76.4 | 78.6 |
| 3.5"ATA | 216.2 | 203.2 | 202.6 | 161.0 | 142.9 | 135.4 | 120.5 | 103.9 | 87.0 | 89.9 | 55.0 | 45.2 | 35.6 | 30.9 | 31.5 | 27.5 |
| 2.5" | 298.7 | 280.7 | 291.7 | 238.6 | 215.1 | 202.7 | 182.0 | 143.6 | 101.0 | 82.5 | 46.3 | 32.0 | 25.3 | 22.0 | 19.8 | 17.3 |
| **Global Light vehicle sales** | **75.0** | **78.2** | **81.4** | **83.5** | **92.3** | **94.4** | **93.9** | **89.9** | **77.2** | **80.3** | **79.0** | **86.7** | **88.7** | **91.9** | **90.5** | **93.6** |
| YoY % Change | 5% | 4% | 4% | 3% | 11% | 2% | -1% | -4% | -14% | 4% | -2% | 10% | 2% | 4% | -2% | 3% |
| **ICE** | | | | **83.5** | **91.8** | **93.7** | **92.6** | **88.5** | **75.1** | **75.2** | **71.0** | **76.5** | **77.3** | **77.8** | **74.7** | **75.1** |
| YoY % Change | | | | | 10% | 2% | -1% | -4% | -15% | 0% | -6% | 8% | 1% | 1% | -4% | 1% |
| **EV** | | | | **-** | **0.5** | **0.7** | **1.3** | **1.4** | **2.1** | **5.1** | **8.0** | **10.2** | **11.4** | **14.1** | **15.8** | **18.5** |
| YoY % Change | | | | | | 40% | 86% | 8% | 50% | 143% | 57% | 28% | 12% | 24% | 12% | 17% |

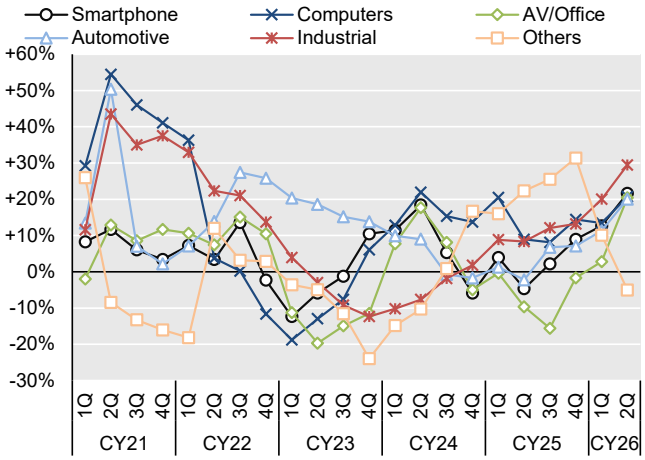
Note: e=Morgan Stanley Research estimates
Source: Morgan Stanley Research

**Exhibit 9:** Total sales by major applications for our coverage




Note: Apps classification is based on our assumption
Source: Company data, Morgan Stanley Research

**Exhibit 10:** Total sales YoY by major applications for our coverage




Note: Apps classification is based on our assumption
Source: Company data, Morgan Stanley Research

**Exhibit 11:**

Our OP forecasts vs. FactSet consensus

| (JPY bn) | | Next Q | | F26e | | F27e | | F28e | |
|---|---|---|---|---|---|---|---|---|---|
| | | MSe | FSe | MSe | FSe | MSe | FSe | MSe | FSe |
| IBIDEN | 4062 | 31.0 | 30.7 | 135.0 | 130.0 | 200.2 | 189.0 | 273.8 | 273.4 |
| NITERRA | 5334 | 24.5 | 30.1 | 142.9 | 152.5 | 172.0 | 185.4 | 198.1 | 219.0 |
| MINEBEA MITSUMI | 6479 | 29.7 | 31.8 | 124.6 | 125.7 | 138.2 | 144.3 | 155.1 | 164.1 |
| MABUCHI MOTOR | 6592 | 7.8 | 7.3 | 27.5 | 26.8 | 29.4 | 29.5 | 31.6 | 32.4 |
| TDK | 6762 | 107.1 | 108.8 | 360.4 | 348.8 | 400.7 | 412.6 | 454.0 | 482.9 |
| ALPS ALPINE | 6770 | 10.9 | 13.1 | 48.5 | 46.5 | 51.2 | 52.7 | 58.1 | 61.3 |
| NIHON DEMPA KOGYO | 6779 | 1.4 | 1.3 | 5.5 | 5.2 | 7.5 | 7.4 | 9.1 | 9.3 |
| MEIKO ELECTRONICS | 6787 | 9.6 | 9.3 | 39.3 | 42.7 | 59.4 | 59.2 | 74.6 | 77.5 |
| HIROSE ELECTRIC | 6806 | 14.4 | 14.3 | 55.3 | 54.0 | 62.4 | 62.4 | 67.8 | 71.6 |
| JAE | 6807 | 2.2 | 3.3 | 8.4 | 11.4 | 10.7 | 14.4 | 12.2 | 17.0 |
| CMK | 6958 | 1.2 | 1.1 | 5.1 | 5.5 | 5.8 | 7.0 | 6.7 | 8.0 |
| DAISHINKU | 6962 | 0.2 | 0.2 | 1.3 | 1.8 | 2.0 | 2.5 | 3.0 | 3.3 |
| HAMAMATSU PHOTONICS | 6965 | 7.0 | 6.0 | 23.4 | 21.2 | 26.2 | 24.8 | 31.8 | 31.7 |
| KYOCERA | 6971 | 39.4 | 27.4 | 165.3 | 163.7 | 171.5 | 188.9 | 184.5 | 223.4 |
| TAIYO YUDEN | 6976 | 12.6 | 12.5 | 45.1 | 44.9 | 66.1 | 79.3 | 83.8 | 119.4 |
| MURATA MANUFACTURING | 6981 | 125.0 | 130.9 | 490.8 | 471.0 | 702.6 | 685.5 | 891.0 | 910.5 |
| NICHICON | 6996 | 2.4 | 3.0 | 10.7 | 12.6 | 14.6 | 15.3 | 15.8 | 17.5 |
| NIPPON CHEMI-CON | 6997 | 1.5 | 1.9 | 7.5 | 8.5 | 8.6 | 11.5 | 9.8 | 13.9 |
| KOA | 6999 | 1.5 | 2.1 | 5.7 | 6.0 | 6.8 | 7.0 | 8.5 | 8.0 |
| **Total** | | **429.4** | **435.0** | **1,702.3** | **1,678.6** | **2,136.0** | **2,178.6** | **2,569.4** | **2,744.1** |

Note: Fiscal year for Hamamatsu ends in Sep, Mabuchi ends in Dec, e=Morgan Stanley Research estimates, FSe = FactSet consensus; Showing MSe for coverages with missing consensus data
Source: Company data, FactSet, Morgan Stanley Research

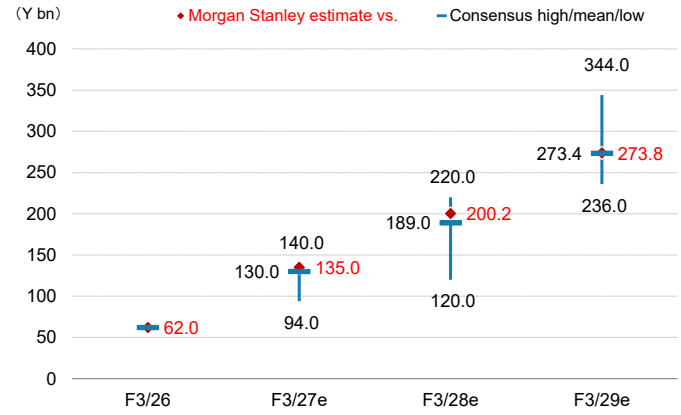
# Key points underlying our earnings outlook

## Ibiden (4062, OW, PT ¥15,000)

We estimate F3/27 OP at ¥135.0bn (guidance ¥127.0bn, FactSet consensus: ¥130.0bn), with the ¥73.0bn YoY growth mainly because we expect electronics business up by ¥70.0bn YoY to ¥115.3bn. This projected YoY jump results mainly from: (1) sales of ABF package substrates to NVIDIA are expanding accompanying rising unit prices and the switch in NVIDIA's core products from Blackwell to Rubin; and (2) profit margins have improved as a result of price normalization in transactions with Intel, and higher operating rates. We estimate unit prices for ABF package substrates for use with Rubin about double that for Blackwell. F3/28 OP is likely to reach ¥200.2bn (guidance ¥150.0bn, consensus ¥189.0bn). We estimate profit up ¥65.2bn YoY mainly because we expect electronics to rise by ¥64.3bn YoY to ¥179.7bn. In this business, average unit prices of ABF package substrates for NVIDIA and Intel continue to rise. Moreover, because of rising procurement volume of T-Glass/CCLs and higher production volume at the Ohno plant, we forecast sales of ABF packages rising 36% YoY to ¥139.7bn. We expect Ibiden will be able to secure profit growth even as depreciation & amortization costs rise an estimated ¥14.1bn YoY from ¥81.4bn in F3/27 to ¥95.5bn in F3/28.

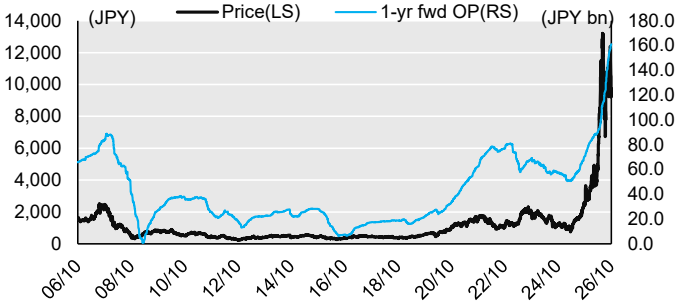
We estimate 2Q OP of ¥31.0bn (guidance ¥27.6bn, consensus ¥30.7bn). We are forecasting a QoQ increase of ¥4.1bn because we expect electronics-related sales to be up ¥16.2bn, and think that Ibiden should be able to secure positive profit growth despite an estimated rise of ¥700mn in its overall depreciation and amortization costs.

**Exhibit12:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit13:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

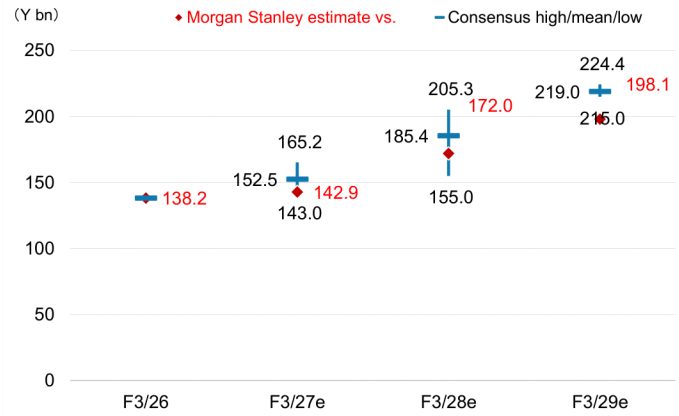
## Niterra (5334, OW, PT ¥5,250)

We project F3/27 OP at ¥142.9bn (guidance ¥150.0bn, consensus ¥152.5bn). Breaking down our expected YoY increase in profit of ¥4.7bn, we see OP in automobile-related business up by ¥700mn and in component solutions business up ¥11.8bn. Automotive-related business stands to generate a one-time cost in 2Q of ¥15.0bn as a result of withdrawal by Niterra's fully owned US subsidiary Wells from the auto parts field and the sale of some operations. However, prices for plugs in the replacement market continue to rise and profits are expanding. Moreover, regarding exhaust gas sensors, sales of oxygen

sensors for motorcycles are increasing, and we estimate that profits from exhaust gas sensors will be up. In component solutions business, we see profits rising on the back of higher earnings from electrostatic chucks for semiconductor production equipment, and think losses in the medical division are likely to decrease. We estimate that in F3/28 OP will be ¥172.0bn (consensus ¥185.4bn). In terms of the breakdown of our expected YoY rise in profit of ¥29.1bn, we expect profit in the automotive-related business to be up by ¥24.6bn and profit in component solutions to increase ¥4.2bn. In automotive-related business, the one-time cost of ¥15.0bn accompanying the withdrawal by Wells from a business field in F3/27 stands to disappear. Moreover, profits from plugs sold on the replacement market should continue to grow, and we expect sales of factory installed plugs and exhaust gas sensors to rise gradually.

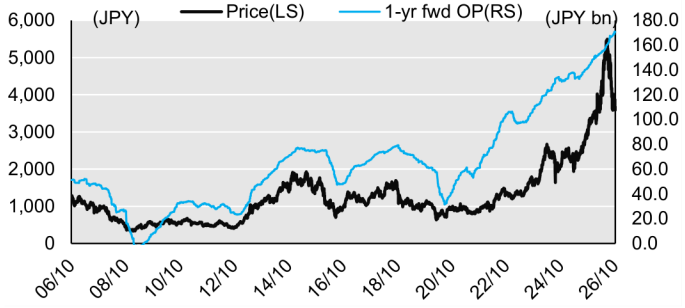
Niterra invested ¥25.0bn in a JIP-managed fund established to take Toshiba private and additionally subscribed to ¥25.0bn of subordinated bonds issued by the JIP-led consortium. Niterra posted ¥19.0bn in financial income in F3/26 4Q and ¥99.5bn in F3/27 1Q. We believe that this financial income is mainly due to changes in the value of investments accompanying fluctuations in the share price of Kioxia Holdings. We estimate that Kioxia Holdings' share price dropped primarily because of the generation of ¥49.1bn in financial costs in 2Q. Niterra stands to post an operating loss of ¥15.0bn as a result of the withdrawal from Wells' business. However, we think this loss is likely to be tax deductible accompanying the corporate liquidation of Wells, and estimate this will push up NP in 2Q by ¥3.0bn.

**Exhibit14:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit15:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

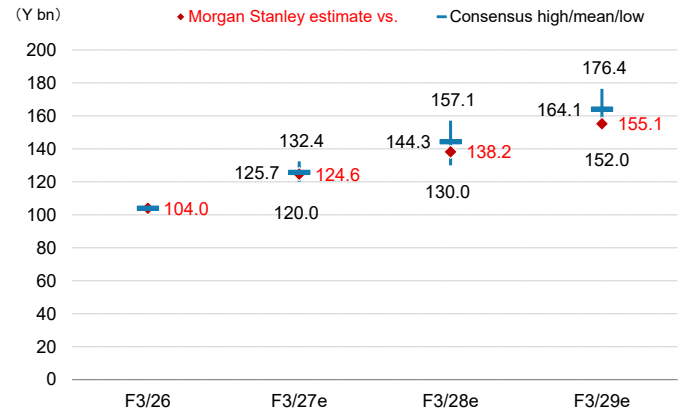
**Minebea Mitsumi (6479, EW, PT ¥4,300)**

We forecast F3/27 OP at ¥124.6bn (guidance ¥120.0bn, consensus ¥125.7bn). We project profit up ¥20.6bn YoY because profit is likely to grow in all 4 segments. The precision technologies business group (PT), the mainstay product of which is miniature ball bearings, continues to see brisk demand for miniature ball bearings for data center fan motors and other uses. The mainstay product of the motor, lighting and sensing division (MLS) is motors. In this segment, sales are favorable for HDD spindle motors, and sales of automotive motors also seem likely to expand. We estimate F3/28 OP up by ¥13.6bn YoY to ¥138.2bn (consensus ¥144.3bn). In addition to continued expansion in sales of ball bearings and motors, production of high-added value camera actuators in the semiconductors & electronics division's (SE) has gotten on track and should contribute to

profit growth. In semiconductors, we believe the Shiga plant has returned to the black, which should benefit profits.

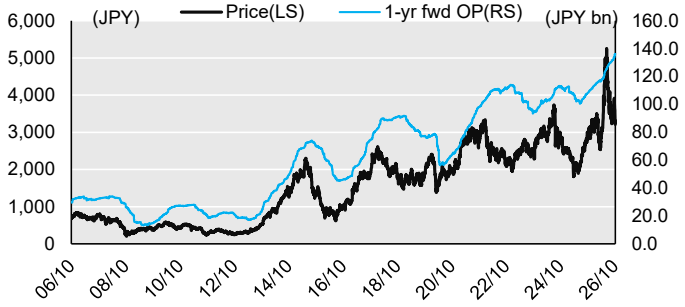
We project 2Q OP of ¥29.7bn (consensus ¥31.8bn), for a QoQ rise of ¥3.4bn. We think profit is likely to increase on the back of a higher volume of mainstay miniature ball bearings in PT, as well as a higher volume of HDD spindle motors in MLS. In AS business, we also estimate that progress is being made in passing on higher materials costs to product prices, and that this will lead to increased profit.

**Exhibit16:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit17:** 1-year forward consensus OP and share price



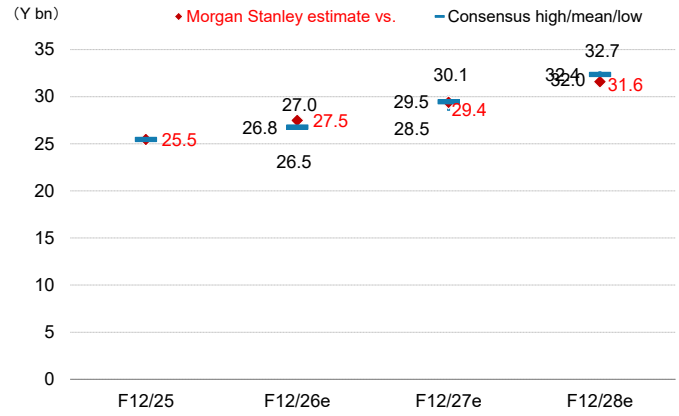

Note: Consensus is based on FactSet; Source: FactSet

**Mabuchi Motor (6592, EW, PT ¥1,750)**

We estimate F12/26 OP at ¥27.5bn (guidance ¥26.5bn, consensus ¥26.8bn). While labor costs continue to rise, there has been no major change in total labor costs owing to manpower reductions. After making a comparison with the effect that restructuring in Poland and other locations have had on improving earnings, we estimate the profitability improvements (including staffing reductions) and effect of restructuring will offset rising labor and other costs. Thus, we forecast that OP up by ¥2.0bn YoY. For F12/27, we estimate OP of ¥29.4bn (consensus ¥29.5bn). We think Mabuchi's profits are likely to continue to rise, owing to higher production and shipment volumes of automotive motors, growth in share for products such as motors for power windows and power seats, and improvements in profitability at acquired companies.

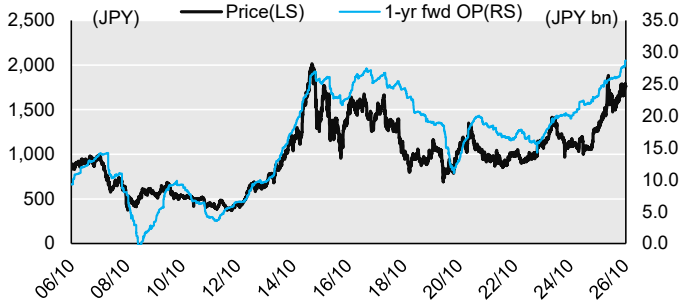
In 3Q, we expect OP to remain about flat QoQ at ¥7.8bn (consensus ¥7.3bn). We see motor production volume dropping from 341mn units in 2Q to 330mn units in 3Q, but motor shipment volume up QoQ in both automotive and life industry businesses. Thus, we are estimating that profit will remain about flat QoQ.

**Exhibit18:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit19:** 1-year forward consensus OP and share price



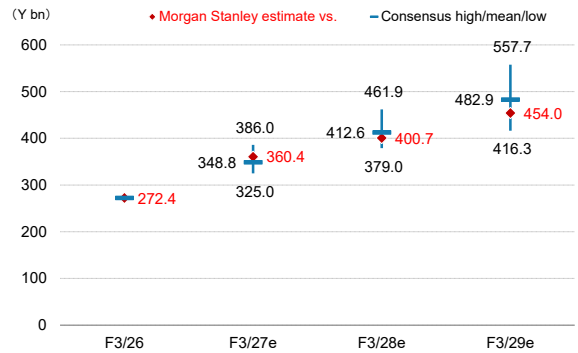

Note: Consensus is based on FactSet; Source: FactSet

**TDK (6762, OW, PT ¥4,000)**

We forecast F3/27 OP up by ¥88.0bn YoY to ¥360.4bn (guidance ¥295.0bn, consensus ¥348.8bn), broken down by segment as follows. In passive components, we forecast ¥72.5bn, up by ¥30.7bn YoY owing to growth in sales of mainstay products such as MLCCs, aluminum electrolytic capacitors (AECs), and inductors, not only for automotive use but also for AI and data centers. In sensors, we forecast profit at ¥32.6bn, up by ¥11.8bn as MEMS sensor business settles into the black, and temperature and pressure sensors, etc, show improvement. For magnetic application products, we peg OP up by ¥25.6bn to ¥52.6bn, mainly because of rising sales of HDD heads and suspensions. For energy business, we estimate OP at ¥271.1bn, for a rise of ¥24.5bn. We attribute this growth to rising sales of rechargeable batteries with high added value and non recurrence of ¥7.1bn in costs related to restructuring of TDK's power supply business. In F3/28, we forecast OP at ¥400.7bn (consensus ¥412.6bn), up by ¥40.3bn YoY. We expect all 4 segments to register profit growth. However, we expect that the greatest effects will be seen with rising sales of and improved productivity for MLCCs, AECs and inductors in passive components, plus continued improvements in MEMS sensors in sensors.

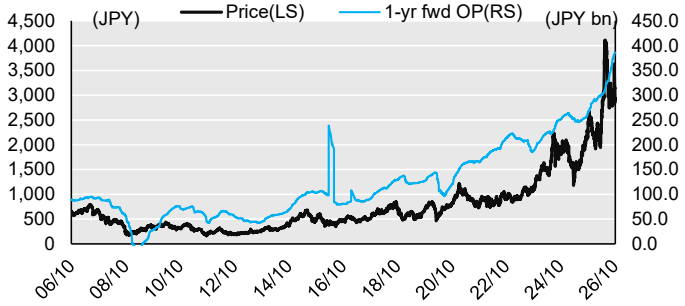
In 2Q, we project OP at ¥107.1bn (consensus ¥108.8bn), up by ¥20.8bn QoQ. We expect the growth to be mainly due to rising seasonal sales of magnetic sensors, rechargeable batteries and inductors for North American smartphones, as well as continued growth in sales of HDD heads for STX and WDC.

**Exhibit20:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit21:** 1-year forward consensus OP and share price



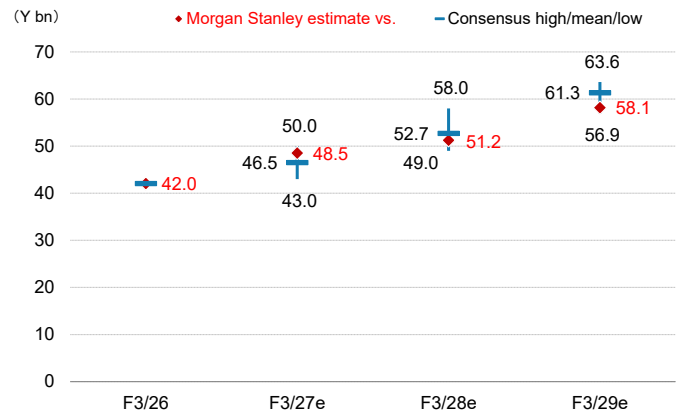

Note: Consensus is based on FactSet; Source: FactSet

**Alps Alpine (6770, EW, PT ¥2,450)**

We estimate F3/27 OP will be up by ¥6.5bn YoY to ¥48.5bn (guidance ¥48.5bn, consensus ¥46.5bn), broken down by segment as follows. (1) We think the component business is likely to post OP of ¥31.0bn, with profit rising by ¥1.5bn on the back of higher sales of camera actuators for smartphones, although profit is likely to fall for switches used for smartphones and games owing to higher material costs. (2) For sensor & communications business, we expect losses to shrink, owing to posting of sales of digital key systems and lower development costs; however, we think the business is still likely to post a loss of ¥900mn. (3) For mobility, we forecast OP of ¥18.7bn, with profit rising by ¥3.4bn; extensions of new projects stand to have an impact, but Alps Alpine also stands to receive about ¥10.0bn in compensation in 4Q accompanying the halt of projects by a particular client. We estimate F3/28 OP at ¥51.2bn (guidance ¥67.5bn, consensus ¥52.7bn), up by ¥2.7bn YoY. In components, we think profit is likely to be up by ¥5.3bn owing to factors such as the stabilization of production of high-added-value camera actuators for North American smartphones. We also project that sensor & communications will return to the black with a profit of ¥2.0bn. For mobility, we expect sales of cabin domain controllers to be up ¥34.0bn YoY, but profit to be down ¥5.6bn owing to the disappearance of compensation received for the halt of clients development projects in the previous business year (we estimate compensation of about ¥10.0bn).

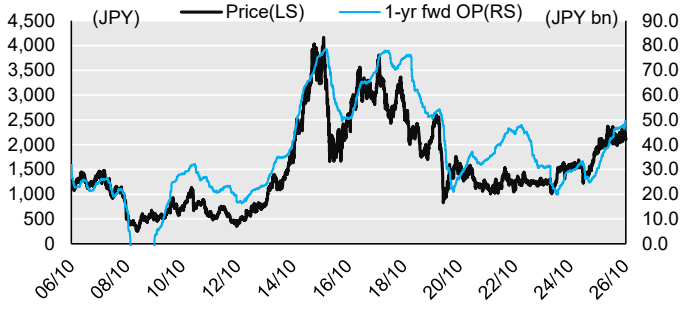
In 2Q, we estimate OP at ¥10.9bn (consensus ¥13.1bn), rising by ¥10.0bn QoQ. We expect components OP up ¥6.8bn QoQ to ¥9.6bn on the back of sales of new smartphone camera actuator products with high added value. We estimate mobility OP will increase ¥4.9bn QoQ to ¥1.9bn owing to rising recovery of development costs from clients.

**Exhibit22:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit23:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

**Nihon Dempa Kogyo (6779, EW, PT ¥4,500)**

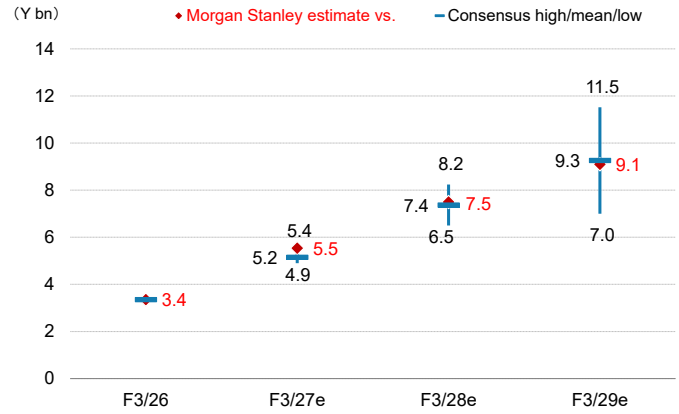
In F3/27, we estimate OP at ¥5.5bn (up ¥2.0bn YoY, guidance ¥5.2bn, consensus ¥5.2bn). We forecast sales of ¥64.5bn (up 18% YoY, guidance ¥62.5bn), exceeding guidance. By use, we expect sales for mainstay automotive applications will fall significantly in 2H. In addition, we think sales for industrial equipment applications are likely to be ¥10.0bn (up 2.3x YoY, guidance ¥9.6bn), and with demand for optical transceiver oscillators having been brisk, we expect this product to be an earnings driver. On the OP side, we expect the increase in marginal profit to exceed the negative effect of internally manufactured IC development costs and rising costs accompanying proactive upfront investment (such as

investment in digital transformation and human resources), so believe that earnings could even surpass guidance which the firm revised up at 1Q results.

In addition, we estimate F3/28 OP at ¥7.5bn (up ¥2.0bn YoY, consensus ¥7.4bn), exceeding the firm's target of ¥7.0bn in its current medium-term plan. In addition to continued growth in sales of crystal oscillators for optical transceivers, we still believe that product earnings will keep expanding accompanying the diversification of Nihon Dempa Kogyo's business portfolio, including earnings from optical products for semiconductor production equipment and communications devices for military use. If highly efficient and speedy production lines come into full-scale use, the firm should be able to begin to recoup the upfront investment costs it continues to generate. On the other hand, we'll be tracking some risk factors, namely slow-moving inventory and inventory adjustments of automotive crystal oscillators in the industry, as well as the pace with which the firm regains market share for North American high-end smartphone applications.

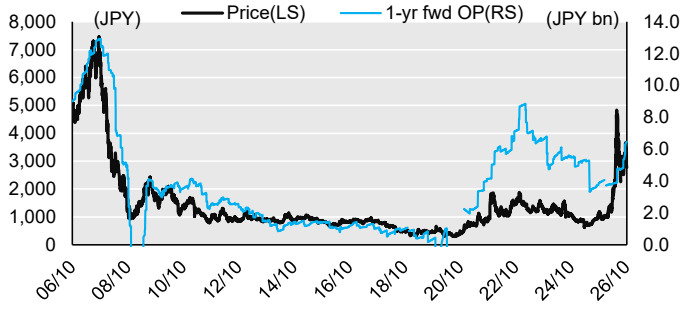
In 2Q, we estimate OP will rise ¥200mn QoQ to ¥1.4bn (guidance ¥1.3bn, consensus ¥1.3bn). We forecast that higher marginal profit due to sales growth and a better product mix will more than offset the increase in labor costs (including one-time factors such as increases in base salary rates) and other rising costs such as write-off costs.

**Exhibit24:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit25:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

**Meiko Electronics (6787, OW, PT ¥39,600)**

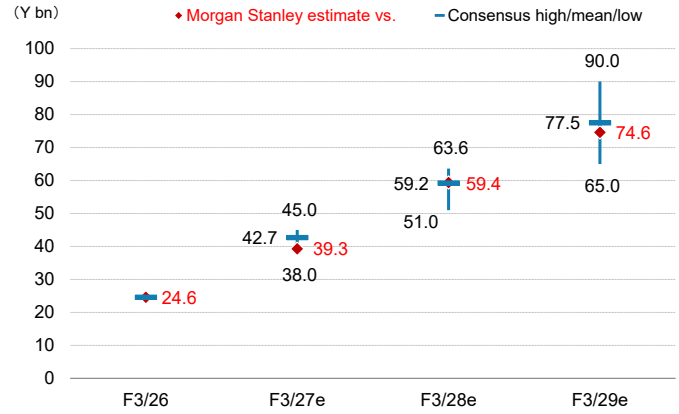
In F3/27, we estimate that OP will be ¥39.3bn (up ¥14.7bn YoY, guidance ¥38.0bn, consensus ¥42.7bn). We expect sales to reach ¥361.5bn (up ¥120.9bn YoY, guidance ¥320.0bn), showing a sizeable YoY increase on the back of (1) the transfer of higher raw material costs (mainly for copper clad laminate or CCL) to product prices and (2) expanding sales of high-added-value build-up boards for antennas for AI, data centers and LEO satellite reception, and high-end North American smartphones. Even excluding the positive effect of exchange rates compared with the firm's plan (the firm's estimates assume an exchange rate of ¥150/$), we think earnings are likely to exceed its forecast. We expect OP to remain on the growth track accompanying rising margins from 2Q. Similarly, we estimate that earnings will end up higher than Meiko's forecast.

Moreover, we estimate that in F3/28 OP will be ¥59.4bn (up ¥20.1bn YoY, guidance ¥51.0bn, consensus ¥59.2bn). We expect that sales of build-up boards will grow at a brisk rate of +58% YoY, for the following reasons: (1) for AI server applications, accelerator

board clients are expanding and MSAP boards for optical transceivers are going into full-scale mass production; and (2) for LEO applications, mass production of PCB directly installed to satellite for a new client/current client has begun, and (3) a full-year contribution to earnings generated by boards for North American smartphones.

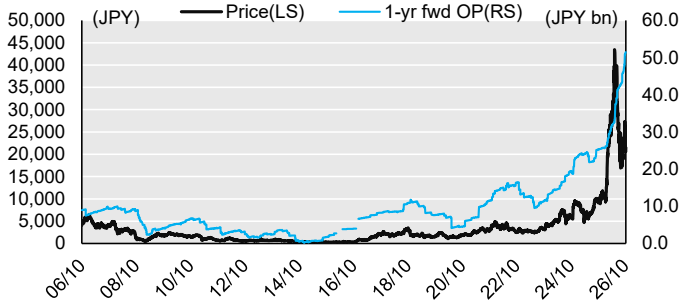
In 2Q, we project that OP will be ¥9.6bn (up ¥3.5bn QoQ, consensus ¥9.3bn). The firm plans to hike prices by a total of 30% in Jul and Sep. In addition to contributing to a large QoQ sales increase of 23%, we think that these price hikes could offset the effect of higher materials costs generated in 2Q. We forecast that that OP margin will recover to the 10% level, which is about the same as the same period of the previous year.

**Exhibit26:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit27:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

**Hirose Electric (6806, OW, PT ¥32,600)**

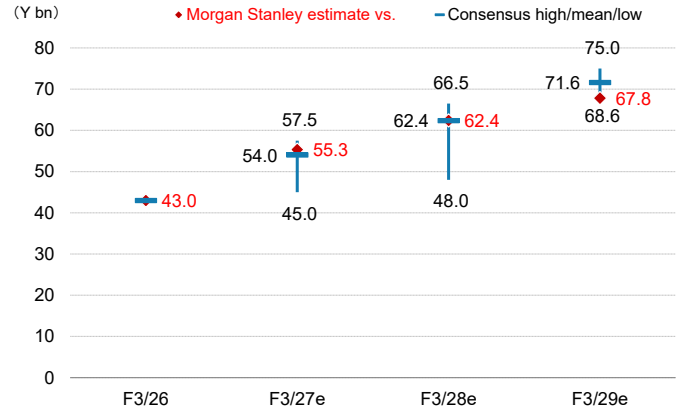
We estimate that in F3/27 OP will be ¥55.3bn (up ¥12.3bn YoY, guidance ¥50.0bn, consensus ¥54.0bn). We think sales for general industrial machinery and equipment applications are likely to amount to ¥86.2bn (up ¥24.2bn YoY, guidance ¥83.0bn), with demand not only increasing for FA and robotic equipment applications, but earnings likely continuing to expand accompanying global expansion of the client base centering on semiconductor production equipment-related applications. We think sales for ns infrastructure applications are likely to be ¥10.5bn (up ¥3.8bn YoY, guidance ¥10.0bn); here, we forecast that sales will expand significantly, exceeding the firm's estimates, owing to growth in sales of products such as mezzanine connectors for AI servers. We think SER Corporation, which Hirose acquired in F3/26 (SER's mainstay products are probes for SPEs and probe applied products), should also contribute to the firm's overall earnings. We think OP is likely to significantly exceed the firm's estimates, which were set cautiously, owing to rising profits accompanying rising sales, the peaking out of precious metals prices, progress in passing on higher costs to product prices, and an improved product mix due to growth in sales for general industrial machinery applications.

In addition, we estimate F3/28 OP at ¥62.4bn (up ¥7.1bn YoY, consensus ¥62.4bn). We expect growth in sales for general industrial machinery applications to level off YoY, but that the firm should be able to maintain a historically high rate of sales growth owing to (1) an accelerating rate of growth in sales of automotive connectors due to progress in increasing electrical components, and (2) continued growth in sales of products for AI servers and semiconductor production equipment. KPIs in the medium-term management plan, which ends in F3/30, are sales of ¥290.0bn, OP of ¥66.7bn, and ROE of 12%. In

contrast to these, our estimates call for sales of ¥322.5bn, OP of ¥74.0bn and ROE of 13.1%. Thus, we still feel that Hirose could exceed all of its targets.

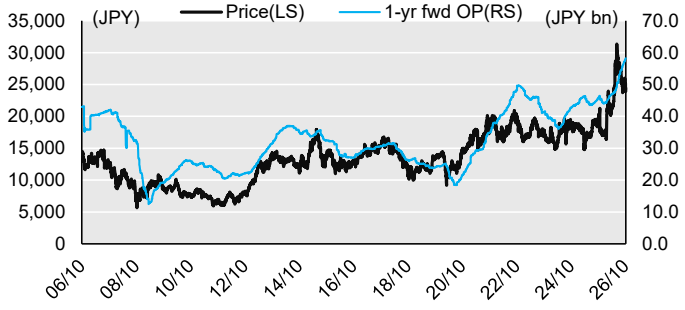
In 2Q, we estimate that OP will be ¥14.4bn (up ¥1.1bn QoQ, consensus ¥14.3bn). On a QoQ basis, we estimate that yen appreciation from ¥159.5/$ to ¥155/$ stands to have a negative effect of about ¥400mn. Moreover, we estimate that costs such as depreciation and amortization costs and raw material costs will increase, but we forecast that the rise in marginal profit due to sales growth will exceed these cost increases. We project 1H OP of ¥27.7bn, quite a bit higher than the firm's estimate of ¥25.5bn which it released at the time of the 1Q results announcement. Thus, we believe that there is a lot of leeway for a further upward revision to the firm's plan which calls for full-term OP of ¥50.0bn.

**Exhibit28:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit29:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

**Japan Aviation Electronics Industry (6807, EW, PT ¥2,700)**

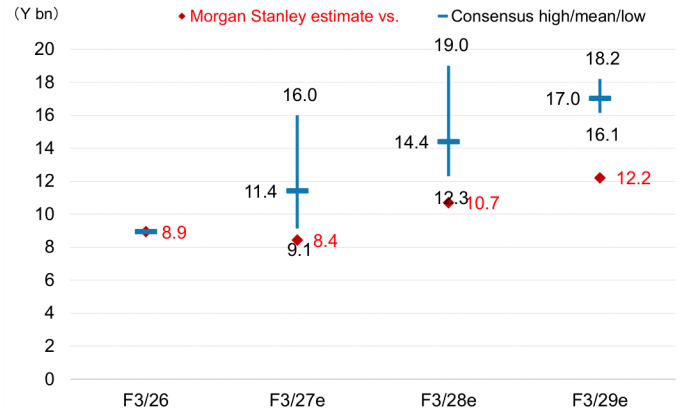
We project that in F3/27 OP will be ¥8.4bn (down ¥500mn YoY, guidance ¥9.5bn, consensus ¥11.4bn). We forecast sales of connectors of ¥224.9bn (up ¥18.0bn YoY, guidance ¥215.0bn). We believe that connector sales will surpass the firm's estimates which are based on an exchange rate assumption of ¥153/$. While we forecast that demand for products such as ADAS wire harnesses for automotive use will rise strongly and demand for industrial equipment and infrastructure applications will recover, we are projecting that sales of products for mobile communications applications – such as sales of type-C connectors and connectors for Chinese smartphones – will will be down YoY. We see aviation sales amounting to ¥23.4bn (up ¥2.9bn YoY, guidance ¥24.5bn), which is under the firm's estimate. However, on a YoY basis, we forecast that sales will remain on a growth track. We estimate that OP will drop YoY owing to higher raw material costs accompanying surging precious metals prices, higher write-off costs, and a deteriorating product mix accompanying higher sales of automotive connectors.

Furthermore, we are estimating that in F3/28 OP will be ¥10.7bn (up ¥2.3bn YoY, consensus ¥14.4bn). We are still of the opinion that the rate of the earnings recovery will be mild compared with the industry consensus and the targets under the current medium-term plan. In addition, Kyocera announced on Oct 30 2025 that it had acquired a 33.0% stake in JAE from NEC (6701, covered by Tetsuro Tsusaka). JAE envisions a scenario in which with this capital tie-up with Kyocera, the two companies will engage in joint development of smartphone connectors, leading to an increase in market share; it also envisions cross-selling of connectors for automotive and industrial equipment

applications. However, we will continue to keep a close eye on the possibility of Kyocera acquiring more of the firm's shares. The share price at which Kyocera bought the stock on Oct 29 2025 was ¥3,630; this is 30.6% higher than the closing price on Oct 29 2025 of ¥2,779 and 34.4% higher than our base case fair value estimate.

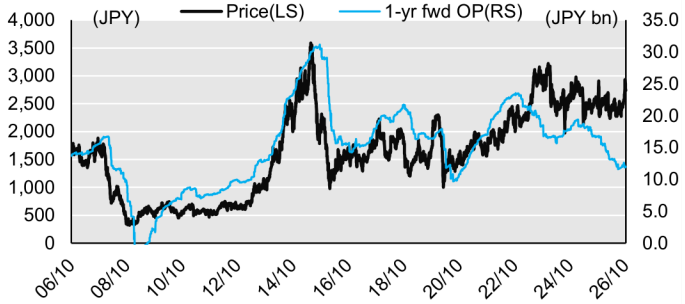
In 2Q, we estimate that OP will be ¥2.2bn (up ¥1.9bn QoQ, consensus ¥3.3bn). The main reasons why are forecasting a large QoQ increase in profit in 2Q are positive effects of price optimization for particular clients of slightly more than ¥1.0bn, and rising sales for aviation applications due to seasonal factors.

**Exhibit30:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit31:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

**CMK Corporation (6958, EW, PT ¥920)**

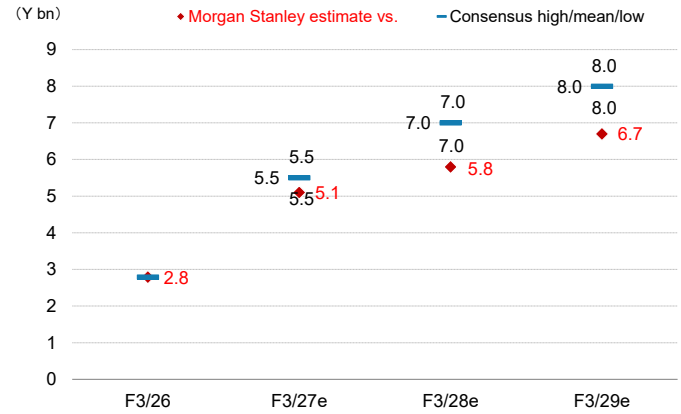
In F3/27, we estimate that OP will reach ¥5.1bn (up ¥2.3bn YoY, guidance ¥5.0bn, consensus ¥5.5bn). Japanese Tier 1 systems applications account for more than 90% of CMK's total sales, and we think the business environment is likely to stay favorable owing to Japanese OEMs' strong sales of HEVs. On the other hand, we expect that sales of products for European Tier 1 systems will remain sluggish. We estimate that sales of build-up boards will amount to ¥37.0bn (up ¥4.0bn YoY, guidance ¥37.4bn), and sales of double-sided and multi-layer PCBs will reach ¥71.6bn (up ¥8.1bn YoY, guidance ¥68.4bn). In part because of contributions from the transfer of higher material costs onto product prices, we forecast that sales of multi-layer PCBs in particular will exceed the firm's estimate. We project that OP will end up being in line with plan, owing to a positive effect from the passing on of higher material costs to product prices, improved profitability due to higher operating rates at the new factory in Thailand, and above-target sales growth.

In addition, we estimate that in F3/28 OP will be ¥5.8bn (up ¥0.7bn YoY, consensus ¥7.0bn). We continue to expect earnings expansion to be mild compared with the KPI featured in the 3-year medium-term management plan which was unveiled with F3/26 full-term results (F3/29 sales of ¥120.0bn, OP of ¥7.5bn). As the positive effect of rising operating rates at the new Thai factory dwindles, we think the focus of attention is likely to be on expanding use of integrated ECUs across various types of vehicles (CMK has a 100% share of the market for the boards used in these integrated ECUs), as well as further improvements in profitability at existing factories, including in China. We will be keeping a close eye on risks related to procurement of board materials, especially CCL.

We estimate 2Q OP at ¥1.2bn (up ¥800mn QoQ, consensus ¥1.1bn). We are QoQ jump

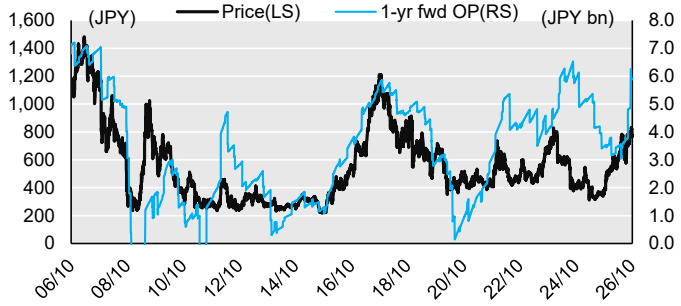
mainly because, in addition to rising sales for Japanese Tier 1 systems, we assume SE Asia losses will drop ¥700mn accompanying higher operating rates in Thailand.

**Exhibit32:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit33:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

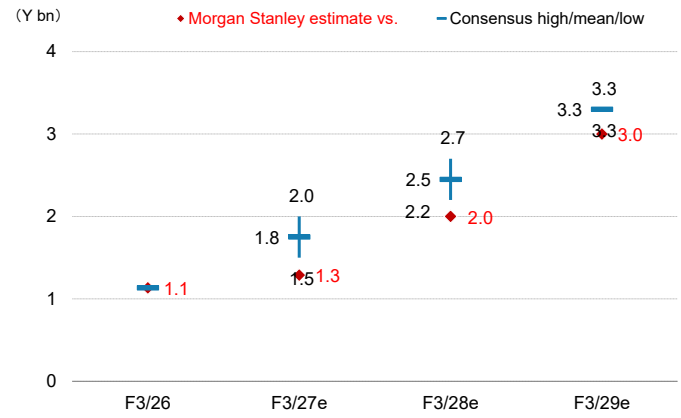
**Daishinku Corporation (6962, UW, PT ¥650)**

We estimate F3/27 OP at ¥1.3bn (up ¥200mn YoY, guidance ¥1.4bn, consensus ¥1.8bn). While we expect that sales for consumer electronics applications will exceed the firm's estimate, in part because of the positive effect of yen depreciation, we foresee sales for telecom applications over the full term up ¥1.0bn YoY to ¥11.2bn. Our forecast sales is in line with the firm's estimate, owing in part to the lower shipment volumes of mid- and low-end Chinese smartphones. We believe that OP will fall a bit short of Daishinku's estimate as a result of higher write-off costs and a ¥1.0bn effect of rising raw material costs accompanying a sharply higher gold price.

We also project F3/28 OP at ¥2.0bn (up ¥0.7bn YoY, consensus ¥2.5bn). Earnings are likely to continue to expand for products experiencing organic growth, such as temperature compensated crystal oscillators (TCXO) for GPS/GNSS modules and crystal devices for automotive applications. We assume that the negative effect of a surging price of gold on raw material costs will hit bottom in F3/27 and then ease. However, regarding oscillators for optical transceivers utilizing the firm's proprietary Arkh Series, we estimate that there are still many hurdles to be overcome before Daishinku can make a vertical launch in the 1.6T market and acquire a share of the market. Based on our estimates for F3/28, the share price looks overvalued now at P/E of 34.5x, and we maintain our UW rating.

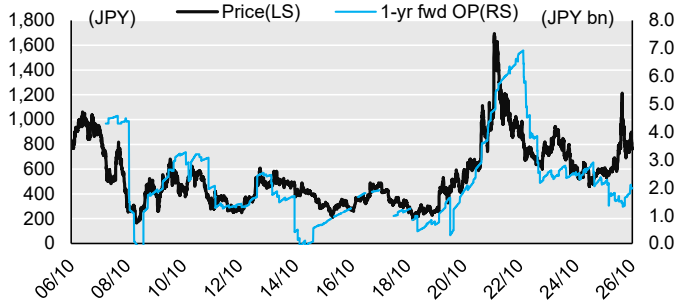
We expect 2Q OP of ¥200mn (up ¥200mn QoQ). On a QoQ basis, we think the firm can offset the negative effects of yen appreciation and rising raw material costs through higher marginal profit and operating income accompanying sales growth, and thereby move into the black. However, we still only expect 2H OP of ¥200mn, and see considerable challenges for Daishinku to achieve its estimate for full-term OP of ¥1.4bn.

**Exhibit34:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit35:** 1-year forward consensus OP and share price



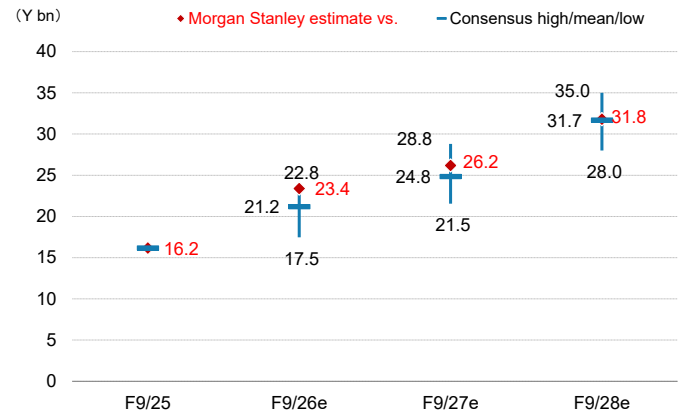

Note: Consensus is based on FactSet; Source: FactSet

**Hamamatsu Photonics (6965, EW, PT ¥2,500)**

We forecast that in F9/26 OP will be ¥23.4bn (guidance ¥22.0bn, consensus ¥21.2bn). We are estimating a YoY profit increase of ¥7.2bn because, in addition to sales of products for industrial equipment applications such as semiconductor production equipment which began recovering in F9/25, we believe sales for non-industrial equipment applications such as medical and bio have likely turned upward as clients have finished making inventory adjustments. However, write-off costs and R&D costs continue to increase, and we think it will take more time for NKTP, which Hamamatsu acquired in 2024, to move into the black. Thus, we estimate that a substantial amount of time will be needed before the firm can exceed past peak OP of ¥57.0bn in F9/22. In F9/27, we estimate that OP will be ¥26.2bn (consensus ¥24.8bn). We are projecting a YoY profit increase of ¥2.8bn with sales rising not only for semiconductor production equipment but also for medical and bio applications, and laser business shrinking by ¥900mn by our estimate. On the other hand, we think that fixed costs such as write-off costs accompanying the start of new factory operations are likely to rise. Nevertheless, with sales having bottomed out and recovering, we would also expect increased operating rates to provide support to profits.

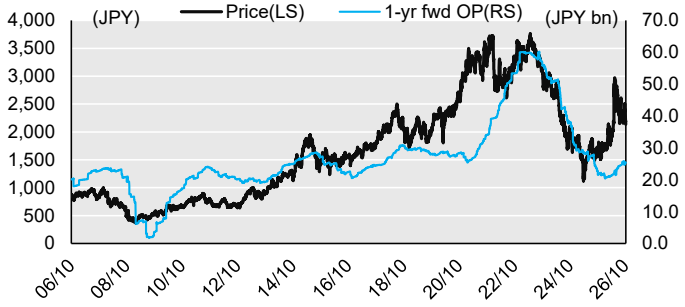
In F9/26 4Q, we expect OP to reach ¥7.0bn (guidance ¥5.6bn, consensus ¥6.0bn). This would be an increase of ¥700mn from the previous quarter's profit of ¥6.3bn. At Hamamatsu, sales tend to decrease in 1Q and 3Q and rise in 2Q and 4Q for seasonal reasons, and we estimate that in 4Q this year earnings will be higher than in 3Q. However, while we believe earnings are on the recovery track, write-off costs for a new factory for optical semiconductors have risen and the posting of sales of image measuring devices has been delayed, so we do not expect OP to reach the ¥7.6bn posted for 2Q.

**Exhibit36:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit37:** 1-year forward consensus OP and share price



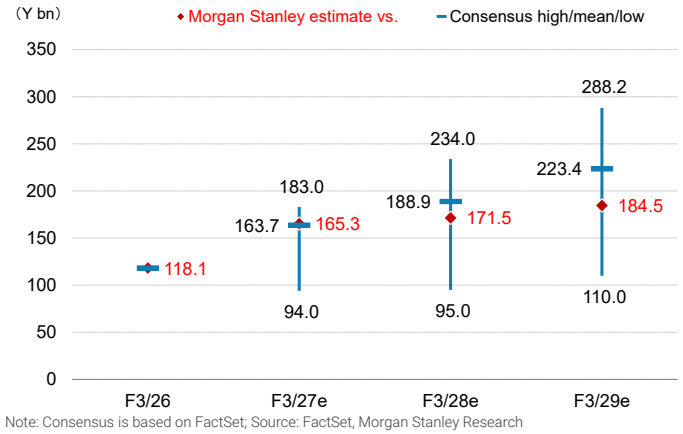

Note: Consensus is based on FactSet; Source: FactSet

**Kyocera (6971, EW, PT ¥4,000)**

We estimate F3/27 OP up ¥47.2bn YoY to ¥165.3bn (guidance ¥160.0bn, consensus ¥163.7bn). We expect profits in the 3 segments as follows: in core components, OP rising rise by ¥35.4bn from ¥63.1bn a year ago to ¥98.5bn; electronic components at ¥25.8bn, rising ¥18.5bn YoY (from ¥7.3bn); and solutions at ¥98.3bn, down ¥5.6bn YoY (from ¥103.9bn). The profit decline we foresee for solutions is mainly due to the disappearance of profits from SouthernCarlson's machine tools and from the sale of SouthernCarlson (Kyocera sold SouthernCarlson the previous term). In F3/28, we forecast OP up ¥6.2bn YoY to ¥171.5bn (consensus ¥188.9bn). We expect earnings will continue to improve gradually for all 3 segments. Regarding products for which Kyocera was unable to pass on higher raw material costs to product prices in the previous term, we expect the firm will make progress in passing on the higher costs in F3/28 and this will support profit growth.

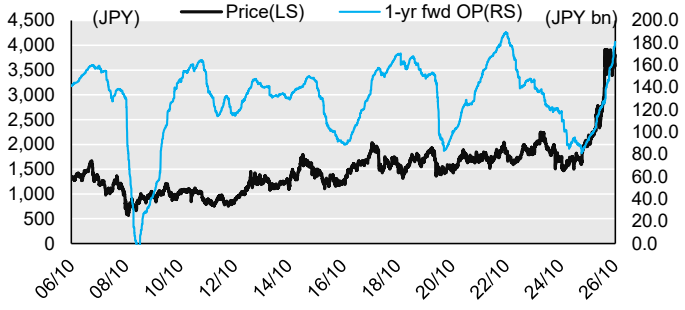
In 2Q, we expect OP to drop ¥9.7bn QoQ to ¥39.4bn (consensus ¥27.4bn). While expecting profit to rise ¥2.1bn QoQ to ¥25.9bn in core components, we think profit in electronic components is likely to be down ¥2.8bn QoQ to ¥6.0bn owing to falling profits at KAVX, and in solutions is likely to drop ¥8.3bn QoQ to ¥22.0bn.

**Exhibit38:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit39:** 1-year forward consensus OP and share price



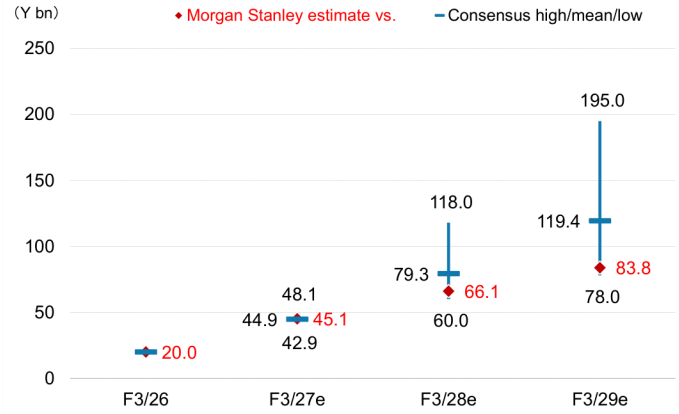

Note: Consensus is based on FactSet; Source: FactSet

**Taiyo Yuden (6976, EW, PT ¥10,500**

We estimate F3/27 OP at ¥45.1bn (guidance ¥45.0bn, consensus ¥44.9bn), up by ¥25.1bn YoY. We expect US dollar-denominated sales of mainstay capacitors (MLCCs) to rise 22.6% YoY (on a yen denominated basis, up 27.4%), with the rate of increase improving from last term's 10.4% (on a yen denominated basis, a rise of 8.5%). Operating rates are rising too, and we expect that these positive factors will offset the effect of rising fixed costs, such as write-off costs. In F3/28 we foresee OP rising ¥21.0bn YoY to ¥66.1bn (consensus ¥79.3bn). We estimate that dollar-denominated sales of capacitors (MLCCs) will increase 17.3% YoY (on yen denominated basis, +16.6%), and this should offset higher fixed costs, such as write-off costs, so that profits expand. For F3/29, we forecast OP reaching ¥83.8bn (consensus ¥119.4bn), exceeding the previous peak profit in F3/22 of ¥68.2bn.

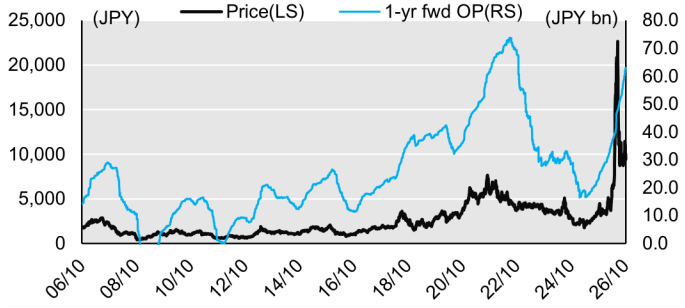
We estimate 2Q OP of ¥12.6bn (consensus ¥12.5bn), rising by ¥7.8bn QoQ from ¥4.8bn. We expect sales of MLCCs up 18.1% QoQ, operating rates to increase from 85% in 1Q to 95% in 2Q, and with sales of inductors for North American smartphones rising profit to show a significant increase over 1Q.

**Exhibit40:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit41:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

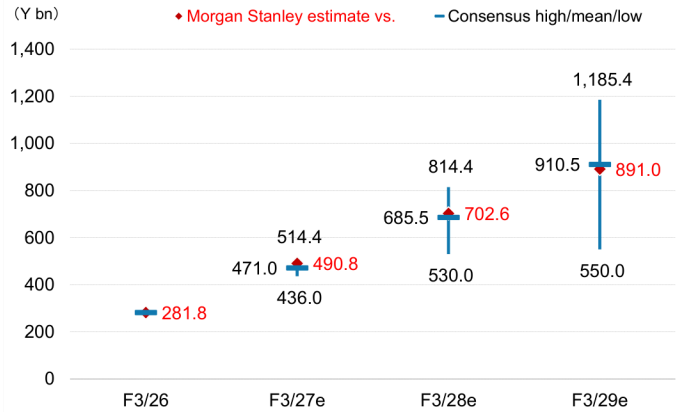
**Murata Manufacturing (6981, OW, PT ¥11,000)**

We estimate that in F3/27 OP will amount to ¥490.8bn (guidance ¥430.0bn, consensus ¥471.0bn), rising by ¥208.9bn YoY and exceeding the previous peak of ¥424.1bn which was registered in F3/22. We forecast components profit up by ¥186.2bn to ¥501.4bn, while the device & module business posts a loss of ¥2.4bn – an improvement of ¥24.1bn over the previous term's loss of ¥26.5bn. Regarding components profit growth, we see dollar-denominated sales of MLCCs expanding 31.6% YoY (on a yen denominated basis, +36.1%), with the rate of increase improving over the previous term's figure of 13.8% (on a yen denominated basis, +12.6%). We expect that the rise in fixed costs (write-off costs etc) will be offset by the rising sales of MLCCs, as well as an improved product mix and higher operating rates. We attribute the higher expected profit for device & module business mainly to ¥43.8bn in goodwill impairment at Resonant and the disappearance of ¥6.0bn profit from the sale of micro battery business. In F3/28, we expect OP to reach ¥702.6bn (consensus ¥685.5bn). We are forecasting a YoY rise in profit of ¥211.8bn. Breaking this down segmentally, we estimate components profit will be up ¥170.0bn, while device & module profit increases by ¥39.6bn. Regarding the higher expected components profit, we estimate that dollar-denominated sales of capacitors (MLCC) will rise 24.5% YoY (on a yen

denominated basis, +23.7%) and the product mix will continue to improve, and expect these factors to offset higher fixed costs, including write-off costs. For device & module business, we estimate that sales will expand for radio frequency modules, rechargeable batteries and vertical power feed modules.

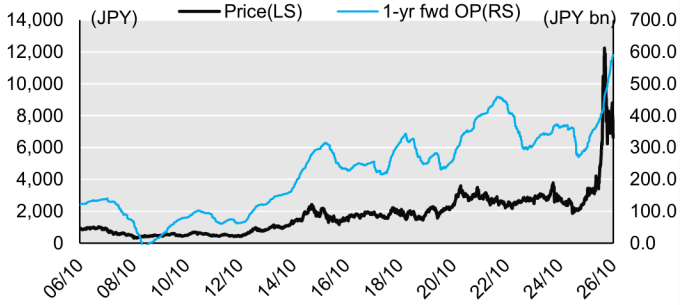
We estimate that 2Q OP will be ¥125.0bn (consensus ¥130.9bn), rising by ¥26.6bn. Breaking this down segmentally, we estimate that components profit will expand ¥12.5bn QoQ to ¥126.0bn, and device & module profit by ¥13.9bn QoQ to ¥1.0bn. For components, we project that sales of MLCCs for AI and data center applications will continue to increase, the MLCC product mix will improve, and operating rates will keep rising. For device & module, we see sales for North American smartphone applications rising for seasonal reasons and these operations turning into the black. However, because production of North American smartphones is divided into fall models and spring models, we expect the contribution to profit of sales for North American smartphone applications to be limited.

**Exhibit42:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit43:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

**Nichicon (6996, EW, PT ¥3,400)**

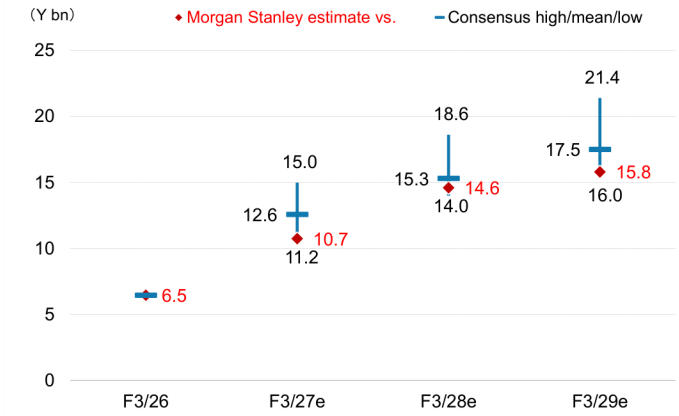
We estimate that F3/27 OP will be ¥10.7bn (up ¥4.2bn YoY, guidance ¥8.7bn, consensus ¥12.6bn). We think sales of capacitors are likely to amount to ¥115.7bn (up ¥13.0bn YoY, guidance ¥112.0bn). We expect that the earnings expansion will continue into 2H for hybrid capacitors for AI servers and automotive applications, as well as for large aluminum electrolytic capacitors (AECs; long-life products) for AI server power sources. We estimate that from 2H, progress in transferring higher raw material costs (including aluminum foil) will help to push up the top line. We forecast profits from capacitors at ¥6.8bn (up ¥2.2bn YoY) with profit growing on the back of recovery in operating rates for AECs and shrinking losses related to film capacitors for EV use. We estimate that profit at the NECST division will be ¥4.0bn (up ¥2.1bn YoY).

Moreover, in F3/28 we estimate that OP will reach ¥14.6bn (up ¥3.9bn YoY, consensus ¥15.3bn). In capacitors, we expect sales to amount to ¥120.8bn (up ¥5.1bn YoY) and profit to ¥9.6bn (up ¥2.8bn), with the profit growth trend continuing. Regarding AECs which are very versatile, being used in industrial equipment, household electronics, etc, we expect that the positive effect of advance orders made in anticipation of price hikes will disappear, but demand for long-life products for AI servers and hybrid capacitors should continue to expand. Also in NECST business, we forecast that sales and profits will remain

robust, with sales reaching ¥79.8bn (up ¥7.8bn YoY) and profit amounting to ¥5.0bn (up ¥1.0bn YoY). We believe that in the future investors' attention will be focused on issues such as expansion in sales through increases in the capacities of applied equipment, and the rate of growth in demand for household power storage systems sparked by stronger environmental regulations to be imposed from Apr 2027.

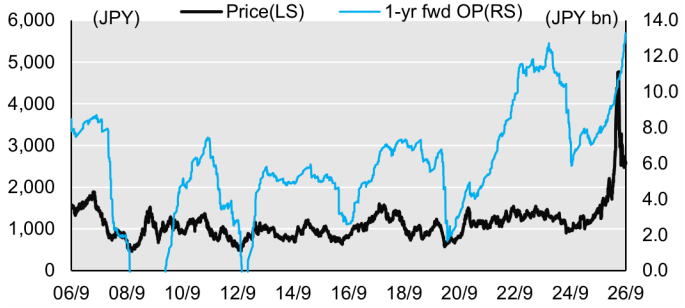
In 2Q, we project OP at ¥2.4bn (down ¥0.4bn QoQ, consensus ¥3.0bn). We expect capacitor sales to be up QoQ, but modest profit growth owing to continued effects from rising raw material costs. We also forecast that NECST profit will decline owing to the disappearance of positive effects of some high-margin projects in applied equipment which were posted as sales in 1Q. However, for 1H we forecast OP of ¥5.2bn, marking a good run-rate in relation to full-term guidance of ¥8.7bn, and thus believe there is a high probability that the firm will revise up its forecast.

**Exhibit44:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit45:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

**Nippon Chemi-Con (6997, UW, PT ¥2,400)**

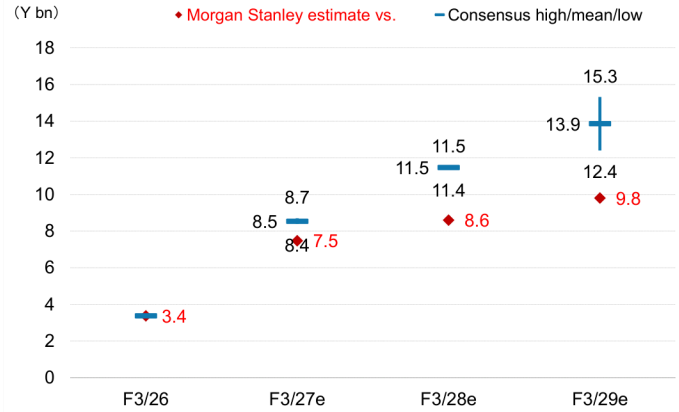
We estimate F3/27 OP at ¥7.5bn (up ¥4.1bn YoY, guidance ¥8.0bn, consensus ¥8.5bn). We think sales of AECs are likely to reach ¥137.4bn (up ¥17.4bn YoY, guidance ¥144.7bn). While we are projecting that sales will rise significantly on the back of rising demand for large products for primary power supplies accompanying a generational change in GPU servers, as well as a recovery in demand for automotive and industrial equipment applications, we still believe that the firm's estimates are aggressive. We think higher marginal profit accompanying growth in sales and results of the fixed cost reduction policy will have positive effects on OP, but we forecast that full-term profit will fall short of the firm's plan, which is heavily skewed to profit generation in 2H (Nippon Chemi-Con plans for OP of ¥3.0bn in 1H and ¥5.0bn in 2H).

We also forecast that in F3/28 OP will be ¥8.6bn (up ¥1.1bn YoY, consensus ¥11.5bn). Regarding AI server applications, we expect demand to remain strong, especially for hybrid capacitors and long-life products for electric power sources. However, we forecast that on the commodity market for some automotive applications and PC and household electronics applications, inventory adjustments could have an impact. Over the medium term, we expect competition with Chinese competitors to remain fierce, and that the firm will only be able to achieve a portion of the sales increase that it is targeting under its current medium-term plan. Furthermore, Nippon Chemi-Con's issuance of class C and D preferred shares on Jun 29, 2026, and considering the risk of further dilution, the

requirement to make annual preferred dividend payments of ¥540mn (until Jun 29, 2029) or ¥720mn (from Jun 30, 2029), as well as the possibility of additional litigation-related expenses associated with its Taiwan subsidiary (not reflected in our earnings forecasts), we maintain our UW rating on the stock.

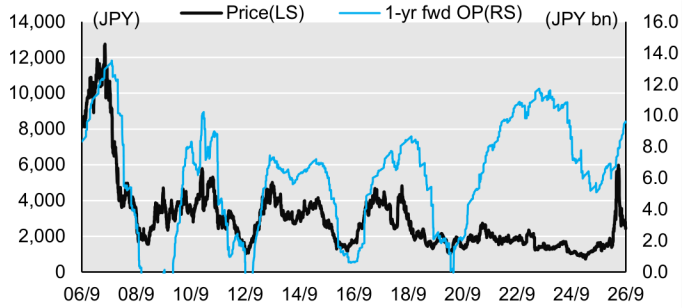
In 2Q we estimate OP at ¥1.5bn (down ¥200mn QoQ, guidance ¥1.3bn, consensus ¥1.9bn). While we expect sales up QoQ, we forecast OP will decline owing to the effect of rising raw material prices (for aluminum foil etc.), the negative impact of the shift to yen appreciation, and rising fixed costs. We forecast 1H OP of ¥3.2bn, but while our estimate is higher than the firm's forecast of ¥3.0bn, we think Nippon Chemi-Con will leave unchanged its full-term OP estimate of ¥8.0bn.

**Exhibit46:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit47:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

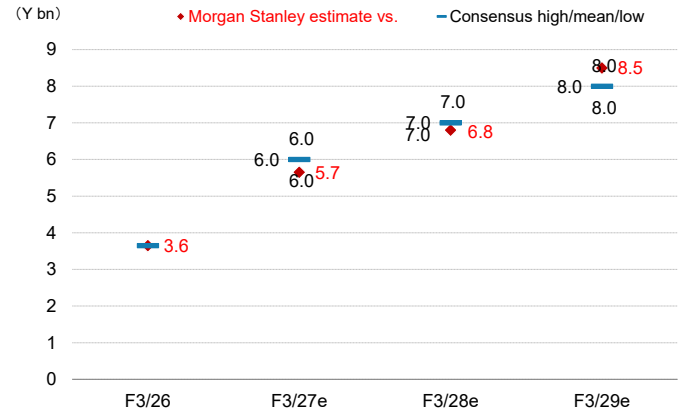
**KOA (6999, EW, PT ¥2,400)**

We estimate that F3/27 OP will be ¥5.7bn (up ¥2.0bn YoY, guidance ¥5.4bn, consensus ¥6.0bn). We forecast that over the full term sales will amount to ¥89.5bn (guidance ¥87.3bn, consensus ¥90.0bn). Our sales estimate is higher than KOA's plan because of continued expansion in demand for resistors for AI servers and recovery in demand for automotive and industrial equipment applications. We expect that OP will remain above the firm's estimates from 2Q. This is because we assume prices on the precious metals market (lithium, silver, palladium etc) will peak out and the effect of these high prices on materials costs will ease. Furthermore, KOA is making gradual progress in transferring higher costs to its product prices, and we think sales are likely to end up higher than the firm plans. Thus, we expect that profit will remain on a positive YoY growth track.

Moreover, we estimate that in F3/28 OP will reach ¥6.8bn (up ¥1.1bn YoY, co. target in current medium-term plan: ¥7.4bn, consensus ¥7.0bn). For automotive applications, which account for about 50% of consolidated sales, the slump in the BEV market has been having a negative effect. Furthermore, we believe that the rebound to advance orders which we believe the firm is seeing in F3/27 should ease up in F3/28 with some sales growth. On the other hand, KOA faces a wide range of business opportunities related to AI server applications for its power supplies, optical transceivers, and semiconductor production equipment, and we forecast that from F3/28 demand will continue to expand for resistors with high added value, such as thin-film chips and shunts for AI server applications. Thus, we expect that OP to remain on the growth track.

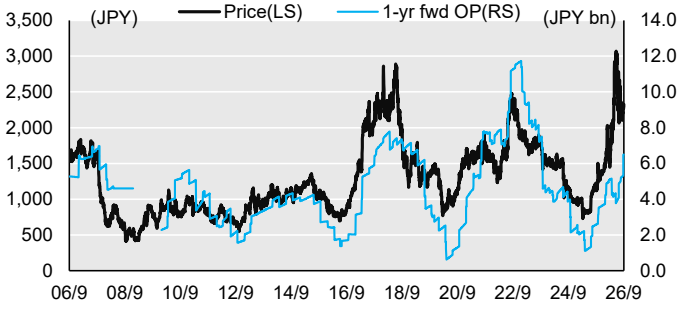
In 2Q, we estimate that OP will reach ¥1.5bn (up ¥600mn QoQ, guidance ¥1.6bn, consensus ¥2.1bn). We forecast that profit will rise substantially QoQ in line with the firm's plan. This is because, in addition to sales growth, we think the impact of raw material costs – including the transfer of higher costs to product prices – is likely to be mild.

**Exhibit48:** OP forecast comparison




Note: Consensus is based on FactSet; Source: FactSet, Morgan Stanley Research

**Exhibit49:** 1-year forward consensus OP and share price




Note: Consensus is based on FactSet; Source: FactSet

# Ibiden: Key Financial Data

## Exhibit 50:

**Income Statement**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **369.4** | **416.2** | **562.5** | **701.0** | **864.2** |
| COGS | 256.1 | 284.5 | 322.1 | 374.8 | 442.4 |
| **Gross profit** | **113.3** | **131.7** | **240.5** | **326.2** | **421.9** |
| SG&A | 65.7 | 69.6 | 105.5 | 126.0 | 148.0 |
| **Operating Profit** | **47.6** | **62.0** | **135.0** | **200.2** | **273.8** |
| **OP incl. depreciation of inactive noncurrent assets** | **45.9** | **58.2** | **134.2** | **200.2** | **273.8** |
| Non-operating Income/Loss | 0.3 | -1.2 | 1.5 | 2.3 | 2.3 |
| **Recurring Profit** | **47.9** | **60.8** | **136.5** | **202.5** | **276.2** |
| Extraordinaries Income/Loss | 3.6 | 30.3 | -2.4 | -2.4 | -2.4 |
| **Pretax Profit** | **51.5** | **91.1** | **134.1** | **200.1** | **273.7** |
| Income Tax | 17.4 | 26.9 | 40.7 | 60.0 | 82.1 |
| (Effective Tax Rate) | 34% | 30% | 30% | 30% | 30% |
| Minority Interest | 0.3 | 0.4 | 0.5 | 0.2 | 0.2 |
| **Net Profit** | **33.7** | **63.7** | **92.9** | **139.9** | **191.4** |
| | | | | | |
| Capex | 157.3 | 64.3 | 157.6 | 158.0 | 208.0 |
| Depreciation and Amortization | 54.2 | 66.2 | 81.4 | 95.5 | 110.5 |
| R&D Expenses | 27.5 | 29.9 | 34.8 | 45.6 | 56.2 |
| EBITDA | 101.8 | 128.3 | 216.4 | 295.7 | 384.3 |
| **ROE** | **6.8%** | **12.2%** | **15.7%** | **20.1%** | **22.6%** |
| | | | | | |
| Average Share Outstanding (Diluted) | 558.8 | 558.7 | 589.8 | 589.8 | 589.8 |
| EPS (Diluted, Yen) | 60.3 | 107.5 | 157.5 | 237.2 | 324.5 |
| BPS (Yen) | 890.0 | 927.7 | 1,080.1 | 1,299.5 | 1,593.3 |
| DPS (Yen) | 10.0 | 30.0 | 17.5 | 20.0 | 45.0 |
| | | | | | |
| USD/JPY: Average Exchange Rate | 152.0 | 149.0 | 156.5 | 155.0 | 155.0 |
| EUR/JPY: Average Exchange Rate | 162.0 | 172.0 | 180.8 | 180.0 | 180.0 |
| | | | | | |
| **YoY % Change** | | | | | |
| Net Sales | 0% | 13% | 35% | 25% | 23% |
| Operating Profit | 0% | 30% | 118% | 48% | 37% |
| Net Profit | 7% | 89% | 46% | 51% | 37% |
| | | | | | |
| **As % of Sales** | | | | | |
| Gross profit | 30.7% | 31.6% | 42.7% | 46.5% | 48.8% |
| Operating Profit | 12.9% | 14.9% | 24.0% | 28.6% | 31.7% |
| Net Profit | 9.1% | 15.3% | 16.5% | 20.0% | 22.1% |
| Capex | 42.6% | 15.4% | 28.0% | 22.5% | 24.1% |
| Depreciation and Amortization | 14.7% | 15.9% | 14.5% | 13.6% | 12.8% |

**Balance Sheet**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total Assets** | **1,081.7** | **960.4** | **1,048.6** | **1,186.7** | **1,371.0** |
| | | | | | |
| **Total Current Assets** | **549.6** | **465.5** | **477.5** | **553.0** | **639.8** |
| Cash and Cash Equivalents | 390.7 | 295.7 | 288.2 | 329.4 | 374.8 |
| Marketable Securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Account Receivables | 68.2 | 82.1 | 99.3 | 123.8 | 152.6 |
| Inventory | 67.2 | 71.0 | 73.2 | 83.1 | 95.7 |
| Other Current Assets | 23.5 | 16.8 | 16.8 | 16.8 | 16.8 |
| **Total Long Term Assets** | **532.1** | **494.9** | **571.1** | **633.6** | **731.1** |
| Net PP&E | 460.1 | 437.7 | 514.0 | 576.5 | 674.0 |
| Investments in Securities | 58.8 | 32.3 | 32.3 | 32.3 | 32.3 |
| Other Assets | 13.3 | 24.9 | 24.9 | 24.9 | 24.9 |
| | | | | | |
| **Total Current Liabilities** | **327.7** | **221.6** | **230.2** | **238.8** | **249.9** |
| ST Debt & Current Portion of LT Debt | 90.0 | 15.0 | 15.0 | 15.0 | 15.0 |
| Accounts Payable | 38.8 | 44.1 | 52.7 | 61.3 | 72.4 |
| Other Current Liabilities | 106.9 | 81.6 | 81.6 | 81.6 | 81.6 |
| **Total Long Term Liabilities** | **256.7** | **181.4** | **181.4** | **181.4** | **181.4** |
| Long Term Debt | 253.0 | 177.5 | 177.5 | 177.5 | 177.5 |
| Other Long Term Liabilities | 3.7 | 3.9 | 3.9 | 3.9 | 3.9 |
| **Net Assets** | **497.3** | **557.4** | **637.0** | **766.4** | **939.7** |
| Minority Interests | 6.8 | 7.3 | 7.3 | 7.3 | 7.3 |
| Stock Acquisition Rights | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Net Debt** | **-106.5** | **-135.5** | **-128.0** | **-169.2** | **-214.6** |

**Cash Flow Statement**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Cash from Operations** | **118.9** | **106.4** | **163.4** | **209.6** | **271.6** |
| Net Income | 33.7 | 63.7 | 92.9 | 139.9 | 191.4 |
| Depreciation and Amortization | 54.2 | 66.2 | 81.4 | 95.5 | 110.5 |
| Changes in Working Capital | -9.8 | -7.1 | -10.9 | -25.7 | -30.3 |
| Other-net | 40.7 | -16.4 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Net Cash from Investing Activities** | **-164.2** | **-52.4** | **-157.6** | **-158.0** | **-208.0** |
| Purchase of PP&E | -197.5 | -106.1 | -157.6 | -158.0 | -208.0 |
| Sale/Purchase of Invenstments | 34.6 | 57.1 | 0.0 | 0.0 | 0.0 |
| Other-net | -1.3 | -3.4 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Free Cash Flow** | **-45.3** | **54.0** | **5.8** | **51.6** | **63.6** |
| | | | | | |
| **Net Cash from Financing Activities** | **-7.1** | **-157.5** | **-13.3** | **-10.5** | **-18.2** |
| Change in Interest-bearing Debt | 0.0 | -150.0 | 0.0 | 0.0 | 0.0 |
| Change in Treasury Stock | -0.5 | 0.0 | 0.0 | 0.0 | 0.0 |
| Payment of Cash Dividends | -5.6 | -7.0 | -13.3 | -10.5 | -18.2 |
| Other-net | -1.0 | -0.6 | 0.0 | 0.0 | 0.0 |
| Net Effect of Exchange Rate Changes | -0.5 | 5.8 | 0.0 | 0.0 | 0.0 |
| **Net Change in Cash** | **-52.9** | **-97.7** | **-7.5** | **41.2** | **45.4** |
| **Cash at End of Period** | **390.7** | **292.9** | **285.4** | **326.6** | **372.0** |

**Segment Information**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **369.4** | **416.2** | **562.5** | **701.0** | **864.2** |
| **Electronics** | **197.2** | **243.3** | **385.7** | **525.5** | **680.4** |
| FC Package | 186.9 | 219.2 | 376.7 | 516.5 | 671.4 |
| Print Circuit Board | 10.3 | 10.0 | 9.0 | 9.0 | 9.0 |
| FC CSP | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Ceramics** | **84.1** | **82.6** | **86.0** | **81.5** | **87.0** |
| DPF | 34.6 | 32.5 | 36.4 | 30.0 | 30.0 |
| Sealing Materials | 30.4 | 29.3 | 28.9 | 30.0 | 30.0 |
| Graphite Specialty Products | 16.2 | 13.2 | 16.8 | 16.5 | 16.7 |
| Others | 3.0 | 5.7 | 3.9 | 5.0 | 10.3 |
| **Others** | **88.1** | **90.3** | **90.8** | **94.0** | **96.8** |
| | | | | | |
| **Total Operating Profit** | **47.6** | **62.0** | **135.0** | **200.2** | **273.8** |
| Electronics | 26.8 | 45.2 | 115.3 | 179.7 | 252.2 |
| Ceramics | 12.2 | 7.6 | 8.7 | 9.0 | 9.5 |
| Others | 8.6 | 9.1 | 11.0 | 11.6 | 12.1 |
| | | | | | |
| **Operating Profit Margin** | **12.9%** | **14.9%** | **24.0%** | **28.6%** | **31.7%** |
| Electronics | 13.6% | 18.6% | 29.9% | 34.2% | 37.1% |
| Ceramics | 14.5% | 9.3% | 10.1% | 11.0% | 10.9% |
| Others | 9.7% | 10.1% | 12.1% | 12.3% | 12.5% |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Niterra: Key Financial Data

**Exhibit 51:**

| Income Statement (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **653.0** | **731.2** | **793.5** | **816.6** | **878.3** |
| COGS | 394.9 | 450.3 | 506.7 | 498.7 | 532.2 |
| **Gross profit** | **258.1** | **280.9** | **286.9** | **317.9** | **346.1** |
| SG&A | 128.4 | 142.7 | 144.0 | 145.8 | 148.1 |
| **Operating Profit** | **129.7** | **138.2** | **142.9** | **172.0** | **198.1** |
| Non-operating Income/Loss | 3.7 | 27.3 | 56.7 | 6.7 | 6.7 |
| **Recurring Profit** | **133.3** | **165.5** | **199.6** | **178.7** | **204.8** |
| Extraordinaries Income/Loss | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Pretax Profit** | **133.3** | **165.5** | **199.6** | **178.7** | **204.8** |
| Income Tax | 40.5 | 49.0 | 77.1 | 50.0 | 57.3 |
| (Effective Tax Rate) | 30% | 30% | 39% | 28% | 28% |
| Minority Interest | 0.2 | 3.6 | 0.9 | 0.9 | 0.9 |
| **Net Profit** | **92.6** | **112.9** | **121.6** | **127.8** | **146.5** |
| | | | | | |
| Capex | 37.5 | 49.0 | 47.2 | 45.0 | 45.0 |
| Depreciation and Amortization | 39.7 | 45.0 | 42.1 | 43.0 | 43.0 |
| R&D | 0.0 | 0.0 | 30.0 | 31.0 | 31.0 |
| EBITDA | 169.4 | 183.2 | 185.0 | 215.0 | 241.1 |
| ROE | 14.1% | 15.7% | 15.3% | 15.1% | 16.1% |
| | | | | | |
| Average Share Outstanding (Diluted) | 397.2 | 395.8 | 386.9 | 376.9 | 366.9 |
| EPS (Diluted, Yen) | 233.4 | 287.6 | 311.8 | 339.1 | 399.4 |
| BPS (Yen) | 1,699.7 | 1,955.1 | 2,111.0 | 2,317.6 | 2,579.4 |
| DPS (Yen) | 89.0 | 102.5 | 105.0 | 110.0 | 125.0 |
| | | | | | |
| USD/JPY: Average Exchange Rate | 153.0 | 151.0 | 155.0 | 155.0 | 155.0 |
| EUR/JPY: Average Exchange Rate | 164.0 | 175.0 | 180.0 | 180.0 | 180.0 |
| | | | | | |
| **YoY % Change** | | | | | |
| Sales | 6% | 12% | 9% | 3% | 8% |
| Operating Profit | 21% | 7% | 3% | 20% | 15% |
| Net Profit | 12% | 22% | 8% | 5% | 15% |
| | | | | | |
| **As % of Sales** | | | | | |
| Gross profit | 39.5% | 38.4% | 36.2% | 38.9% | 39.4% |
| Operating Profit | 19.9% | 18.9% | 18.0% | 21.1% | 22.6% |
| Net Profit | 14.2% | 15.4% | 15.3% | 15.6% | 16.7% |
| Capex | 5.7% | 6.7% | 5.9% | 5.5% | 5.1% |
| Depreciation and Amortization | 6.1% | 6.2% | 5.3% | 5.3% | 4.9% |

| Balance Sheet (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total Assets** | **991.0** | **1,221.1** | **1,249.1** | **1,274.6** | **1,322.7** |
| | | | | | |
| **Total Current Assets** | **588.5** | **658.2** | **681.1** | **704.7** | **750.7** |
| Cash and Cash Equivalents | 208.2 | 187.7 | 182.6 | 218.0 | 242.5 |
| Marketable Securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Account Receivables | 147.6 | 172.2 | 186.8 | 192.3 | 206.8 |
| Inventory | 183.9 | 217.7 | 231.1 | 213.8 | 220.9 |
| Other Current Assets | 48.8 | 80.6 | 80.6 | 80.6 | 80.6 |
| **Total Long Term Assets** | **402.4** | **562.9** | **568.0** | **570.0** | **572.0** |
| Net PP&E | 220.0 | 265.7 | 270.7 | 272.7 | 274.7 |
| Investments in Securities | 93.1 | 81.6 | 81.6 | 81.6 | 81.6 |
| Other Assets | 89.4 | 215.7 | 215.7 | 215.7 | 215.7 |
| | | | | | |
| **Total Current Liabilities** | **153.6** | **195.8** | **204.5** | **203.2** | **208.4** |
| ST Debt & Current Portion of LT Debt | 16.7 | 31.4 | 31.4 | 31.4 | 31.4 |
| Accounts Payable | 57.7 | 69.7 | 78.5 | 77.2 | 82.4 |
| Other Current Liabilities | 79.3 | 94.6 | 94.6 | 94.6 | 94.6 |
| **Total Long Term Liabilities** | **162.6** | **254.1** | **224.1** | **194.1** | **164.1** |
| Long Term Debt | 140.0 | 211.0 | 181.0 | 151.0 | 121.0 |
| Other Long Term Liabilities | 22.6 | 43.1 | 43.1 | 43.1 | 43.1 |
| **Net Assets** | **674.7** | **771.3** | **820.5** | **877.3** | **950.2** |
| Minority Interests | 0.1 | 3.8 | 3.8 | 3.8 | 3.8 |
| | | | | | |
| **Net Debt** | **-144.6** | **-26.8** | **-51.7** | **-117.1** | **-171.6** |

| Cash Flow Statement (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Cash from Operations** | **132.9** | **109.4** | **144.4** | **181.4** | **173.1** |
| Net Income | 92.6 | 112.9 | 121.6 | 127.8 | 146.5 |
| Depreciation and Amortization | 39.7 | 45.0 | 42.1 | 43.0 | 43.0 |
| Changes in Working Capital | -6.2 | -27.3 | -19.3 | 10.6 | -16.4 |
| Other-net | 6.8 | -21.2 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Net Cash from Investing Activities** | **-34.2** | **-165.5** | **-47.2** | **-45.0** | **-45.0** |
| Purchase of PP&E | -27.8 | -32.3 | -47.2 | -45.0 | -45.0 |
| Sale/Purchase of Invenstments | -3.4 | 7.7 | 0.0 | 0.0 | 0.0 |
| Other-net | -3.0 | -140.9 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Free Cash Flow** | **98.7** | **-56.1** | **97.2** | **136.4** | **128.1** |
| | | | | | |
| **Net Cash from Financing Activities** | **-71.0** | **28.6** | **-102.3** | **-101.0** | **-103.7** |
| Change in Interest-bearing Debt | -25.9 | 86.4 | -30.0 | -30.0 | -30.0 |
| Change in Treasury Stock | -10.0 | -16.8 | -30.0 | -30.0 | -30.0 |
| Payment of Cash Dividends | -34.4 | -36.4 | -42.3 | -41.0 | -43.7 |
| Other-net | -0.7 | -4.6 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| Net EEVect of Exchange Rate Changes | -0.2 | 7.1 | 0.0 | 0.0 | 0.0 |
| **Net Change in Cash** | **27.5** | **-20.4** | **-5.1** | **35.4** | **24.5** |
| **Cash at End of Period** | **208.2** | **187.7** | **182.6** | **218.0** | **242.5** |

| Segment Information (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net sales** | **653.0** | **731.2** | **793.5** | **816.6** | **878.3** |
| **Automotive Components** | **542.8** | **587.5** | **632.6** | **653.1** | **704.0** |
| Spark & Glow Plugs | 362.6 | 390.7 | 428.5 | 446.2 | 490.8 |
| Automotive Sensors | 180.2 | 196.8 | 204.2 | 206.9 | 213.1 |
| **Ceramics** | **103.1** | **130.7** | **150.0** | **157.5** | **168.4** |
| **New Business** | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Others/Elimination** | **7.1** | **13.0** | **10.9** | **6.0** | **6.0** |
| | | | | | |
| **Total Operating Profit** | **129.7** | **138.2** | **142.9** | **172.0** | **198.1** |
| **Automotive Components** | **134.2** | **135.3** | **136.0** | **160.6** | **179.3** |
| **Ceramics** | **-6.3** | **-4.6** | **7.2** | **11.4** | **18.8** |
| **New Business** | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** |
| **Others/Eliminatio** | **1.8** | **7.4** | **-0.4** | **0.0** | **0.0** |
| | | | | | |
| **Operating Profit Margin** | **19.9%** | **18.9%** | **18.0%** | **21.1%** | **22.6%** |
| **Automotive Components** | **24.7%** | **23.0%** | **21.5%** | **24.6%** | **25.5%** |
| **Ceramics** | **-6.1%** | **-3.5%** | **4.8%** | **7.3%** | **11.2%** |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Minebea Mitsumi: Key Financial Data

## Exhibit 52:

**Income Statement**

| (Y bil) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **1,522.7** | **1,664.4** | **1,733.9** | **1,780.7** | **1,855.0** |
| Cost of Goods Sold | 1,252.3 | 1,371.4 | 1,357.1 | 1,375.7 | 1,429.4 |
| **Gross Profit** | **270.4** | **293.0** | **376.8** | **405.0** | **425.6** |
| SG&A Expenses | 175.9 | 189.0 | 252.2 | 266.7 | 270.5 |
| **Operating Profit** | **94.5** | **104.0** | **124.6** | **138.2** | **155.1** |
| Interest/Dividend income | 6.9 | 40.9 | 9.7 | 1.8 | 1.8 |
| Interest Expense | 18.8 | 11.1 | 12.2 | 2.5 | 2.5 |
| Other Non-Operating Income/Loss | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Recurring Profit** | **82.6** | **133.8** | **122.1** | **137.5** | **154.4** |
| Extraordinaries Income/Loss | **0.0** | **0.0** | **0.0** | **0.0** | **0.0** |
| **Pretax profit** | **82.6** | **133.8** | **122.1** | **137.5** | **154.4** |
| Income Tax | 22.8 | 34.5 | 32.6 | 35.8 | 40.2 |
| (Effective Tax Rate) | 28% | 26% | 27% | 26% | 26% |
| Minority Interest | 0.4 | 0.2 | -0.1 | 0.0 | 0.0 |
| **Net Profit** | **59.5** | **99.0** | **89.6** | **101.8** | **114.3** |
| | | | | | |
| Capex | 94.8 | 96.5 | 111.9 | 106.8 | 111.3 |
| Depreciation and Amortization | 66.2 | 70.4 | 75.2 | 77.3 | 80.5 |
| R&D | 45.5 | 49.8 | 51.5 | 53.4 | 55.6 |
| EBITDA | 160.7 | 174.4 | 199.9 | 215.5 | 235.6 |
| **ROE** | 8.2% | 12.1% | 9.6% | 10.1% | 10.5% |
| | | | | | |
| Average Share Outstanding (mil, Diluted) | 406.3 | 401.6 | 401.6 | 401.6 | 401.6 |
| EPS (Diluted, Yen) | 147.7 | 246.6 | 223.1 | 253.4 | 284.6 |
| BPS (Yen) | 1,830.0 | 2,238.6 | 2,408.6 | 2,606.0 | 2,831.6 |
| DPS (Yen) | 45.0 | 50.0 | 53.0 | 56.0 | 59.0 |
| | | | | | |
| USD/JPY: Average Exchange Rate | 152.6 | 150.0 | 155.0 | 155.0 | 155.0 |
| | | | | | |
| **YoY % Change** | 0% | 0% | 0% | 0% | 0% |
| Net Sales | 9% | 9% | 4% | 3% | 4% |
| Operating Profit | 28% | 10% | 20% | 11% | 12% |
| Net Profit | 10% | 67% | -10% | 14% | 12% |
| | | | | | |
| **As % of Sales** | 0% | 0% | 0% | 0% | 0% |
| Gross Profit | 17.8% | 17.6% | 21.7% | 22.7% | 22.9% |
| Operating Profit | 6.2% | 6.2% | 7.2% | 7.8% | 8.4% |
| Net Profit | 3.9% | 6.0% | 5.2% | 5.7% | 6.2% |

**Balance Sheet**

| (Y bil) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total Assets** | **1,584.8** | **1,814.8** | **1,876.2** | **1,960.8** | **2,064.0** |
| | | | | | |
| **Total Current Assets** | **904.1** | **1,028.7** | **1,053.4** | **1,108.4** | **1,180.8** |
| Cash and Cash Equivalents | 214.3 | 227.5 | 227.1 | 266.5 | 307.1 |
| Marketable Securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Account Receivables | 293.3 | 356.5 | 385.6 | 396.0 | 412.5 |
| Inventory | 350.9 | 391.3 | 387.3 | 392.6 | 407.9 |
| Other Current Assets | 170.3 | 220.9 | 220.9 | 220.9 | 220.9 |
| **Total Long Term Assets** | **680.7** | **786.1** | **822.8** | **852.3** | **883.2** |
| Net PP&E | 529.0 | 585.3 | 622.0 | 651.5 | 682.3 |
| Investments in Securities | 27.1 | 33.3 | 33.3 | 33.3 | 33.3 |
| Other assets | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Total Current Liabilities** | **477.2** | **602.2** | **595.1** | **600.4** | **613.1** |
| ST Debt & Current Portion of LT Debt | 175.1 | 264.1 | 264.1 | 264.1 | 264.1 |
| Accounts Payable | 213.6 | 235.6 | 217.8 | 220.8 | 229.4 |
| Other Current Liabilities | 88.5 | 102.5 | 113.1 | 115.5 | 119.5 |
| **Total Long Term Liabilities** | **353.0** | **301.6** | **301.6** | **301.6** | **301.6** |
| Long Term Debt | 288.5 | 218.4 | 218.4 | 218.4 | 218.4 |
| Other Long Term Liabilities | 64.4 | 83.2 | 83.2 | 83.2 | 83.2 |
| Accrued pension cost | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Minority Interests | 11.2 | 12.1 | 12.2 | 12.2 | 12.2 |
| **Total Equity** | **754.6** | **911.0** | **979.5** | **1,058.7** | **1,149.3** |
| | | | | | |
| **Net Debt** | **249.3** | **255.0** | **255.4** | **216.0** | **175.4** |

**Cash Flow Statement**

| (Y bil) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Cash from Operations** | **133.7** | **94.9** | **122.2** | **166.3** | **171.6** |
| Net Income After Tax | 59.5 | 99.0 | 89.6 | 101.8 | 114.3 |
| Depreciation and Amortization | 66.2 | 70.4 | 75.2 | 77.3 | 80.5 |
| Changes in Working Capital: | 9.7 | -53.9 | -42.8 | -12.7 | -23.2 |
| Other-net | -1.7 | -20.7 | 0.1 | 0.0 | 0.0 |
| | | | | | |
| **Net Cash from Investing Activities** | **-125.8** | **-82.8** | **-101.3** | **-104.5** | **-107.3** |
| Purchase of PP&E | -77.4 | -77.1 | -111.9 | -106.8 | -111.3 |
| Sale/Purchase of Invenstments | -0.4 | -0.2 | 0.0 | 0.0 | 0.0 |
| Other-net | -48.0 | -5.5 | 10.6 | 2.3 | 4.0 |
| | | | | | |
| **Free cash flow** | **7.9** | **12.1** | **20.9** | **61.8** | **64.3** |
| | | | | | |
| **Net Cash from Financing Activities** | **64.0** | **-16.1** | **-21.3** | **-22.5** | **-23.7** |
| Change in Interest-bearing Debt | 96.4 | 13.0 | 0.0 | 0.0 | 0.0 |
| Change in Treasury Stock | -8.7 | 0.0 | 0.0 | 0.0 | 0.0 |
| Payment of Cash Dividends | -16.1 | -20.1 | -21.3 | -22.5 | -23.7 |
| Other-net | -7.6 | -9.1 | 0.0 | 0.0 | 0.0 |
| Net Effect of Exchange Rate Changes | -4.3 | 17.3 | 0.0 | 0.0 | 0.0 |
| **Cash at End of Period** | **214.3** | **227.5** | **227.1** | **266.5** | **307.1** |

**Segment Information**

| (Y bil) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales by Segment** | | | | | |
| **Total Sales** | **1,522.7** | **1,664.4** | **1,733.9** | **1,780.7** | **1,855.0** |
| Precision Technologies | 255.7 | 281.2 | 332.5 | 338.6 | 359.0 |
| Ball bearings | 171.8 | 186.4 | 214.7 | 215.0 | 229.4 |
| Rod-ends/Fasteners | 59.1 | 66.0 | 84.2 | 89.3 | 94.7 |
| Pivot assemblies | 24.8 | 28.7 | 33.6 | 34.3 | 35.0 |
| Motor, Lighting & Sensing | 407.7 | 456.5 | 509.4 | 530.3 | 552.1 |
| Motors | 322.4 | 340.3 | 393.9 | 413.6 | 434.2 |
| Electronic devices | 41.1 | 68.0 | 76.5 | 76.5 | 76.5 |
| Measuring components | 36.9 | 38.5 | 39.0 | 40.2 | 41.4 |
| Other | 7.4 | 9.8 | 0.0 | 0.0 | 0.0 |
| Semiconductors & Electronics | 527.6 | 590.3 | 535.2 | 541.8 | 555.4 |
| Access Solutions | 328.1 | 332.2 | 351.5 | 369.0 | 387.5 |
| Others | 3.5 | 4.2 | 5.3 | 1.0 | 1.0 |
| | | | | | |
| **Operating Profit by Segment** | | | | | |
| **Total Operating Profit** | **94.5** | **104.0** | **124.6** | **138.2** | **155.1** |
| Machined Components Business | 55.7 | 62.2 | 76.6 | 77.7 | 85.9 |
| Electronic Devices & Components Business | 23.0 | 26.9 | 32.7 | 36.9 | 41.5 |
| Semiconductors & Electronics | 22.0 | 26.7 | 27.7 | 30.2 | 33.3 |
| Access Solutions | 15.9 | 17.1 | 15.6 | 20.3 | 21.3 |
| Others | -1.2 | -2.7 | -2.1 | -1.0 | -1.0 |
| Adjustments | -20.9 | -26.3 | -25.8 | -25.8 | -25.8 |
| | | | | | |
| **Operating Profit Margin** | **6.2%** | **6.2%** | **7.2%** | **7.8%** | **8.4%** |
| Machined Components Business | 21.8% | 22.1% | 23.0% | 22.9% | 23.9% |
| Electronic Devices & Components Business | 5.6% | 5.9% | 6.4% | 7.0% | 7.5% |
| Semiconductors & Electronics | 4.2% | 4.5% | 5.2% | 5.6% | 6.0% |
| Access Solutions | 4.9% | 5.1% | 4.4% | 5.5% | 5.5% |
| Others | -33.8% | -63.2% | -40.3% | -100.0% | -100.0% |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Mabuchi Motor: Key Financial Data

**Exhibit 53:**

| Income Statement (Y bn) | F12/24 | F12/25 | F12/26e | F12/27e | F12/28e |
|---|---|---|---|---|---|
| **Net Sales** | **196.2** | **200.4** | **224.5** | **242.1** | **255.2** |
| COGS | 143.3 | 140.6 | 157.7 | 173.1 | 183.8 |
| **Gross Profit** | **52.9** | **59.8** | **66.8** | **69.0** | **71.4** |
| SG&A Expenses | 31.2 | 34.3 | 39.2 | 39.6 | 39.8 |
| **Operating Profit** | **21.6** | **25.5** | **27.5** | **29.4** | **31.6** |
| Non-operating Income/Loss | 10.8 | 9.6 | 7.9 | 7.9 | 4.4 |
| **Recurring Profit** | **32.4** | **35.1** | **35.4** | **37.4** | **36.0** |
| Extraordinary Income/Loss | -8.7 | -0.1 | -0.2 | -0.2 | -0.2 |
| **Pretax Profit** | **23.7** | **35.0** | **35.2** | **37.1** | **35.7** |
| Income Tax | 10.9 | 8.7 | 10.8 | 10.8 | 10.4 |
| (Effective Tax Rate) | 46% | 25% | 31% | 29% | 29% |
| Minority Interest | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Net Profit** | **12.8** | **26.3** | **24.4** | **26.4** | **25.4** |
| | | | | | |
| Capex | 14.1 | 10.3 | 13.6 | 15.0 | 15.0 |
| Depreciation and Amortization | 14.2 | 13.3 | 14.9 | 14.0 | 14.0 |
| R&D Expenses | 7.0 | 7.8 | 8.6 | 9.0 | 9.0 |
| EBITDA | 35.8 | 38.8 | 42.4 | 43.4 | 45.6 |
| **ROE** | **4.1%** | **8.0%** | **7.4%** | **8.3%** | **8.2%** |
| | | | | | |
| Average Share Outstanding (Diluted) | 254.1 | 248.1 | 234.1 | 234.1 | 234.1 |
| EPS (Diluted, Yen) | 50.5 | 105.9 | 99.4 | 112.6 | 108.4 |
| BPS (Yen) | 1,257.7 | 1,347.0 | 1,378.4 | 1,338.5 | 1,295.5 |
| DPS (Yen) | 38.0 | 53.0 | 70.0 | 64.0 | 68.0 |
| | | | | | |
| USD/JPY: Average Exchange Rate | 151.6 | 149.7 | 156.6 | 155.0 | 155.0 |
| | | | | | |
| **YoY % Change** | | | | | |
| Net Sales | 10% | 2% | 12% | 8% | 5% |
| Operating Profit | 39% | 18% | 8% | 7% | 7% |
| Net Profit | -34% | 105% | -7% | 8% | -4% |
| | | | | | |
| **As % of Sales** | | | | | |
| Gross Profit | 26.9% | 29.8% | 29.7% | 28.5% | 28.0% |
| Operating Profit | 11.0% | 12.7% | 12.2% | 12.1% | 12.4% |
| Net Profit | 6.5% | 13.1% | 10.9% | 10.9% | 9.9% |
| Capex | 7.2% | 5.1% | 6.1% | 6.2% | 5.9% |
| Depreciation and Amortization | 7.2% | 6.6% | 6.6% | 5.8% | 5.5% |

| Balance Sheet (Y bn) | F12/24 | F12/25 | F12/26e | F12/27e | F12/28e |
|---|---|---|---|---|---|
| **Total Assets** | **355.0** | **370.2** | **358.8** | **350.5** | **341.2** |
| | | | | | |
| **Total Current Assets** | **238.5** | **247.7** | **237.7** | **228.4** | **218.0** |
| Cash and Cash Equivalents | 134.9 | 143.4 | 126.9 | 113.8 | 102.9 |
| Marketable Securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Account Receivables | 37.3 | 38.7 | 39.0 | 41.4 | 42.9 |
| Inventory | 59.8 | 57.8 | 63.9 | 65.4 | 64.4 |
| Other Current Assets | 6.4 | 7.8 | 7.8 | 7.8 | 7.8 |
| **Total Long Term Assets** | **116.5** | **122.4** | **121.1** | **122.1** | **123.1** |
| Net PP&E | 95.5 | 95.9 | 94.6 | 95.6 | 96.6 |
| Investments in Securities | 12.4 | 16.4 | 16.4 | 16.4 | 16.4 |
| Other Assets | 8.6 | 10.2 | 10.2 | 10.2 | 10.2 |
| | | | | | |
| **Total Current Liabilities** | **28.8** | **28.3** | **28.5** | **29.5** | **30.3** |
| ST Debt and Current Portion of LT Debt | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Accounts Payable | 7.7 | 10.4 | 10.6 | 11.6 | 12.3 |
| Other Current Liabilities | 21.1 | 17.9 | 17.9 | 17.9 | 17.9 |
| **Total Long Term Liabilities** | **6.5** | **7.6** | **7.6** | **7.6** | **7.6** |
| Long Term Debt | 0.5 | 1.3 | 1.3 | 1.3 | 1.3 |
| Other Long Term Liabilities | 6.0 | 6.3 | 6.3 | 6.3 | 6.3 |
| | | | | | |
| **Net Assets** | **319.6** | **334.2** | **322.6** | **313.3** | **303.2** |
| Minority Interests | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Net Debt** | **-146.8** | **-158.5** | **-142.0** | **-128.8** | **-117.9** |

| Cash Flow Statement (Y bn) | F12/24 | F12/25 | F12/26e | F12/27e | F12/28e |
|---|---|---|---|---|---|
| **Net Cash from Operations** | **40.1** | **35.4** | **33.1** | **37.5** | **39.6** |
| Net Income | 12.8 | 26.3 | 24.4 | 26.4 | 25.4 |
| Depreciation and Amortization | 14.2 | 13.5 | 14.9 | 14.0 | 14.0 |
| Changes in Working Capital | 2.2 | 8.1 | -6.2 | -2.9 | 0.2 |
| Other-net | 10.9 | -12.5 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Net Cash from Investing Activities** | **-15.8** | **-10.5** | **-13.6** | **-15.0** | **-15.0** |
| Purchase of PP&E | -14.0 | -10.2 | -13.6 | -15.0 | -15.0 |
| | -0.5 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other-net | -1.2 | -0.3 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Free Cash Flow** | **24.4** | **24.8** | **19.5** | **22.5** | **24.6** |
| | | | | | |
| **Net Cash from Financing Activities** | **-16.2** | **-17.4** | **-35.9** | **-35.7** | **-35.4** |
| Change in Interest-bearing Debt | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Change in Treasury Stock | -5.7 | -6.7 | -19.0 | -20.0 | -20.0 |
| Payment of Cash Dividends | -10.2 | -9.7 | -16.9 | -15.7 | -15.4 |
| Other-net | -0.3 | -1.0 | 0.0 | 0.0 | 0.0 |
| Net Effect of Exchange Rate Changes | 10.1 | 1.9 | 0.0 | 0.0 | 0.0 |
| **Net Change in Cash** | **18.3** | **9.4** | **-16.5** | **-13.2** | **-10.9** |
| **Cash at End of Period** | **130.6** | **139.9** | **123.5** | **110.3** | **99.4** |

| Sales by Application (Y bn) | F12/24 | F12/25 | F12/26e | F12/27e | F12/28e |
|---|---|---|---|---|---|
| **Net Sales** | **196.2** | **200.4** | **224.5** | **242.1** | **255.2** |
| Automotive Products | 152.5 | 154.5 | 165.0 | 173.4 | 183.9 |
| Life & Industrial Products | 43.7 | 45.9 | 59.5 | 68.7 | 71.3 |
| | | | | | |
| **YoY % Change** | | | | | |
| **Net Sales** | **10%** | **2%** | **12%** | **8%** | **5%** |
| Automotive Products | 9% | 1% | 7% | 5% | 6% |
| Life & Industrial Products | 13% | 5% | 30% | 15% | 4% |
| | | | | | |
| **As % of Sales** | | | | | |
| Automotive Products | 78% | 77% | 73% | 72% | 72% |
| Life & Industrial Products | 22% | 23% | 27% | 28% | 28% |

| Shipment Volume by Application (mn units) | F12/24 | F12/25 | F12/26e | F12/27e | F12/28e |
|---|---|---|---|---|---|
| **Total Sales Quantity** | **1,348** | **1,340** | **1,311** | **1,369** | **1,438** |
| Automotive Products | 1,055 | 1,071 | 1,060 | 1,108 | 1,163 |
| Life & Industrial Products | 293 | 269 | 249 | 261 | 275 |
| | | | | | |
| **Precision & Office Equipment** | | | | | |
| **Total Sales Quantity** | **2%** | **-1%** | **-2%** | **4%** | **5%** |
| Automotive Products | 2% | 2% | -1% | 4% | 5% |
| Life & Industrial Products | -1% | -8% | -7% | 5% | 5% |
| | | | | | |
| **As % of Sales** | | | | | |
| Automotive Products | 78% | 80% | 81% | 81% | 81% |
| Life & Industrial Products | 22% | 20% | 19% | 19% | 19% |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# TDK: Key Financial Data

**Exhibit 54:**

**Income Statement**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **2,204.8** | **2,504.8** | **3,071.8** | **3,360.5** | **3,667.4** |
| Cost of Goods Sold | 1,516.8 | 1,721.4 | 2,107.7 | 2,319.7 | 2,547.9 |
| **Gross Profit** | **688.0** | **783.4** | **964.1** | **1,040.8** | **1,119.5** |
| SG&A Expenses | 494.0 | 544.0 | 616.2 | 640.1 | 665.4 |
| Others* | 30.2 | 33.0 | 12.5 | 0.0 | 0.0 |
| **Operating Profit** | **224.2** | **272.4** | **360.4** | **400.7** | **454.0** |
| Non-operating Income/Loss | 13.6 | 4.4 | 11.2 | 7.6 | 8.7 |
| **Pretax Profit** | **237.8** | **276.8** | **371.6** | **408.3** | **462.7** |
| Income Tax | 67.4 | 77.6 | 87.3 | 106.2 | 115.7 |
| (Effective Tax Rate) | 28% | 28% | 24% | 26% | 25% |
| Minority Interest | 3.2 | 3.5 | 3.7 | 4.0 | 4.0 |
| **Net Profit** | **167.2** | **195.7** | **280.6** | **298.1** | **343.0** |
| | | | | | |
| Capex | 225.3 | 298.6 | 364.9 | 350.0 | 350.0 |
| Depreciation and Amortization | 196.2 | 204.2 | 244.3 | 260.0 | 280.0 |
| R&D Expenses | 253.6 | 289.7 | 310.5 | 320.0 | 330.0 |
| EBITDA | 420.4 | 476.6 | 604.7 | 660.7 | 734.0 |
| **ROE** | **9.5%** | **9.7%** | **12.2%** | **11.9%** | **12.5%** |
| | | | | | |
| Average Share Outstanding (Diluted) | 1,900.0 | 1,900.2 | 1,896.7 | 1,898.2 | 1,898.2 |
| EPS (Diluted, Yen) | 88.0 | 103.0 | 147.8 | 157.1 | 180.7 |
| BPS (Yen) | 953.3 | 1,159.6 | 1,263.1 | 1,377.2 | 1,511.9 |
| DPS (Yen) | 30.0 | 36.0 | 40.0 | 44.0 | 48.0 |
| | | | | | |
| USD/JPY: Average Exchange Rate | 152.7 | 150.8 | 155.0 | 155.0 | 155.0 |
| EUR/JPY: Average Exchange Rate | 163.9 | 174.8 | 180.0 | 180.0 | 180.0 |
| | | | | | |
| **YoY % Change** | | | | | |
| Net Sales | 5% | 14% | 23% | 9% | 9% |
| Operating Profit | 30% | 22% | 32% | 11% | 13% |
| Net Profit | 34% | 17% | 43% | 6% | 15% |
| | | | | | |
| **As % of Sales** | | | | | |
| Gross Profit | 31.2% | 31.3% | 31.4% | 31.0% | 30.5% |
| Operating Profit | 10.2% | 10.9% | 11.7% | 11.9% | 12.4% |
| Net Profit | 7.6% | 7.8% | 9.1% | 8.9% | 9.4% |
| Capex | 10.2% | 11.9% | 11.9% | 10.4% | 9.5% |
| Depreciation and Amortization | 8.9% | 8.2% | 8.0% | 7.7% | 7.6% |

**Balance Sheet**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total Assets** | **3,541.4** | **4,415.2** | **4,384.6** | **4,653.7** | **4,963.7** |
| | | | | | |
| **Total Current Assets** | **1,836.9** | **2,455.2** | **2,224.1** | **2,403.2** | **2,643.2** |
| Cash and Cash Equivalents | 697.3 | 842.8 | 787.7 | 910.9 | 1,098.3 |
| Marketable Securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Account Receivables | 583.1 | 780.6 | 668.6 | 703.8 | 738.0 |
| Inventory | 410.0 | 585.4 | 521.4 | 542.1 | 560.5 |
| Other Current Assets | 146.4 | 246.4 | 246.4 | 246.4 | 246.4 |
| **Total Long Term Assets** | **1,704.6** | **1,959.9** | **2,160.5** | **2,250.5** | **2,320.5** |
| Net PP&E | 1,030.1 | 1,225.8 | 1,386.3 | 1,476.3 | 1,546.3 |
| Investments in Securities | 183.8 | 226.8 | 226.8 | 226.8 | 226.8 |
| Other Assets | 276.6 | 269.2 | 269.2 | 269.2 | 269.2 |
| | | | | | |
| **Total Current Liabilities** | **1,098.5** | **1,574.5** | **1,331.9** | **1,378.5** | **1,428.8** |
| ST Debt and Current Portion of LT Debt | 187.1 | 211.0 | 211.0 | 211.0 | 211.0 |
| Accounts Payable | 392.5 | 706.7 | 464.0 | 510.7 | 560.9 |
| Other Current Liabilities | 518.8 | 656.9 | 656.9 | 656.9 | 656.9 |
| **Total Long Term Liabilities** | **631.7** | **637.1** | **637.1** | **637.1** | **637.1** |
| Long Term Debt | 346.0 | 332.7 | 332.7 | 332.7 | 332.7 |
| Other Long Term Liabilities | 285.7 | 304.4 | 304.4 | 304.4 | 304.4 |
| Minority Interests | 11.2 | 16.3 | 20.0 | 24.0 | 28.0 |
| **Total Equity** | **1,811.3** | **2,203.5** | **2,395.7** | **2,614.2** | **2,869.9** |
| | | | | | |
| **Net Debt** | **-348.0** | **-525.9** | **-470.9** | **-594.1** | **-781.5** |

**Cash Flow Statement**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Cash from Operations** | **445.8** | **507.7** | **461.9** | **552.9** | **624.7** |
| Net Income | 167.2 | 195.7 | 280.6 | 298.1 | 343.0 |
| Depreciation and Amortization | 196.2 | 204.2 | 244.3 | 260.0 | 280.0 |
| Changes in Working Capital | 2.5 | -8.9 | -66.7 | -9.2 | -2.3 |
| Other-net | 80.0 | 116.7 | 3.7 | 4.0 | 4.0 |
| | | | | | |
| **Net Cash from Investing Activities** | **-244.8** | **-377.8** | **-444.9** | **-350.0** | **-350.0** |
| Purchase of PP&E | -225.3 | -298.6 | -364.9 | -350.0 | -350.0 |
| Sale/Purchase of Invenstments | 9.9 | -4.3 | 0.0 | 0.0 | 0.0 |
| Other-net | -29.5 | -74.9 | -80.0 | 0.0 | 0.0 |
| | | | | | |
| **Free Cash Flow** | **201.0** | **129.9** | **17.0** | **202.9** | **274.7** |
| | | | | | |
| **Net Cash from Financing Activities** | **-143.3** | **-64.7** | **-72.1** | **-79.7** | **-87.3** |
| Change in Interest-bearing Debt | -81.3 | 9.9 | 0.0 | 0.0 | 0.0 |
| Change in Treasury Stock | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Payment of Cash Dividends | -48.5 | -60.7 | -72.1 | -79.7 | -87.3 |
| Other-net | -13.5 | -13.9 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| Net Effect of Exchange Rate Changes | -10.4 | 80.3 | 0.0 | 0.0 | 0.0 |
| **Net Change in Cash** | **47.3** | **145.5** | **-55.1** | **123.2** | **187.4** |
| **Cash at End of Period** | **697.3** | **842.8** | **787.7** | **910.9** | **1,098.3** |

**Segment Information**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **2,204.8** | **2,504.8** | **3,071.8** | **3,360.5** | **3,667.4** |
| Passive Components | 559.6 | 593.2 | 739.7 | 781.9 | 815.6 |
| Capacitors | 234.3 | 257.5 | 337.9 | 357.5 | 375.4 |
| Inductive Devices | 204.3 | 216.2 | 263.3 | 281.7 | 293.0 |
| Other Passive Components | 121.1 | 119.5 | 138.5 | 142.6 | 147.2 |
| Sensor Application Products | 189.5 | 224.6 | 254.8 | 272.0 | 290.4 |
| Magnetic Application Products | 223.6 | 262.9 | 359.8 | 391.8 | 422.6 |
| Energy Application Products | 1,176.5 | 1,370.3 | 1,665.1 | 1,864.9 | 2,088.7 |
| Other | 55.6 | 53.8 | 52.4 | 50.0 | 50.0 |
| | | | | | |
| **Total Operating Profit** | **224.2** | **272.4** | **360.4** | **400.7** | **454.0** |
| Passive Components | 34.1 | 41.8 | 72.5 | 79.0 | 88.8 |
| Sensor Application Products | 5.0 | 20.7 | 32.6 | 39.0 | 44.8 |
| Magnetic Application Products | 3.4 | 27.0 | 52.6 | 59.8 | 67.2 |
| Energy Application Products | 234.4 | 246.7 | 271.1 | 280.9 | 311.2 |
| Other | -4.4 | -10.2 | -7.8 | -6.0 | -6.0 |
| Corporate and Eliminations | -48.3 | -53.6 | -60.5 | -52.0 | -52.0 |
| | | | | | |
| **Profit Margin** | **10.2%** | **10.9%** | **11.7%** | **11.9%** | **12.4%** |
| Passive Components | 6.1% | 7.1% | 9.8% | 10.1% | 10.9% |
| Sensor Application Products | 2.6% | 9.2% | 12.8% | 14.4% | 15.4% |
| Magnetic Application Products | 1.5% | 10.3% | 14.6% | 15.3% | 15.9% |
| Energy Application Products | 19.9% | 18.0% | 16.3% | 15.1% | 14.9% |
| Other | -8.0% | -19.0% | -14.9% | -12.0% | -12.0% |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Alps Alpine: Key Financial Data

**Exhibit 55:**

**Income Statement**

| (Y bn) | F3/25 | F3/26e | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **990.4** | **1,019.5** | **1,097.4** | **1,191.1** | **1,231.6** |
| Cost of Goods Sold | 815.2 | 837.6 | 897.4 | 969.5 | 997.3 |
| **Gross Profit** | **175.2** | **181.9** | **200.0** | **221.6** | **234.3** |
| SG&A Expenses | 141.1 | 139.8 | 151.5 | 170.3 | 176.1 |
| **Operating Profit** | **34.1** | **42.0** | **48.5** | **51.2** | **58.1** |
| Non-Operating Income/Loss | -3.6 | 7.1 | -1.3 | 2.4 | 2.4 |
| **Pretax profit** | **57.9** | **43.9** | **51.4** | **51.6** | **58.5** |
| Income Tax | 19.8 | 16.7 | 18.3 | 15.0 | 17.0 |
| (Effective Tax Rate) | 34% | 38% | 36% | 29% | 29% |
| Minority Interest | 0.2 | 0.4 | 0.4 | 0.0 | 0.0 |
| **Net Profit** | **37.8** | **26.9** | **32.8** | **36.7** | **41.6** |
| | | | | | |
| Capex | 51.8 | 61.6 | 79.2 | 60.0 | 60.0 |
| Depreciation and Amortization | 35.1 | 34.0 | 43.0 | 42.0 | 42.0 |
| R&D | 24.3 | 21.9 | 27.8 | 33.0 | 35.0 |
| EBITDA | 69.2 | 76.0 | 91.5 | 93.2 | 100.1 |
| **ROE** | **9.4%** | **6.2%** | **7.2%** | **7.6%** | **8.2%** |
| | | | | | |
| Average Share Outstanding (Diluted) | 205.6 | 199.4 | 195.1 | 195.1 | 195.1 |
| EPS (Diluted, Yen) | 184.0 | 134.8 | 167.8 | 187.9 | 213.0 |
| BPS (Yen) | 2,013.1 | 2,293.7 | 2,397.5 | 2,515.4 | 2,653.4 |
| DPS (Yen) | 60.0 | 62.0 | 64.0 | 70.0 | 75.0 |
| | | | | | |
| USD/JPY: Average Exchange Rate | 151.3 | 150.8 | 155.0 | 155.0 | 155.0 |
| | | | | | |
| **YoY % Change** | | | | | |
| Net Sales | 3% | 3% | 8% | 9% | 3% |
| Operating Profit | 73% | 23% | 15% | 6% | 13% |
| Net Profit | - | -29% | 22% | 12% | 13% |
| | | | | | |
| **As % of Sales** | | | | | |
| Gross Profit | 17.7% | 17.8% | 18.2% | 18.6% | 19.0% |
| Operating Profit | 3.4% | 4.1% | 4.4% | 4.3% | 4.7% |
| Net Profit | 3.8% | 2.6% | 3.0% | 3.1% | 3.4% |
| Capex | 5.2% | 6.0% | 7.2% | 5.0% | 4.9% |
| Depreciation and Amortization | 3.5% | 3.3% | 3.9% | 3.5% | 3.4% |

**Balance Sheet**

| (Y bn) | F3/25 | F3/26e | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total Assets** | **740.7** | **783.2** | **808.6** | **839.5** | **869.4** |
| | | | | | |
| **Total Current Assets** | **494.9** | **500.7** | **489.9** | **502.8** | **514.8** |
| Cash and Cash Equivalents | 147.9 | 153.6 | 138.4 | 123.9 | 124.6 |
| Marketable Securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Account Receivables | 166.8 | 169.4 | 180.9 | 196.4 | 203.1 |
| Inventory | 138.6 | 138.3 | 148.4 | 160.3 | 164.9 |
| Other Current Assets | 41.5 | 39.4 | 22.2 | 22.2 | 22.2 |
| **Total Long Term Assets** | **245.8** | **282.4** | **318.6** | **336.6** | **354.6** |
| Net PP&E | 136.7 | 158.0 | 194.2 | 212.2 | 230.2 |
| Investments in Securities | 60.0 | 67.7 | 67.7 | 67.7 | 67.7 |
| Other assets | 49.1 | 56.8 | 56.8 | 56.8 | 56.8 |
| | | | | | |
| **Total Current Liabilities** | **226.9** | **240.7** | **245.9** | **253.8** | **256.8** |
| ST Debt & Current Portion of LT Debt | 44.3 | 37.1 | 37.1 | 37.1 | 37.1 |
| Accounts Payable | 90.4 | 93.2 | 98.3 | 106.2 | 109.3 |
| Other Current Liabilities | 92.2 | 110.5 | 110.5 | 110.5 | 110.5 |
| **Total Long Term Liabilities** | **98.3** | **93.0** | **93.0** | **93.0** | **93.0** |
| Long Term Debt | 56.5 | 55.2 | 55.2 | 55.2 | 55.2 |
| Other Long Term Liabilities | 41.8 | 37.8 | 37.8 | 37.8 | 37.8 |
| Minority Interests | 1.5 | 1.9 | 1.9 | 1.9 | 1.9 |
| **Total Equity** | **415.5** | **449.4** | **469.7** | **492.7** | **519.6** |
| | | | | | |
| **Net Debt** | **-107.2** | **-129.0** | **-113.8** | **-99.3** | **0.0** |

**Cash Flow Statement**

| (Y bn) | F3/25 | F3/26e | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Cash from Operations** | **65.8** | **95.9** | **59.3** | **59.2** | **75.3** |
| Net Income | 37.8 | 26.9 | 32.8 | 36.7 | 41.6 |
| Depreciation and Amortization | 35.1 | 34.0 | 43.0 | 42.0 | 42.0 |
| Changes in Working Capital: | 9.0 | 16.0 | -16.5 | -19.5 | -8.2 |
| Other-net | -16.2 | 19.1 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Net Cash from Investing Activities** | **-1.7** | **-58.4** | **-62.0** | **-60.0** | **-60.0** |
| Purchase of PP&E | -43.0 | -43.6 | -79.2 | -60.0 | -60.0 |
| Sale/Purchase of Invenstments | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other-net | 41.4 | -14.8 | 17.2 | 0.0 | 0.0 |
| | | | | | |
| **Free cash flow** | **64.1** | **37.5** | **-2.7** | **-0.8** | **15.3** |
| | | | | | |
| **Net Cash from Financing Activities** | **-37.3** | **-41.1** | **-12.5** | **-13.7** | **-14.6** |
| Change in Interest-bearing Debt | -28.5 | -9.5 | 0.0 | 0.0 | 0.0 |
| Change in Treasury Stock | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Payment of Cash Dividends | -8.2 | -12.2 | -12.5 | -13.7 | -14.6 |
| Other-net | -0.5 | -19.4 | 0.0 | 0.0 | 0.0 |
| Net Effect of Exchange Rate Changes | -1.7 | 9.5 | 0.0 | 0.0 | 0.0 |
| **Net Change in Cash** | **25.2** | **5.9** | **-15.2** | **-14.5** | **0.7** |

**Segment Information**

| (Y bn) | F3/25 | F3/26e | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **990.4** | **1,019.5** | **1,097.4** | **1,191.1** | **1,231.6** |
| Components | 348.0 | 358.4 | 381.8 | 414.7 | 417.7 |
| Sensor & Communication | 84.2 | 85.3 | 89.1 | 93.6 | 98.3 |
| Mobility | 537.2 | 555.1 | 606.7 | 662.9 | 695.6 |
| Logistics/Others | 21.0 | 20.8 | 19.8 | 20.0 | 20.0 |
| | | | | | |
| **Total Operating Profit** | **34.1** | **42.0** | **48.5** | **51.2** | **58.1** |
| Components | 30.4 | 30.2 | 31.0 | 36.2 | 40.6 |
| Sensor & Communication | -3.4 | -3.5 | -0.7 | 2.0 | 2.5 |
| Mobility | 5.6 | 14.2 | 17.6 | 12.0 | 14.0 |
| Logistics/Others | 1.5 | 1.3 | 0.7 | 1.0 | 1.0 |
| | | | | | |
| **Operating Profit Margin** | **3.4%** | **4.1%** | **4.4%** | **4.3%** | **4.7%** |
| Components | 8.7% | 8.4% | 8.1% | 8.7% | 9.7% |
| Sensor & Communication | -4.0% | -4.1% | -0.8% | 2.1% | 2.5% |
| Mobility | 1.0% | 2.6% | 2.9% | 1.8% | 2.0% |
| Logistics/Others | 7.0% | 6.0% | 3.5% | 5.0% | 5.0% |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Nihon Dempa Kogyo: Key Financial Data

**Exhibit 56:**

**Income Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **53.1** | **54.6** | **64.5** | **72.7** | **78.2** |
| Costs of Sales | 37.0 | 38.9 | 44.5 | 49.2 | 52.3 |
| **Gross Profit** | 16.1 | 15.7 | 20.0 | 23.5 | 25.9 |
| SG&A (incl. other income/losses) | 11.4 | 12.4 | 14.5 | 16.0 | 16.8 |
| **Operating Income** | **4.6** | **3.4** | **5.5** | **7.5** | **9.1** |
| Financial income/losses | -1.7 | -0.8 | -0.9 | -1.0 | -1.1 |
| **Profit before income taxes** | **3.0** | **2.6** | **4.6** | **6.5** | **8.0** |
| Income taxes | 1.2 | 0.5 | 1.2 | 2.0 | 2.4 |
| (Effective tax rate) | 39% | 19% | 26% | 31% | 30% |
| Profit attributable to non-controlling interests | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Net Profit** | **1.8** | **2.1** | **3.4** | **4.5** | **5.6** |
| | | | | | |
| Capex | 4.6 | 6.5 | 10.0 | 9.0 | 9.8 |
| Depreciation & amortization | 3.4 | 3.9 | 4.4 | 4.9 | 5.6 |
| R&D | 2.1 | 2.9 | 3.7 | 4.3 | 4.6 |
| EBITDA | 8.0 | 7.3 | 9.9 | 12.4 | 14.7 |
| **ROE** | **6.3%** | **6.8%** | **10.3%** | **12.4%** | **13.8%** |
| | | | | | |
| No of average shares (mn) | 23.0 | 23.0 | 22.9 | 22.9 | 22.9 |
| EPS (JPY) | 77.8 | 89.7 | 150.1 | 196.3 | 244.2 |
| BPS (JPY) | 1,265.0 | 1,392.1 | 1,510.2 | 1,666.5 | 1,863.7 |
| DPS (JPY) | 30.0 | 30.0 | 35.0 | 42.0 | 50.0 |
| | | | | | |
| USD/JPY (Average) | 152.5 | 151.0 | 156.3 | 155.0 | 155.0 |

**Balance Sheet**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total assets** | **71.5** | **76.3** | **83.3** | **90.8** | **98.9** |
| | | | | | |
| **Current assets** | **43.5** | **44.0** | **45.9** | **49.6** | **53.8** |
| Cash and cash equivalents | 15.9 | 10.8 | 11.2 | 11.8 | 14.2 |
| Accounts receivable | 12.7 | 13.8 | 15.0 | 16.9 | 18.2 |
| Inventories | 10.5 | 12.4 | 12.7 | 13.9 | 14.6 |
| Other financial assets | 4.4 | 6.9 | 6.9 | 6.9 | 6.9 |
| **Fixed assets** | **28.0** | **32.3** | **37.5** | **41.2** | **45.1** |
| Tangible fixed assets | 19.7 | 23.2 | 28.1 | 31.8 | 35.5 |
| Intangible fixed assets | 2.3 | 3.2 | 3.4 | 3.5 | 3.7 |
| Other non-current assets | 6.0 | 5.9 | 5.9 | 5.9 | 5.9 |
| | | | | | |
| **Current liabilities** | **12.2** | **14.0** | **15.9** | **17.6** | **18.8** |
| Short term borrowings | 0.8 | 1.3 | 1.3 | 1.4 | 1.5 |
| Accounts payable | 9.5 | 10.3 | 12.2 | 13.7 | 14.8 |
| Other current liabilities | 1.9 | 2.3 | 2.4 | 2.5 | 2.5 |
| **Fixed liabilities** | **30.2** | **30.4** | **32.8** | **35.0** | **37.4** |
| Long term borrowings | 25.8 | 24.8 | 27.2 | 29.3 | 31.8 |
| Other fixed liabilities | 4.4 | 5.6 | 5.6 | 5.6 | 5.6 |
| | | | | | |
| Net assets | **29.2** | **31.9** | **34.6** | **38.2** | **42.7** |
| | | | | | |
| Total liabilities and equity | **71.5** | **76.3** | **83.3** | **90.8** | **98.9** |

**Cashflow Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Cash flow from operating activities** | **6.1** | **4.2** | **8.7** | **8.2** | **10.7** |
| EBIT | 3.0 | 2.6 | 4.6 | 6.5 | 8.0 |
| Depreciation | 3.4 | 3.9 | 4.4 | 4.9 | 5.6 |
| Changes in Receivables | 0.2 | -0.5 | -1.2 | -1.9 | -1.3 |
| Change in inventory | 0.6 | -1.5 | -0.3 | -1.2 | -0.6 |
| Changes in Payables | 0.0 | 1.2 | 1.9 | 1.5 | 1.0 |
| Other | -1.1 | -1.5 | -0.6 | -1.6 | -2.0 |
| **Cash flow from investing activities** | **-4.5** | **-7.4** | **-10.0** | **-9.0** | **-9.8** |
| Purchase of PP&E | -3.7 | -5.7 | -9.5 | -8.6 | -9.3 |
| Sales of PP&E | 0.1 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other | -0.9 | -1.7 | -0.5 | -0.4 | -0.5 |
| **Cash flow from financing activities** | **1.9** | **-2.4** | **1.7** | **1.3** | **1.4** |
| Net Change In Borrowings | 3.3 | -0.7 | 2.4 | 2.3 | 2.5 |
| Purchace of treasury shares | 0.0 | -0.2 | 0.0 | 0.0 | 0.0 |
| Cash dividend paid | -0.7 | -0.7 | -0.7 | -0.9 | -1.1 |
| Other | -0.7 | -0.9 | 0.0 | 0.0 | 0.0 |
| Effect of exchange rate change | 0.0 | 0.5 | 0.0 | 0.0 | 0.0 |
| Changes in cash and cash equivalents | 3.6 | -5.1 | 0.4 | 0.6 | 2.4 |
| **Cash and cash equivalents at end of the period** | **15.9** | **10.8** | **11.2** | **11.8** | **14.2** |
| | | | | | |
| **FCF** | **1.7** | **-3.2** | **-1.3** | **-0.8** | **0.9** |

**Sales by Application**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| Automotive | 29.2 | 30.1 | 33.1 | 32.9 | 34.3 |
| Mobile communications / IoT | 13.5 | 13.0 | 12.8 | 12.9 | 13.2 |
| Industrial equipment | 3.7 | 4.4 | 10.0 | 18.0 | 21.6 |
| Special products | 1.4 | 1.7 | 2.0 | 2.2 | 2.4 |
| Optical products | 1.4 | 1.2 | 1.6 | 1.7 | 1.8 |
| Others | 3.9 | 4.3 | 5.0 | 5.0 | 5.0 |
| (YoY) | | | | | |
| Automotive | 4% | 3% | 10% | 0% | 4% |
| Mobile communications / IoT | 22% | -4% | -1% | 1% | 2% |
| Industrial equipment | 28% | 19% | 128% | 79% | 20% |
| Special products | - | 21% | 16% | 10% | 10% |
| Optical products | - | -18% | 38% | 5% | 6% |
| Others | - | 11% | 18% | 0% | 0% |

Note: e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Meiko Electronics: Key Financial Data

**Exhibit 57:**

**Income Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **206.8** | **240.6** | **361.5** | **475.4** | **555.4** |
| Costs of Sales | 167.0 | 190.1 | 285.2 | 368.1 | 425.4 |
| **Gross Profit** | 39.8 | 50.4 | 76.4 | 107.3 | 130.0 |
| SG&A | 20.7 | 25.9 | 37.1 | 47.9 | 55.4 |
| **Operating Income** | **19.1** | **24.6** | **39.3** | **59.4** | **74.6** |
| Non-operating income/expenses | -0.3 | 1.9 | -3.0 | -5.6 | -5.9 |
| **Recurring Profit** | **18.8** | **26.5** | **36.3** | **53.8** | **68.7** |
| Extraordinary income | -0.2 | 0.9 | 0.0 | 0.0 | 0.0 |
| **Profit before income taxes** | **18.5** | **27.4** | **36.3** | **53.8** | **68.7** |
| Income taxes | 3.4 | 7.5 | 8.3 | 16.5 | 21.0 |
| (Effective tax rate) | 19% | 27% | 23% | 31% | 31% |
| Profit attributable to non-controlling interests | 0.2 | 0.2 | 0.2 | 0.2 | 0.2 |
| **Net Profit** | **14.9** | **19.8** | **27.8** | **37.1** | **47.5** |
| | | | | | |
| Capex | 29.8 | 49.7 | 70.0 | 70.0 | 70.0 |
| Depreciation & amortization | 12.5 | 13.7 | 19.0 | 29.0 | 39.0 |
| R&D | 6.3 | 6.0 | 9.0 | 11.0 | 12.5 |
| EBITDA | 31.6 | 38.3 | 58.3 | 88.4 | 113.6 |
| **ROE** | **14.5%** | **16.2%** | **19.2%** | **22.0%** | **23.1%** |
| | | | | | |
| No of average shares (mn) | 26.2 | 26.1 | 25.7 | 25.7 | 25.7 |
| EPS (JPY) | 569.5 | 758.6 | 1,081.9 | 1,445.5 | 1,850.6 |
| BPS (JPY) | 4,218.2 | 5,309.2 | 5,946.9 | 7,197.3 | 8,793.0 |
| DPS (JPY) | 88.0 | 115.0 | 170.0 | 225.0 | 285.0 |
| | | | | | |
| USD/JPY (Average) | 152.6 | 151.1 | 156.4 | 155.0 | 155.0 |

**Balance Sheet**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total assets** | **256.4** | **335.3** | **427.2** | **513.7** | **579.0** |
| | | | | | |
| **Current assets** | **114.1** | **142.5** | **183.8** | **229.5** | **264.1** |
| Cash and cash equivalents | 23.2 | 27.5 | 21.9 | 21.8 | 26.6 |
| Accounts receivable | 46.2 | 61.6 | 92.6 | 121.8 | 142.3 |
| Inventories | 38.5 | 49.5 | 65.4 | 82.1 | 91.3 |
| Other financial assets | 6.3 | 3.9 | 3.9 | 3.9 | 3.9 |
| **Fixed assets** | **142.3** | **192.8** | **243.4** | **284.2** | **314.9** |
| Tangible fixed assets | 129.6 | 174.9 | 225.6 | 266.4 | 297.1 |
| Intangible fixed assets | 5.7 | 5.0 | 5.0 | 5.0 | 5.0 |
| Other non-current assets | 7.0 | 12.8 | 12.8 | 12.8 | 12.8 |
| | | | | | |
| **Current liabilities** | **100.3** | **128.3** | **156.2** | **180.9** | **198.0** |
| Short term borrowings | 52.1 | 63.7 | 69.5 | 73.5 | 76.0 |
| Accounts payable | 29.6 | 39.0 | 58.7 | 77.1 | 90.1 |
| Other current liabilities | 18.6 | 25.6 | 28.0 | 30.3 | 31.8 |
| **Fixed liabilities** | **40.5** | **63.2** | **110.9** | **140.5** | **147.8** |
| Long term borrowings | 34.7 | 57.6 | 105.3 | 135.0 | 142.2 |
| Other fixed liabilities | 5.8 | 5.5 | 5.5 | 5.5 | 5.5 |
| | | | | | |
| **Net assets** | **115.6** | **143.8** | **160.2** | **192.3** | **233.2** |
| | | | | | |
| **Total liabilities and equity** | **256.4** | **335.3** | **427.2** | **513.7** | **579.0** |

**Cashflow Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Cash flow from operating activities** | **21.7** | **27.5** | **23.4** | **41.2** | **71.6** |
| EBIT | 18.5 | 27.4 | 36.3 | 53.8 | 68.7 |
| Depreciation | 12.5 | 13.7 | 19.0 | 29.0 | 39.0 |
| Changes in Receivables | -3.3 | -8.3 | -15.8 | -16.7 | -9.2 |
| Change in inventory | 2.9 | 6.5 | 19.6 | 18.5 | 13.0 |
| Changes in Payables | -3.4 | -3.3 | -8.3 | -16.5 | -21.0 |
| Other | -5.5 | -8.5 | -27.4 | -26.9 | -18.9 |
| **Cash flow from investing activities** | **-24.3** | **-55.5** | **-70.0** | **-70.0** | **-70.0** |
| Purchase of PP&E | -24.4 | -49.8 | -69.8 | -69.8 | -69.8 |
| Sales of PP&E | 0.2 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other | -0.1 | -5.7 | -0.2 | -0.2 | -0.2 |
| **Cash flow from financing activities** | **4.1** | **30.1** | **49.6** | **28.6** | **3.2** |
| Net Change In Borrowings | 7.4 | 33.1 | 53.6 | 33.6 | 9.8 |
| Purchace of treasury shares | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Cash dividend paid | -2.4 | -2.7 | -4.0 | -5.0 | -6.5 |
| Other | -0.8 | -0.3 | 0.0 | 0.0 | 0.0 |
| Effect of exchange rate changes | 0.1 | 1.4 | -7.5 | 0.0 | 0.0 |
| Changes in cash and cash equivalents | 1.6 | 3.6 | -4.5 | -0.1 | 4.8 |
| **Cash and cash equivalents at end of the period** | **22.9** | **26.5** | **21.9** | **21.8** | **26.6** |
| | | | | | |
| **FCF** | **-2.7** | **-27.9** | **-46.6** | **-28.8** | **1.6** |

**Sales by application**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| Automotive | 90.4 | 97.5 | 130.8 | 132.2 | 135.5 |
| Smartphone/Tablet | 25.5 | 29.4 | 38.2 | 57.8 | 67.8 |
| Satellite | 16.6 | 28.2 | 57.9 | 96.2 | 116.2 |
| AI server | 4.2 | 7.3 | 23.5 | 62.5 | 96.5 |
| Moludes | 9.2 | 9.2 | 13.7 | 16.0 | 17.4 |
| Amusement/Smart appliance/Others | 23.7 | 24.4 | 24.9 | 24.7 | 24.8 |
| Electronic equipment | 36.2 | 42.6 | 70.0 | 82.1 | 92.1 |
| Semi Package | 1.0 | 2.0 | 2.5 | 4.0 | 5.0 |
| (YoY) | | | | | |
| Automotive | -5% | 8% | 34% | 1% | 3% |
| Smartphone/Tablet | 8% | 15% | 30% | 51% | 17% |
| Satellite | 118% | 70% | 105% | 66% | 21% |
| AI server | - | 74% | 222% | 166% | 54% |
| Moludes | - | 0% | 49% | 17% | 9% |
| Amusement/Smart appliance/Others | 69% | 3% | 2% | -1% | 1% |
| Electronic equipment | 19% | 18% | 64% | 17% | 12% |
| Semi Package | 43% | 100% | 25% | 60% | 25% |

Note: e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Hirose Electric: Key Financial Data

**Exhibit 58:**

**Income Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **189.4** | **211.3** | **256.6** | **276.9** | **298.6** |
| Costs of Sales | 104.0 | 122.3 | 146.0 | 155.3 | 167.4 |
| **Gross Profit** | 85.4 | 89.0 | 110.5 | 121.6 | 131.2 |
| SG&A (incl. other income/losses) | 42.7 | 46.0 | 55.2 | 59.2 | 63.4 |
| **Operating Income** | **42.7** | **43.0** | **55.3** | **62.4** | **67.8** |
| Financial income/losses | 3.5 | 3.6 | 3.0 | 4.8 | 4.8 |
| **Profit before income taxes** | **46.2** | **46.6** | **58.3** | **67.2** | **72.6** |
| Income taxes | 13.2 | 13.5 | 19.8 | 20.6 | 22.2 |
| (Effective tax rate) | 29% | 29% | 34% | 31% | 31% |
| Profit attributable to non-controlling interests | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Net Profit** | **33.0** | **33.1** | **38.5** | **46.6** | **50.4** |
| | | | | | |
| Capex | 26.7 | 20.0 | 28.2 | 30.5 | 32.8 |
| Depreciation & amortization | 17.9 | 19.5 | 21.0 | 23.6 | 26.1 |
| R&D | 13.5 | 13.5 | 14.0 | 15.1 | 16.3 |
| EBITDA | 60.6 | 62.5 | 76.3 | 86.0 | 93.9 |
| **ROE** | **9.0%** | **8.9%** | **10.2%** | **12.1%** | **12.6%** |
| | | | | | |
| No of average shares (mn) | 33.8 | 33.4 | 32.5 | 31.7 | 31.1 |
| EPS (JPY) | 976.3 | 991.9 | 1,185.7 | 1,470.1 | 1,619.8 |
| BPS (JPY) | 10,940.1 | 11,554.4 | 11,854.9 | 12,547.4 | 13,340.4 |
| DPS (JPY) | 490.0 | 520.0 | 520.0 | 570.0 | 630.0 |
| | | | | | |
| USD/JPY (Average) | 152.6 | 150.8 | 156.1 | 155.0 | 155.0 |

**Balance Sheet**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total assets** | **416.9** | **431.2** | **431.6** | **447.9** | **466.5** |
| | | | | | |
| **Current assets** | **248.8** | **233.8** | **227.0** | **236.4** | **248.3** |
| Cash and cash equivalents | 85.7 | 87.3 | 64.9 | 66.7 | 70.5 |
| Marketable securities | 87.6 | 57.6 | 57.6 | 57.6 | 57.6 |
| Accounts receivable | 40.4 | 49.9 | 60.6 | 65.4 | 70.5 |
| Inventories | 25.1 | 30.2 | 35.1 | 37.9 | 40.9 |
| Other financial assets | 97.6 | 66.4 | 66.4 | 66.4 | 66.4 |
| **Fixed assets** | **168.1** | **197.4** | **204.6** | **211.5** | **218.2** |
| Tangible fixed assets | 91.3 | 96.3 | 103.5 | 110.4 | 117.1 |
| Intangible fixed assets | 6.6 | 7.7 | 7.7 | 7.7 | 7.7 |
| Other non-current assets | 70.2 | 93.4 | 93.4 | 93.4 | 93.4 |
| | | | | | |
| **Current liabilities** | **29.1** | **32.8** | **33.8** | **35.3** | **37.0** |
| Short term borrowings | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Accounts payable | 12.9 | 16.7 | 20.3 | 21.9 | 23.7 |
| Other current liabilities | 16.2 | 16.1 | 13.4 | 13.4 | 13.3 |
| **Fixed liabilities** | **17.7** | **20.3** | **20.3** | **20.3** | **20.3** |
| Long term borrowings | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other fixed liabilities | 17.7 | 20.3 | 20.3 | 20.3 | 20.3 |
| | | | | | |
| **Net assets** | **370.1** | **378.1** | **377.5** | **392.2** | **409.2** |
| | | | | | |
| **Total liabilities and equity** | **416.9** | **431.2** | **431.6** | **447.9** | **466.5** |

**Cashflow Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Cash flow from operating activities** | **55.7** | **45.9** | **44.8** | **64.2** | **70.0** |
| EBIT | 46.2 | 46.6 | 58.3 | 67.2 | 72.6 |
| Depreciation | 17.9 | 19.5 | 21.0 | 23.6 | 26.1 |
| Changes in Receivables | -1.9 | -7.2 | -10.7 | -4.8 | -5.1 |
| Change in inventory | -1.4 | -3.5 | -5.0 | -2.8 | -3.0 |
| Changes in Payables | 2.0 | 3.5 | 3.6 | 1.6 | 1.7 |
| Other | -7.2 | -13.0 | -22.4 | -20.6 | -22.3 |
| **Cash flow from investing activities** | **-42.9** | **-9.2** | **-28.2** | **-30.5** | **-32.8** |
| Purchase of PP&E | -26.7 | -20.0 | -28.2 | -30.5 | -32.8 |
| Sales of PP&E | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other | -16.3 | 10.8 | 0.0 | 0.0 | 0.0 |
| **Cash flow from financing activities** | **-16.7** | **-37.9** | **-39.1** | **-31.9** | **-33.4** |
| Net Change In Borrowings | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Purchase of treasury shares | 0.0 | -20.4 | -22.5 | -15.0 | -15.0 |
| Cash dividend paid | -15.7 | -16.5 | -16.6 | -16.9 | -18.4 |
| Other | -0.9 | -1.1 | 0.0 | 0.0 | 0.0 |
| Effect of exchange rate change | -0.7 | 3.0 | 0.0 | 0.0 | 0.0 |
| Changes in cash and cash equivalents | -4.7 | 1.7 | -22.5 | 1.8 | 3.8 |
| **Cash and cash equivalents at end of the period** | **85.7** | **87.3** | **64.9** | **66.7** | **70.5** |
| | | | | | |
| **FCF** | **12.7** | **36.6** | **16.6** | **33.7** | **37.2** |

**Sales by Application**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| General Industrial | 46.9 | 62.0 | 86.2 | 92.3 | 99.2 |
| Smartphone | 46.4 | 44.3 | 45.7 | 46.9 | 48.3 |
| Consumer/Mobile equipment | 34.7 | 34.7 | 37.7 | 39.1 | 40.6 |
| Automotive/Mobility related | 49.2 | 54.3 | 63.0 | 70.4 | 78.8 |
| ns infrastructure equipment | 5.4 | 6.7 | 10.5 | 12.0 | 13.9 |
| OA equipment and Others | 6.8 | 9.3 | 13.5 | 16.2 | 17.8 |
| (YoY) | | | | | |
| General Industrial | -7% | 32% | 39% | 7% | 7% |
| Smartphone | 31% | -5% | 3% | 3% | 3% |
| Consumer/Mobile equipment | 37% | 0% | 9% | 4% | 4% |
| Automotive/Mobility related | 15% | 10% | 16% | 12% | 12% |
| ns infrastructure equipment | 20% | 24% | 57% | 15% | 15% |
| OA equipment and Others | 0% | 36% | 46% | 20% | 10% |

Note: e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Japan Aviation Electronics: Key Financial Data

**Exhibit 59:**

**Income Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **221.6** | **227.9** | **248.9** | **256.0** | **272.2** |
| Costs of Sales | 179.6 | 191.4 | 207.4 | 210.5 | 222.1 |
| **Gross Profit** | 42.1 | 36.4 | 41.4 | 45.5 | 50.1 |
| SG&A | 26.4 | 27.5 | 33.0 | 34.8 | 37.9 |
| **Operating Income** | **15.6** | **8.9** | **8.4** | **10.7** | **12.2** |
| Non-operating income/expenses | -0.8 | -0.7 | -1.2 | 0.1 | 0.2 |
| **Recurring Profit** | **14.8** | **8.2** | **7.2** | **10.8** | **12.4** |
| Extraordinary income | 0.3 | 1.9 | 0.0 | 0.0 | 0.0 |
| **Profit before income taxes** | **15.2** | **10.2** | **7.2** | **10.8** | **12.4** |
| Income taxes | 3.6 | 3.1 | 2.2 | 3.3 | 3.8 |
| (Effective tax rate) | 24% | 30% | 31% | 31% | 31% |
| Profit attributable to non-controlling interests | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Net Profit** | **11.6** | **7.1** | **5.0** | **7.5** | **8.6** |
| | | | | | |
| Capex | 18.0 | 23.7 | 21.0 | 21.0 | 21.0 |
| Depreciation & amortization | 20.9 | 19.7 | 20.5 | 20.7 | 20.8 |
| R&D | 11.3 | 12.1 | 13.2 | 13.3 | 13.9 |
| EBITDA | 36.5 | 28.7 | 28.9 | 31.4 | 33.0 |
| **ROE** | **8.9%** | **5.1%** | **3.5%** | **5.1%** | **5.7%** |
| | | | | | |
| No of average shares (mn) | 67.4 | 67.4 | 67.4 | 67.4 | 67.4 |
| EPS (JPY) | 172.0 | 104.9 | 74.1 | 111.2 | 127.5 |
| BPS (JPY) | 1,983.6 | 2,141.0 | 2,147.1 | 2,204.1 | 2,281.6 |
| DPS (JPY) | 60.0 | 60.0 | 50.0 | 50.0 | 50.0 |
| | | | | | |
| USD/JPY (Average) | 152.6 | 150.7 | 156.2 | 155.0 | 155.0 |

**Balance Sheet**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total assets** | **215.4** | **232.1** | **231.2** | **233.4** | **239.3** |
| | | | | | |
| **Current assets** | **125.3** | **130.7** | **129.5** | **131.7** | **137.7** |
| Cash and cash equivalents | 52.9 | 48.5 | 41.4 | 42.1 | 43.8 |
| Marketable securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Accounts receivable | 37.7 | 38.9 | 42.5 | 43.7 | 46.5 |
| Inventories | 29.2 | 32.8 | 35.2 | 35.5 | 37.0 |
| Other financial assets | 5.6 | 10.4 | 10.4 | 10.4 | 10.4 |
| **Fixed assets** | **90.2** | **101.5** | **101.7** | **101.7** | **101.6** |
| Tangible fixed assets | 70.3 | 77.6 | 78.1 | 78.4 | 78.6 |
| Intangible fixed assets | 2.7 | 3.1 | 2.8 | 2.5 | 2.3 |
| Other non-current assets | 17.2 | 20.8 | 20.8 | 20.8 | 20.8 |
| | | | | | |
| **Current liabilities** | **48.9** | **52.9** | **56.2** | **57.2** | **59.7** |
| Short term borrowings | 6.0 | 11.0 | 11.9 | 12.0 | 12.6 |
| Accounts payable | 28.4 | 25.5 | 27.8 | 28.6 | 30.4 |
| Other current liabilities | 14.6 | 16.4 | 16.5 | 16.6 | 16.7 |
| **Fixed liabilities** | **32.8** | **34.9** | **30.2** | **27.6** | **25.8** |
| Long term borrowings | 31.0 | 30.8 | 26.0 | 23.4 | 21.6 |
| Other fixed liabilities | 1.8 | 4.1 | 4.1 | 4.1 | 4.1 |
| | | | | | |
| **Net assets** | **133.7** | **144.4** | **144.8** | **148.6** | **153.9** |
| | | | | | |
| **Total liabilities and equity** | **215.4** | **232.1** | **231.2** | **233.4** | **239.3** |

**Cashflow Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Cash flow from operating activities** | **36.3** | **17.0** | **20.9** | **26.3** | **25.8** |
| EBIT | 15.2 | 10.2 | 7.2 | 10.8 | 12.4 |
| Depreciation | 20.9 | 19.7 | 20.5 | 20.7 | 20.8 |
| Changes in Receivables | 3.8 | -0.1 | -3.6 | -1.2 | -2.8 |
| Change in inventory | -1.0 | -2.6 | -2.3 | -0.3 | -1.5 |
| Changes in Payables | 1.6 | -2.9 | 2.3 | 0.8 | 1.8 |
| Other | -4.0 | -7.2 | -3.2 | -4.5 | -4.9 |
| **Cash flow from investing activities** | **-19.2** | **-24.4** | **-19.5** | **-19.5** | **-19.5** |
| Purchase of PP&E | -18.0 | -23.7 | -21.0 | -21.0 | -21.0 |
| Sales of PP&E | 0.4 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other | -1.5 | -0.7 | 1.5 | 1.5 | 1.5 |
| **Cash flow from financing activities** | **-31.6** | **0.5** | **-7.6** | **-5.8** | **-4.6** |
| Net Change In Borrowings | -27.5 | 4.8 | -3.9 | -2.4 | -1.2 |
| Purchace of treasury shares | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Cash dividend paid | -4.0 | -4.0 | -3.7 | -3.4 | -3.4 |
| Other | 0.0 | -0.3 | 0.0 | 0.0 | 0.0 |
| Effect of exchange rate changes | -1.0 | 2.6 | -0.9 | -0.3 | 0.0 |
| Changes in cash and cash equivalents | -15.4 | -4.4 | -7.1 | 0.7 | 1.7 |
| **Cash and cash equivalents at end of the period** | **52.9** | **48.5** | **41.4** | **42.1** | **43.8** |
| | | | | | |
| **FCF** | **17.1** | **-7.4** | **1.4** | **6.8** | **6.3** |

**Sales by Product/Application**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Connector** | **201.8** | **206.9** | **224.9** | **230.1** | **244.1** |
| Handhelds | 66.9 | 65.2 | 55.8 | 52.7 | 51.2 |
| Automotive | 112.6 | 115.7 | 131.5 | 136.2 | 144.4 |
| Industrial & Infrastructure | 18.0 | 20.6 | 31.0 | 32.8 | 34.7 |
| Aviation & Space (Defence) | 0.0 | 0.0 | 0.9 | 2.6 | 8.0 |
| Others | 4.3 | 5.4 | 5.8 | 5.8 | 5.8 |
| **Aerospace** | **19.3** | **20.5** | **23.4** | **25.3** | **27.5** |
| Automotive | 0.2 | 0.1 | 0.1 | 0.1 | 0.1 |
| Industrial & Infrastructure | 10.7 | 9.3 | 11.2 | 12.0 | 12.8 |
| Aviation & Space (Defence) | 8.4 | 11.1 | 12.1 | 13.3 | 14.6 |
| **Others** | **0.5** | **0.5** | **0.5** | **0.5** | **0.5** |
| (YoY) | | | | | |
| **Connector** | **-2%** | **3%** | **9%** | **2%** | **6%** |
| Handhelds | -11% | -2% | -14% | -5% | -3% |
| Automotive | 7% | 3% | 14% | 4% | 6% |
| Industrial & Infrastructure | -9% | 14% | 50% | 6% | 6% |
| Aviation & Space (Defence) | - | - | - | 199% | 207% |
| Others | -1% | 24% | 8% | 0% | 0% |
| **Aerospace** | **-4%** | **6%** | **14%** | **8%** | **9%** |
| Automotive | -79% | -56% | 6% | -1% | 0% |
| Industrial & Infrastructure | -22% | -13% | 20% | 7% | 7% |
| Aviation & Space (Defence) | 55% | 31% | 9% | 10% | 10% |
| **Others** | **-29%** | **-2%** | **7%** | **0%** | **0%** |

**OP by Segment**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| Connector | 18.0 | 12.0 | 10.3 | 12.3 | 13.5 |
| Aerospace | 2.6 | 2.2 | 3.3 | 3.5 | 3.9 |
| Others | 0.1 | 0.1 | 0.1 | 0.1 | 0.1 |
| (OPM) | | | | | |
| Connector | 9% | 6% | 5% | 5% | 6% |
| Aerospace | 13% | 11% | 14% | 14% | 14% |
| Others | 18% | 23% | 22% | 21% | 21% |

Note: e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# CMK: Key Financial Data

**Exhibit 60:**

**Income Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **95.5** | **100.2** | **112.3** | **116.2** | **120.7** |
| Costs of Sales | 79.9 | 85.3 | 94.9 | 97.6 | 100.8 |
| **Gross Profit** | 15.6 | 14.9 | 17.4 | 18.6 | 19.9 |
| SG&A | 11.8 | 12.1 | 12.3 | 12.8 | 13.2 |
| **Operating Income** | **3.8** | **2.8** | **5.1** | **5.8** | **6.7** |
| Non-operating income/expenses | 1.7 | 1.3 | -0.4 | -1.1 | -1.1 |
| **Recurring Profit** | **5.5** | **4.1** | **4.7** | **4.7** | **5.6** |
| Extraordinary income | -0.2 | 1.2 | 0.0 | 0.0 | 0.0 |
| **Profit before income taxes** | **5.3** | **5.3** | **4.7** | **4.7** | **5.6** |
| Income taxes | 1.4 | 1.1 | 1.5 | 1.4 | 1.7 |
| (Effective tax rate) | 27% | 20% | 32% | 30% | 30% |
| Profit attributable to non-controlling interests | 0.1 | 0.2 | 0.2 | 0.2 | 0.2 |
| **Net Profit** | **3.8** | **4.0** | **3.0** | **3.1** | **3.7** |
| | | | | | |
| Capex | 18.9 | 9.2 | 6.3 | 10.0 | 10.7 |
| Depreciation & amortization | 5.9 | 6.5 | 9.0 | 9.5 | 10.0 |
| R&D | 0.6 | 0.5 | 0.6 | 0.6 | 0.6 |
| EBITDA | 9.7 | 9.3 | 14.1 | 15.3 | 16.7 |
| **ROE** | **5.1%** | **5.0%** | **3.6%** | **3.7%** | **4.3%** |
| | | | | | |
| No of average shares (mn) | 71.2 | 71.3 | 71.3 | 71.3 | 71.3 |
| EPS (JPY) | 53.2 | 56.5 | 41.9 | 43.5 | 51.9 |
| BPS (JPY) | 1,110.3 | 1,171.1 | 1,170.7 | 1,184.7 | 1,206.6 |
| DPS (JPY) | 20.0 | 20.0 | 28.0 | 30.0 | 32.0 |
| | | | | | |
| USD/JPY (Average) | 151.8 | 149.8 | 155.4 | 155.0 | 155.0 |

**Balance Sheet**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total assets** | **148.5** | **151.5** | **151.2** | **165.9** | **167.7** |
| | | | | | |
| **Current assets** | **62.4** | **61.7** | **64.1** | **78.5** | **79.6** |
| Cash and cash equivalents | 22.2 | 19.5 | 17.6 | 30.8 | 30.6 |
| Accounts receivable | 17.8 | 19.9 | 22.3 | 23.1 | 24.0 |
| Inventories | 18.6 | 18.4 | 20.4 | 20.8 | 21.2 |
| Other financial assets | 3.8 | 3.8 | 3.8 | 3.8 | 3.8 |
| **Fixed assets** | **86.1** | **89.8** | **87.1** | **87.5** | **88.1** |
| Tangible fixed assets | 76.5 | 80.3 | 77.3 | 77.2 | 77.4 |
| Intangible fixed assets | 1.0 | 1.5 | 1.7 | 2.2 | 2.6 |
| Other non-current assets | 8.6 | 8.1 | 8.1 | 8.1 | 8.1 |
| | | | | | |
| **Current liabilities** | **33.7** | **38.0** | **39.8** | **39.8** | **39.9** |
| Short term borrowings | 12.8 | 10.3 | 9.9 | 9.3 | 8.6 |
| Accounts payable | 14.0 | 12.5 | 14.0 | 14.5 | 15.1 |
| Other current liabilities | 6.9 | 15.3 | 15.8 | 16.0 | 16.2 |
| **Fixed liabilities** | **33.4** | **27.4** | **25.2** | **38.7** | **38.6** |
| Long term borrowings | 31.3 | 25.3 | 23.0 | 36.6 | 36.5 |
| Other fixed liabilities | 2.1 | 2.2 | 2.2 | 2.2 | 2.2 |
| | | | | | |
| **Net assets** | **81.4** | **86.0** | **86.2** | **87.4** | **89.2** |
| | | | | | |
| **Total liabilities and equity** | **148.5** | **151.5** | **151.2** | **165.9** | **167.7** |

**Cashflow Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Cash flow from operating activities** | **9.1** | **7.8** | **10.3** | **12.6** | **13.6** |
| EBIT | 5.3 | 5.3 | 4.7 | 4.7 | 5.6 |
| Depreciation | 5.9 | 6.5 | 9.0 | 9.5 | 10.0 |
| Changes in Receivables | -0.2 | 0.5 | -1.9 | -0.4 | -0.5 |
| Change in inventory | 0.7 | 0.3 | 1.5 | 0.5 | 0.6 |
| Changes in Payables | -0.8 | -1.0 | -1.5 | -1.4 | -1.7 |
| Other | -2.0 | -3.8 | -1.5 | -0.3 | -0.4 |
| **Cash flow from investing activities** | **-18.8** | **-6.9** | **-6.3** | **-10.0** | **-10.7** |
| Purchase of PP&E | -18.3 | -8.6 | -5.9 | -9.4 | -10.0 |
| Sales of PP&E | 0.3 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other | -0.8 | 1.8 | -0.4 | -0.6 | -0.7 |
| **Cash flow from financing activities** | **4.7** | **-4.1** | **-4.2** | **10.7** | **-3.1** |
| Net Change In Borrowings | 8.2 | -1.8 | -2.6 | 12.9 | -0.7 |
| Purchace of treasury shares | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Cash dividend paid | -1.4 | -1.4 | -1.4 | -2.0 | -2.1 |
| Other | -2.2 | -0.9 | -0.2 | -0.2 | -0.2 |
| Effect of exchange rate changes | 1.8 | 0.4 | -1.6 | -0.1 | 0.0 |
| Changes in cash and cash equivalents | -3.1 | -2.8 | -1.8 | 13.2 | -0.2 |
| **Cash and cash equivalents at end of the period** | **22.2** | **19.4** | **17.6** | **30.8** | **30.6** |
| | | | | | |
| **FCF** | **-9.7** | **0.9** | **4.0** | **2.6** | **2.9** |

**Sales by Product**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| Double-sided/Multi-layer | 61.1 | 63.4 | 71.6 | 71.2 | 70.8 |
| Double-sided | 10.0 | 9.5 | 9.4 | 9.0 | 8.6 |
| Multi-layer | 51.0 | 53.9 | 62.2 | 62.2 | 62.2 |
| HDI | 30.2 | 33.0 | 37.0 | 41.3 | 46.2 |
| Others | 4.2 | 3.8 | 3.7 | 3.7 | 3.7 |
| (YoY) | | | | | |
| Double-sided/Multi-layer | 2% | 4% | 13% | -1% | -1% |
| Double-sided | 0% | -5% | -2% | -4% | -4% |
| Multi-layer | 2% | 6% | 15% | 0% | 0% |
| HDI | 16% | 9% | 12% | 12% | 12% |
| Others | -8% | -10% | -2% | 0% | 0% |

Note: e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Daishinku: Key Financial Data

**Exhibit 61:**

**Income Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **38.6** | **39.6** | **43.8** | **46.2** | **49.5** |
| Costs of Sales | 29.3 | 30.4 | 33.5 | 35.0 | 36.9 |
| **Gross Profit** | 9.3 | 9.2 | 10.3 | 11.2 | 12.6 |
| SG&A | 8.4 | 8.1 | 9.0 | 9.2 | 9.6 |
| **Operating Income** | **0.9** | **1.1** | **1.3** | **2.0** | **3.0** |
| Non-operating income/expenses | -0.5 | -0.4 | -0.6 | -0.9 | -0.8 |
| **Recurring Profit** | **0.4** | **0.7** | **0.7** | **1.1** | **2.2** |
| Extraordinary income | 1.2 | 0.3 | -0.4 | 0.0 | 0.0 |
| **Profit before income taxes** | **1.6** | **1.1** | **0.3** | **1.1** | **2.2** |
| Income taxes | 0.6 | 0.5 | 0.1 | 0.3 | 0.7 |
| (Effective tax rate) | 39% | 42% | 35% | 27% | 32% |
| Profit attributable to non-controlling interests | 0.7 | 0.2 | 0.2 | 0.2 | 0.2 |
| **Net Profit** | **0.3** | **0.4** | **0.0** | **0.6** | **1.3** |
| | | | | | |
| Capex | 1.0 | 4.8 | 4.0 | 4.6 | 5.0 |
| Depreciation & amortization | 4.0 | 4.2 | 5.0 | 5.2 | 5.5 |
| R&D | 0.6 | 1.9 | 2.4 | 2.5 | 2.7 |
| EBITDA | 4.9 | 5.4 | 6.3 | 7.2 | 8.5 |
| **ROE** | **0.8%** | **1.1%** | **0.0%** | **1.7%** | **3.6%** |
| | | | | | |
| No of average shares (mn) | 32.1 | 31.8 | 31.8 | 31.8 | 31.8 |
| EPS (JPY) | 8.9 | 13.2 | -0.4 | 18.9 | 40.9 |
| BPS (JPY) | 1,166.1 | 1,226.9 | 1,133.5 | 1,121.0 | 1,133.9 |
| DPS (JPY) | 28.0 | 28.0 | 28.0 | 28.0 | 28.0 |
| | | | | | |
| USD/JPY (Average) | 152.2 | 150.7 | 156.1 | 155.0 | 155.0 |

**Balance Sheet**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total assets** | **89.9** | **98.8** | **98.4** | **97.0** | **96.5** |
| | | | | | |
| **Current assets** | **48.9** | **53.4** | **54.8** | **54.0** | **54.1** |
| Cash and cash equivalents | 18.7 | 16.3 | 14.8 | 12.4 | 10.4 |
| Accounts receivable | 9.1 | 10.2 | 10.8 | 11.4 | 12.2 |
| Inventories | 18.0 | 24.6 | 27.0 | 27.8 | 29.2 |
| Other financial assets | 3.1 | 2.3 | 2.3 | 2.3 | 2.3 |
| **Fixed assets** | **41.0** | **45.4** | **43.6** | **43.0** | **42.5** |
| Tangible fixed assets | 34.9 | 38.4 | 36.6 | 36.0 | 35.5 |
| Intangible fixed assets | 1.0 | 0.8 | 0.8 | 0.8 | 0.8 |
| Other non-current assets | 5.1 | 6.2 | 6.2 | 6.2 | 6.2 |
| | | | | | |
| **Current liabilities** | **24.9** | **32.9** | **31.4** | **30.8** | **30.7** |
| Short term borrowings | 16.9 | 22.6 | 21.6 | 20.7 | 19.9 |
| Accounts payable | 3.4 | 4.1 | 4.5 | 4.8 | 5.1 |
| Other current liabilities | 4.6 | 6.3 | 5.2 | 5.4 | 5.6 |
| **Fixed liabilities** | **19.8** | **17.9** | **22.1** | **21.5** | **20.9** |
| Long term borrowings | 16.3 | 14.1 | 18.3 | 17.8 | 17.1 |
| Other fixed liabilities | 3.5 | 3.8 | 3.8 | 3.8 | 3.8 |
| | | | | | |
| **Net assets** | **45.2** | **48.0** | **45.0** | **44.6** | **45.0** |
| | | | | | |
| **Total liabilities and equity** | **89.9** | **98.8** | **98.4** | **97.0** | **96.5** |

**Cashflow Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Cash flow from operating activities** | **2.3** | **-1.8** | **3.0** | **5.2** | **5.7** |
| EBIT | 1.6 | 1.1 | 0.3 | 1.1 | 2.2 |
| Depreciation | 4.0 | 4.2 | 5.0 | 5.2 | 5.5 |
| Changes in Receivables | 0.5 | -0.2 | -0.6 | -0.6 | -0.8 |
| Change in inventory | -1.9 | -5.6 | -2.4 | -0.9 | -1.3 |
| Changes in Payables | 1.0 | 0.1 | 0.4 | 0.3 | 0.3 |
| Other | -2.8 | -1.5 | 0.3 | 0.1 | -0.2 |
| **Cash flow from investing activities** | **-6.3** | **-3.1** | **-4.0** | **-4.6** | **-5.0** |
| Purchase of PP&E | -6.9 | -3.0 | -4.0 | -4.6 | -5.0 |
| Sales of PP&E | 0.0 | 0.1 | 0.0 | 0.0 | 0.0 |
| Other | 0.5 | -0.2 | 0.0 | 0.0 | 0.0 |
| **Cash flow from financing activities** | **-1.7** | **1.2** | **1.8** | **-2.8** | **-2.7** |
| Net Change In Borrowings | -0.1 | 2.7 | 3.2 | -1.5 | -1.4 |
| Purchace of treasury shares | -0.3 | -0.2 | 0.0 | 0.0 | 0.0 |
| Cash dividend paid | -0.9 | -0.9 | -0.9 | -0.9 | -0.9 |
| Other | -0.5 | -0.4 | -0.5 | -0.5 | -0.5 |
| Effect of exchange rate changes | -0.1 | 1.2 | -2.1 | -0.1 | 0.0 |
| Changes in cash and cash equivalents | -5.9 | -2.5 | -1.2 | -2.3 | -2.0 |
| **Cash and cash equivalents at end of the period** | **18.5** | **16.0** | **14.8** | **12.4** | **10.4** |
| | | | | | |
| **FCF** | **-4.0** | **-4.9** | **-1.0** | **0.6** | **0.7** |

**Sales by application**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| Communication | 10.2 | 10.2 | 11.2 | 12.3 | 13.6 |
| Automotive | 13.8 | 14.8 | 15.9 | 16.9 | 18.2 |
| Consumer | 10.7 | 10.4 | 10.9 | 11.2 | 11.5 |
| Industrial | 4.0 | 4.2 | 5.7 | 5.9 | 6.2 |
| (YoY) | | | | | |
| Communication | -13% | 0% | 10% | 10% | 11% |
| Automotive | 3% | 8% | 8% | 6% | 8% |
| Consumer | 15% | -3% | 6% | 2% | 3% |
| Industrial | -19% | 5% | 35% | 3% | 7% |

Note: e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Hamamatsu Photonics: Key Financial Data

**Exhibit 62:**

**Income Statement**

| (Y bn) | F9/24 | F9/25 | F9/26e | F9/27e | F9/28e |
|---|---|---|---|---|---|
| **Net Sales** | **204.0** | **212.1** | **236.9** | **245.5** | **265.2** |
| COGS | 100.1 | 110.7 | 123.6 | 128.1 | 140.4 |
| **Gross Profit** | **103.9** | **101.4** | **113.3** | **117.4** | **124.8** |
| SG&A Expenses | 71.8 | 85.2 | 89.9 | 91.2 | 93.0 |
| **Operating Profit** | **32.1** | **16.2** | **23.4** | **26.2** | **31.8** |
| Non-operating Income/Loss | 2.4 | 2.6 | 3.0 | 3.0 | 3.0 |
| **Recurring Profit** | **34.5** | **18.8** | **26.4** | **29.2** | **34.8** |
| Extraordinary Income/Loss | 0.9 | 1.9 | 0.2 | 0.2 | 0.2 |
| **Pretax Profit** | **35.4** | **20.7** | **26.6** | **29.4** | **35.0** |
| Income Tax | 10.0 | 6.2 | 8.9 | 8.8 | 10.5 |
| (Effective Tax Rate) | 35% | 35% | 35% | 35% | 35% |
| Minority Interest | 0.3 | 0.4 | 0.2 | 0.0 | 0.0 |
| **Net Profit** | **25.1** | **14.2** | **17.5** | **20.5** | **24.5** |
| | | | | | |
| Capex | 32.2 | 39.1 | 33.7 | 15.0 | 15.0 |
| Depreciation and Amortization | 17.7 | 22.3 | 23.4 | 27.7 | 26.7 |
| R&D Expenses | 13.6 | 18.4 | 19.2 | 20.3 | 21.7 |
| EBITDA | 49.8 | 38.5 | 46.8 | 53.9 | 58.5 |
| **ROE** | **7.7%** | **4.4%** | **5.6%** | **6.8%** | **8.2%** |
| | | | | | |
| Average Share Outstanding (Diluted) | 309.7 | 298.7 | 298.8 | 283.2 | 277.9 |
| EPS (Diluted, Yen) | 81.2 | 47.4 | 60.2 | 72.4 | 88.0 |
| BPS (Yen) | 1,075.3 | 1,082.9 | 1,065.6 | 1,059.7 | 1,067.8 |
| DPS (Yen) | 38.0 | 38.0 | 40.0 | 45.0 | 45.0 |
| | | | | | |
| USD/JPY: Average Exchange Rate | 149.4 | 149.2 | 155.2 | 155.0 | 155.0 |
| | | | | | |
| **YoY % Change** | | | | | |
| Net Sales | -8% | 4% | 12% | 4% | 8% |
| Operating Profit | -43% | -50% | 45% | 12% | 21% |
| Net Profit | -41% | -44% | 23% | 17% | 19% |
| | | | | | |
| **As % of Sales** | | | | | |
| Gross Profit | 50.9% | 47.8% | 47.8% | 47.8% | 47.1% |
| Operating Profit | 15.7% | 7.6% | 9.9% | 10.7% | 12.0% |
| Net Profit | 12.3% | 6.7% | 7.4% | 8.4% | 9.2% |
| Capex | 15.8% | 18.4% | 14.2% | 6.1% | 5.7% |
| Depreciation and Amortization | 8.7% | 10.5% | 9.9% | 11.3% | 10.1% |

**Balance Sheet**

| (Y bn) | F9/24 | F9/25 | F9/26e | F9/27e | F9/28e |
|---|---|---|---|---|---|
| **Total Assets** | **434.6** | **455.0** | **439.7** | **432.8** | **429.6** |
| | | | | | |
| **Total Current Assets** | **239.0** | **236.4** | **210.9** | **216.7** | **225.2** |
| Cash and Cash Equivalents | 97.0 | 90.6 | 56.5 | 65.2 | 70.4 |
| Marketable Securities | 2.9 | 6.5 | 6.5 | 6.5 | 6.5 |
| Account Receivables | 45.7 | 46.6 | 50.9 | 52.1 | 55.6 |
| Inventory | 80.6 | 77.0 | 81.2 | 77.1 | 76.8 |
| Other Current Assets | 12.8 | 15.8 | 15.8 | 15.8 | 15.8 |
| **Total Long Term Assets** | **195.6** | **218.6** | **228.8** | **216.1** | **204.4** |
| Net PP&E | 132.9 | 150.7 | 160.9 | 148.2 | 136.5 |
| Investments in Securities | 35.7 | 34.6 | 34.6 | 34.6 | 34.6 |
| Other Assets | 27.0 | 33.3 | 33.3 | 33.3 | 33.3 |
| | | | | | |
| **Total Current Liabilities** | **80.7** | **108.5** | **109.2** | **109.4** | **110.2** |
| ST Debt and Current Portion of LT D | 28.4 | 55.5 | 55.5 | 55.5 | 55.5 |
| Accounts Payable | 6.6 | 6.8 | 7.5 | 7.8 | 8.5 |
| Other Current Liabilities | 45.8 | 46.2 | 46.2 | 46.2 | 46.2 |
| **Total Long Term Liabilities** | **20.9** | **23.0** | **23.0** | **23.0** | **23.0** |
| Long Term Debt | 8.5 | 10.6 | 10.6 | 10.6 | 10.6 |
| Other Long Term Liabilities | 12.4 | 12.5 | 12.5 | 12.5 | 12.5 |
| | | | | | |
| **Net Assets** | **333.0** | **323.5** | **307.5** | **300.2** | **296.7** |
| | | | | | |
| **Net Debt** | **-63.0** | **-31.0** | **3.1** | **-5.6** | **-10.9** |

**Cash Flow Statement**

| (Y bn) | F9/24 | F9/25 | F9/26e | F9/27e | F9/28e |
|---|---|---|---|---|---|
| **Net Cash from Operations** | **38.1** | **37.8** | **34.0** | **52.4** | **49.7** |
| Net Income | 25.1 | 14.2 | 17.5 | 20.5 | 24.5 |
| Depreciation and Amortization | 16.7 | 18.9 | 23.4 | 27.7 | 26.7 |
| Changes in Working Capital | -3.9 | 3.7 | -7.9 | 3.2 | -2.5 |
| Other-net | 0.0 | 1.0 | 1.0 | 1.0 | 1.0 |
| | | | | | |
| **Net Cash from Investing Activities** | **-73.7** | **-42.2** | **-36.4** | **-16.0** | **-16.0** |
| Purchase of PP&E | -28.1 | -35.8 | -33.7 | -15.0 | -15.0 |
| Sale/Purchase of Invenstments | -0.5 | -4.1 | 0.0 | 0.0 | 0.0 |
| Other-net | -45.1 | -2.2 | -2.8 | -1.0 | -1.0 |
| | | | | | |
| **Free Cash Flow** | **-35.6** | **-4.4** | **-2.5** | **36.4** | **33.7** |
| | | | | | |
| **Net Cash from Financing Activities** | **12.6** | **-2.8** | **-31.7** | **-27.7** | **-28.4** |
| Change in Interest-bearing Debt | 24.5 | 29.0 | 0.0 | 0.0 | 0.0 |
| Change in Treasury Stock | 0.0 | -20.0 | -20.0 | -15.0 | -15.0 |
| Payment of Cash Dividends | -11.8 | -11.6 | -11.7 | -12.7 | -13.4 |
| Other-net | -0.2 | -0.3 | 0.0 | 0.0 | 0.0 |
| Net Effect of Exchange Rate Changes | 1.2 | 0.7 | 0.0 | 0.0 | 0.0 |
| **Net Change in Cash** | **-21.8** | **-6.5** | **-34.1** | **8.7** | **5.3** |
| **Cash at End of Period** | **92.6** | **86.0** | **51.9** | **60.7** | **65.9** |

**Segment Information**

| (Y bn) | F9/24 | F9/25 | F9/26e | F9/27e | F9/28e |
|---|---|---|---|---|---|
| **Net Sales** | **204.0** | **212.1** | **236.9** | **245.5** | **265.2** |
| Electron Tube | 78.5 | 71.9 | 81.5 | 84.8 | 89.9 |
| Opto-semiconductor | 78.9 | 79.5 | 92.6 | 100.9 | 108.0 |
| Imaging and Measurement Instruments | 32.8 | 32.7 | 34.3 | 36.3 | 39.2 |
| Others | 3.0 | 5.7 | 4.7 | 1.7 | 4.0 |
| | | | | | |
| **YoY % Change** | **-8%** | **4%** | **12%** | **4%** | **8%** |
| Electron Tube | -6% | -8% | 13% | 4% | 6% |
| Opto-semiconductor | -21% | 1% | 16% | 9% | 7% |
| Imaging and Measurement Instruments | 3% | 0% | 5% | 6% | 8% |
| Others | 180% | 89% | -18% | -64% | 139% |
| | | | | | |
| **Operating Profit by Segment** | | | | | |
| **Total Operating Profit** | **32.1** | **16.2** | **23.4** | **26.2** | **31.8** |
| Electron Tube | 23.8 | 19.0 | 25.4 | 27.0 | 29.2 |
| Opto-semiconductor | 17.9 | 12.6 | 17.3 | 15.9 | 19.1 |
| Imaging and Measurement Instruments | 10.4 | 9.7 | 8.7 | 10.9 | 11.9 |
| Others | 0.7 | 0.9 | 0.0 | -0.2 | 0.0 |
| Adjustments | -23.3 | -21.6 | -21.7 | -22.0 | -23.8 |
| | | | | | |
| **Operating Margin** | **16%** | **8%** | **10%** | **11%** | **12%** |
| Electron Tube | 30% | 26% | 31% | 32% | 33% |
| Opto-semiconductor | 23% | 16% | 19% | 16% | 18% |
| Imaging and Measurement Instruments | 32% | 30% | 26% | 30% | 30% |
| Others | 24% | 15% | 0% | -14% | -1% |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Kyocera: Key Financial Data

**Exhibit 63:**

| Income Statement (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **2,014.5** | **2,070.2** | **2,078.9** | **2,174.9** | **2,273.1** |
| COGS | 1,455.3 | 1,462.6 | 1,435.6 | 1,514.6 | 1,963.6 |
| **Gross Profit** | **559.2** | **607.6** | **643.3** | **660.3** | **309.5** |
| SG&A | 531.9 | 489.5 | 478.0 | 488.8 | 125.0 |
| **Operating Profit** | **27.3** | **118.1** | **165.3** | **171.5** | **184.5** |
| Non-operating Income/Loss | 36.3 | 50.9 | 44.8 | 29.0 | 19.0 |
| **Pretax Profit** | **63.6** | **169.0** | **210.1** | **200.5** | **203.5** |
| Income Tax | 36.2 | 24.1 | 40.5 | 40.1 | 40.7 |
| (Effective Tax Rate) | 1% | 0% | 0% | 0% | 0% |
| Minority Interest | 3.4 | 4.0 | 2.4 | 2.0 | 2.0 |
| **Net Profit** | **24.1** | **141.0** | **167.2** | **158.4** | **160.8** |
| | | | | | |
| Capex | 161.7 | 149.1 | 222.2 | 200.0 | 200.0 |
| Depreciation and Amortization | 111.7 | 110.9 | 120.0 | 130.0 | 135.0 |
| R&D | 104.3 | 115.7 | 119.7 | 125.0 | 125.0 |
| EBITDA | 139.0 | 229.1 | 285.3 | 301.5 | 319.5 |
| **ROE** | **0.7%** | **4.3%** | **5.1%** | **5.1%** | **5.4%** |
| | | | | | |
| Average Share Outstanding (Diluted) | 1,412.4 | 1,372.6 | 1,291.5 | 1,194.8 | 1,127.3 |
| EPS (Diluted, Yen) | 17.1 | 102.7 | 129.5 | 132.6 | 146.9 |
| BPS (Yen) | 2,195.0 | 2,203.5 | 2,279.7 | 2,328.5 | 2,385.6 |
| DPS (Yen) | 50.0 | 52.0 | 65.0 | 70.0 | 70.0 |
| | | | | | |
| USD/JPY: Average Exchange Rate | 151.8 | 150.8 | 155.0 | 155.0 | 155.0 |
| EUR/JPY: Average Exchange Rate | 163.8 | 174.8 | 180.0 | 180.0 | 180.0 |
| | | | | | |
| **YoY % Change** | | | | | |
| Sales | 1% | 3% | 0% | 5% | 5% |
| Operating Profit | -71% | 333% | 40% | 4% | 8% |
| Net Profit | -76% | 485% | 19% | -5% | 2% |
| | | | | | |
| **As % of Sales** | | | | | |
| Gross Profit | 27.8% | 29.4% | 30.9% | 30.4% | 13.6% |
| Operating Profit | 1.4% | 5.7% | 8.0% | 7.9% | 8.1% |
| Net Profit | 1.2% | 6.8% | 8.0% | 7.3% | 7.1% |
| Capex | 8.0% | 7.2% | 10.7% | 9.2% | 8.8% |
| Depreciation and Amortization | 5.5% | 5.4% | 5.8% | 6.0% | 5.9% |

| Balance Sheet (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total Assets** | **4,511.3** | **4,646.3** | **4,490.8** | **4,477.7** | **4,720.3** |
| | | | | | |
| **Total Current Assets** | **1,435.7** | **1,501.2** | **1,243.5** | **1,160.4** | **1,337.9** |
| Cash and Cash Equivalents | 444.7 | 455.9 | 187.9 | 68.5 | 73.0 |
| Marketable Securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Account Receivables | 411.2 | 416.6 | 391.0 | 409.1 | 427.6 |
| Inventory | 521.8 | 522.0 | 557.8 | 576.1 | 730.7 |
| Other Current Assets | 58.0 | 106.7 | 106.7 | 106.7 | 106.7 |
| **Total Long Term Assets** | **3,075.6** | **3,145.2** | **3,247.3** | **3,317.3** | **3,382.3** |
| Net PP&E | 651.9 | 685.5 | 787.6 | 857.6 | 922.6 |
| Investments and Advances | 1,770.3 | 1,804.0 | 1,804.0 | 1,804.0 | 1,804.0 |
| Goodwill | 282.2 | 274.0 | 274.0 | 274.0 | 274.0 |
| Intangible Assets | 142.1 | 121.2 | 121.2 | 121.2 | 121.2 |
| Other Assets | 229.1 | 260.5 | 260.5 | 260.5 | 260.5 |
| | | | | | |
| **Total Current Liabilities** | **491.7** | **525.0** | **530.6** | **541.7** | **604.4** |
| ST Debt and Current Portion of LT Debt | 45.8 | 56.1 | 56.1 | 56.1 | 56.1 |
| Accounts Payable | 207.0 | 194.8 | 200.4 | 211.4 | 274.1 |
| Other Current Liabilities | 238.8 | 274.2 | 274.2 | 274.2 | 274.2 |
| **Total Long Term Liabilities** | **776.4** | **753.9** | **753.9** | **903.9** | **1,103.9** |
| Long Term Debt | 202.6 | 189.0 | 189.0 | 339.0 | 539.0 |
| Other Long Term Liabilities | 573.8 | 565.0 | 565.0 | 565.0 | 565.0 |
| Minority Interests | 25.4 | 27.9 | 25.6 | 23.6 | 21.6 |
| **Total Equity** | **3,243.2** | **3,367.4** | **3,180.6** | **3,008.5** | **2,990.4** |
| | | | | | |
| **Net Debt (excl. KDDI Shares)** | **-385.3** | **-483.8** | **-285.3** | **-265.9** | **-320.4** |

| Cash Flow Statement (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Cash from Operations** | 237.9 | 226.2 | 280.2 | 261.1 | 183.4 |
| Net Income | 24.1 | 141.0 | 167.2 | 158.4 | 160.8 |
| Depreciation and Amortization | 160.9 | 158.2 | 120.0 | 130.0 | 135.0 |
| Changes in Working Capital: | 26.0 | -41.4 | -4.6 | -25.3 | -110.4 |
| Other-net | 26.8 | -31.5 | -2.4 | -2.0 | -2.0 |
| | | | | | |
| **Net Cash from Financing Activities** | **-150.5** | **74.5** | **-222.2** | **-200.0** | **-200.0** |
| Purchase of PP&E | -154.7 | -159.2 | -222.2 | -200.0 | -200.0 |
| Sale/Purchase of Invenstments | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other-net | 4.2 | 233.7 | 0.0 | 0.0 | 0.0 |
| **Free cash flow** | **87.4** | **300.8** | **58.1** | **61.1** | **-16.6** |
| | | | | | |
| **Net Cash from Financing Activities** | **-64.9** | **-312.0** | **-326.0** | **-180.5** | **21.1** |
| Change in Interest-bearing Debt | 38.0 | -6.2 | 0.0 | 150.0 | 200.0 |
| Change in Treasury Stock | 0.0 | -200.0 | -250.0 | -250.0 | -100.0 |
| Payment of Cash Dividends | -73.3 | -72.2 | -76.0 | -80.5 | -78.9 |
| Other-net | -29.6 | -33.5 | 0.0 | 0.0 | 0.0 |
| Net Effect of Exchange Rate Changes | -2.5 | 22.3 | 0.0 | 0.0 | 0.0 |
| **Net Change in Cash** | **20.0** | **11.1** | **-268.0** | **-119.4** | **4.5** |
| **Cash at End of Period** | **444.7** | **455.9** | **187.9** | **68.5** | **73.0** |

| Segment Information (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **2,014.5** | **2,070.2** | **2,078.9** | **2,174.9** | **2,273.1** |
| **Core Compoents Business** | **567.1** | **653.4** | **709.1** | **748.3** | **798.3** |
| Industrial & Automotive Components Unit | **233.1** | **250.1** | **260.4** | **273.5** | **287.1** |
| Semiconductor Components Unit | 300.8 | 379.4 | 421.1 | 454.8 | 491.2 |
| Others | 33.3 | 23.9 | 27.5 | 20.0 | 20.0 |
| **Electronic Components Business** | **354.6** | **363.5** | **396.1** | **419.9** | **445.1** |
| **Solutions Business** | **1,111.0** | **1,070.9** | **985.1** | **1,016.8** | **1,039.7** |
| Industrial Tools Unit | 305.9 | 285.9 | 184.3 | 189.0 | 193.7 |
| Document Solutions Unit(Information Equ | 480.0 | 478.5 | 507.1 | 519.8 | 532.8 |
| Communications Unit | 225.5 | 219.2 | 203.0 | 208.1 | 213.3 |
| Others | 99.7 | 87.3 | 90.7 | 100.0 | 100.0 |
| **Others** | **17.7** | **17.7** | **17.7** | **17.7** | **17.7** |
| **Elimination** | **-35.4** | **-31.8** | **-27.3** | **-26.0** | **-26.0** |
| | | | | | |
| **Net OP** | **24.0** | **133.2** | **196.8** | **201.5** | **214.5** |
| **Core Compoents Business** | **-1.1** | **63.1** | **98.5** | **105.5** | **112.5** |
| Industrial & Automotive Components Unit | 25.0 | 18.7 | 37.0 | 40.0 | 42.0 |
| Semiconductor Components Unit | -27.8 | 46.9 | 61.9 | 65.0 | 70.0 |
| Others | 1.7 | -2.6 | -0.4 | 0.5 | 0.5 |
| **Electronic Components Business** | **-0.8** | **7.3** | **25.8** | **28.0** | **29.0** |
| Solutions Business | 72.9 | 103.9 | 98.3 | 95.0 | 100.0 |
| Others | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Segment Margin** | **1.2%** | **6.4%** | **9.5%** | **9.3%** | **9.4%** |
| **Core Compoents Business** | **-0.2%** | **9.7%** | **13.9%** | **14.1%** | **14.1%** |
| Industrial & Automotive Components Unit | 10.7% | 7.5% | 14.2% | 14.6% | 14.6% |
| Semiconductor Components Unit | -9.3% | 12.4% | 14.7% | 14.3% | 14.3% |
| **Electronic Components Business** | -0.2% | 2.0% | 6.5% | 6.7% | 6.5% |
| **Solutions Business** | **6.6%** | **9.7%** | **10.0%** | **9.3%** | **9.6%** |

Source: Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Taiyo Yuden: Key Financial Data

**Exhibit 64:**

| Income Statement (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **341.4** | **355.3** | **428.7** | **486.0** | **558.4** |
| COGS | 269.9 | 273.4 | 315.8 | 350.2 | 402.8 |
| **Gross Profit** | **71.6** | **81.9** | **113.0** | **135.7** | **155.6** |
| SG&A Expenses | 61.1 | 61.9 | 67.9 | 69.6 | 71.8 |
| **Operating Profit** | **10.5** | **20.0** | **45.1** | **66.1** | **83.8** |
| Non-operating Income/Loss | 0.1 | 4.1 | -1.5 | -1.5 | -1.5 |
| **Recurring Profit** | **10.5** | **24.1** | **43.6** | **64.6** | **82.4** |
| Extraordinary Income/Loss | -2.2 | -4.1 | -0.5 | -2.0 | -2.0 |
| **Pretax Profit** | **8.4** | **20.1** | **43.1** | **62.6** | **80.4** |
| Income Tax | 6.0 | 5.3 | 13.1 | 18.8 | 24.1 |
| (Effective Tax Rate) | 72% | 26% | 30% | 30% | 30% |
| Minority Interest | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Net Profit** | **2.3** | **14.8** | **30.1** | **43.9** | **56.3** |
| | | | | | |
| Capex | 64.2 | 40.4 | 42.0 | 60.0 | 60.0 |
| Depreciation and Amortization | 46.3 | 49.1 | 50.0 | 52.0 | 52.0 |
| R&D Expenses | 15.0 | 14.5 | 15.0 | 16.0 | 17.0 |
| EBITDA | 56.7 | 69.1 | 95.1 | 118.1 | 135.8 |
| **ROE** | **0.7%** | **4.5%** | **8.5%** | **11.6%** | **13.6%** |
| | | | | | |
| Average Share Outstanding (Diluted) | 144.3 | 137.7 | 137.7 | 137.7 | 137.7 |
| EPS (Diluted, Yen) | 16.1 | 107.6 | 218.3 | 318.5 | 408.6 |
| BPS (Yen) | 2,206.4 | 2,501.8 | 2,633.8 | 2,857.0 | 3,161.2 |
| DPS (Yen) | 90.0 | 90.0 | 100.0 | 110.0 | 120.0 |
| | | | | | |
| USD/JPY: Average Exchange Rate | 152.6 | 150.0 | 156.0 | 155.0 | 155.0 |
| | | | | | |
| **YoY % Change** | | | | | |
| Net Sales | 6% | 4% | 21% | 13% | 15% |
| Operating Profit | 15% | 91% | 125% | 47% | 27% |
| Net Profit | -72% | 536% | 103% | 46% | 28% |
| | | | | | |
| **As % of Sales** | | | | | |
| Gross Profit | 21.0% | 23.1% | 26.4% | 27.9% | 27.9% |
| Operating Profit | 3.1% | 5.6% | 10.5% | 13.6% | 15.0% |
| Net Profit | 0.7% | 4.2% | 7.0% | 9.0% | 10.1% |
| Capex | 18.8% | 11.4% | 9.8% | 12.3% | 10.7% |
| Depreciation and Amortization | 13.5% | 13.8% | 11.7% | 10.7% | 9.3% |

| Balance Sheet (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total Assets** | **573.2** | **615.5** | **639.0** | **673.2** | **720.4** |
| | | | | | |
| **Total Current Assets** | **279.3** | **318.3** | **349.8** | **376.0** | **415.1** |
| Cash and Cash Equivalents | 78.2 | 100.1 | 124.9 | 130.9 | 141.4 |
| Marketable Securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Account Receivables | 80.5 | 86.4 | 98.8 | 110.6 | 125.6 |
| Inventory | 110.0 | 125.8 | 120.1 | 128.4 | 142.1 |
| Other Current Assets | 10.5 | 6.0 | 6.0 | 6.0 | 6.0 |
| **Total Long Term Assets** | **293.9** | **297.2** | **289.2** | **297.2** | **305.2** |
| Net PP&E | 286.8 | 290.0 | 282.0 | 290.0 | 298.0 |
| Investments in Securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other Assets | 7.0 | 7.3 | 7.3 | 7.3 | 7.3 |
| | | | | | |
| **Total Current Liabilities** | **79.6** | **93.8** | **99.0** | **102.5** | **107.8** |
| ST Debt and Current Portion of LT Debt | 19.7 | 35.2 | 35.2 | 35.2 | 35.2 |
| Accounts Payable | 27.2 | 26.5 | 31.8 | 35.2 | 40.5 |
| Other Current Liabilities | 32.8 | 32.1 | 32.1 | 32.1 | 32.1 |
| **Total Long Term Liabilities** | **174.4** | **177.4** | **177.4** | **177.4** | **177.4** |
| Long Term Debt | 144.7 | 136.0 | 136.0 | 136.0 | 136.0 |
| Other Long Term Liabilities | 29.7 | 41.4 | 41.4 | 41.4 | 41.4 |
| | | | | | |
| **Net Assets** | **319.2** | **344.4** | **362.6** | **393.3** | **435.2** |
| Minority Interests | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Stock Acquisition Rights | 0.7 | 0.0 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Net Debt** | **86.2** | **71.1** | **46.3** | **40.3** | **29.8** |

| Cash Flow Statement (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Cash from Operations** | **33.9** | **58.1** | **78.7** | **79.1** | **84.8** |
| Net Income | 2.3 | 14.8 | 30.1 | 43.9 | 56.3 |
| Depreciation and Amortization | 46.3 | 49.1 | 50.0 | 52.0 | 52.0 |
| Changes in Working Capital | -13.5 | -9.0 | -1.4 | -16.7 | -23.4 |
| Other-net | -1.2 | 3.2 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Net Cash from Investing Activities** | **-63.5** | **-25.7** | **-42.0** | **-60.0** | **-60.0** |
| Purchase of PP&E | -62.6 | -40.4 | -42.0 | -60.0 | -60.0 |
| Sale/Purchase of Invenstments | 1.3 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other-net | -2.2 | 14.7 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Free Cash Flow** | **-29.6** | **32.4** | **36.7** | **19.1** | **24.8** |
| | | | | | |
| **Net Cash from Financing Activities** | **3.0** | **-6.8** | **-11.9** | **-13.1** | **-14.4** |
| Change in Interest-bearing Debt | 15.7 | 6.5 | 0.0 | 0.0 | 0.0 |
| Change in Treasury Stock | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Payment of Cash Dividends | -11.2 | -11.2 | -11.9 | -13.1 | -14.4 |
| Other-net | -1.5 | -2.1 | 0.0 | 0.0 | 0.0 |
| Net Effect of Exchange Rate Changes | -0.9 | 4.9 | 0.0 | 0.0 | 0.0 |
| **Net Change in Cash** | **-27.4** | **30.5** | **24.8** | **6.0** | **10.5** |
| **Cash at End of Period** | **67.5** | **98.1** | **122.9** | **128.9** | **139.4** |

| Segment Information (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **341.4** | **355.3** | **428.7** | **486.0** | **558.4** |
| Capacitors | 232.1 | 251.8 | 320.8 | 374.3 | 441.6 |
| Elna | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Ferrite and Applied Products | 61.5 | 64.3 | 70.2 | 72.2 | 77.3 |
| Complex Devices | 23.0 | 14.8 | 12.1 | 14.5 | 14.5 |
| Others | 24.8 | 24.5 | 25.6 | 25.0 | 25.0 |
| | | | | | |
| **Total Operating Profit** | **10.5** | **20.0** | **45.1** | **66.1** | **83.8** |
| | | | | | |
| **Operating Profit Margin** | **3.1%** | **5.6%** | **10.5%** | **13.6%** | **15.0%** |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Murata Mfg: Key Financial Data

**Exhibit 65:**

**Income Statement**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **1,743.4** | **1,830.9** | **2,194.6** | **2,628.3** | **3,104.1** |
| Cost of Goods Sold | 1,025.7 | 1,056.0 | 1,183.8 | 1,380.8 | 1,639.4 |
| **Gross Profit** | **717.7** | **774.8** | **1,010.8** | **1,247.5** | **1,464.7** |
| SG&A Expenses | 438.0 | 493.0 | 520.1 | 544.9 | 573.7 |
| **Operating Profit** | **279.7** | **281.8** | **490.8** | **702.6** | **891.0** |
| Non-Operating Income/Loss | 24.7 | 26.8 | 18.3 | 12.0 | 12.0 |
| **Pretax profit** | **304.4** | **308.6** | **509.0** | **714.6** | **903.0** |
| Income Tax | 71.4 | 74.9 | 125.8 | 175.1 | 221.2 |
| (Effective Tax Rate) | 23% | 24% | 25% | 25% | 25% |
| Minority Interest | -0.8 | -0.1 | 0.0 | 0.0 | 0.0 |
| **Net Profit** | **233.8** | **233.8** | **383.2** | **539.5** | **681.8** |
| | | | | | |
| Capex | 180.5 | 247.8 | 253.0 | 250.0 | 250.0 |
| Depreciation and Amortization | 173.3 | 178.2 | 180.6 | 190.0 | 200.0 |
| R&D | 149.3 | 158.9 | 169.9 | 173.0 | 178.0 |
| EBITDA | 453.0 | 460.0 | 671.4 | 892.6 | 1,091.0 |
| **ROE** | **9.1%** | **8.8%** | **13.8%** | **18.2%** | **20.8%** |
| | | | | | |
| Average Share Outstanding (Diluted) | 1,869.3 | 1,831.4 | 1,811.9 | 1,786.3 | 1,769.6 |
| EPS (Diluted, Yen) | 125.08 | 127.65 | 211.52 | 302.05 | 385.28 |
| BPS (Yen) | 1,380.1 | 1,484.0 | 1,559.2 | 1,729.3 | 1,964.7 |
| DPS (Yen) | 57.0 | 65.0 | 70.0 | 75.0 | 82.0 |
| | | | | | |
| USD/JPY: Average Exchange Rate | 152.6 | 150.8 | 156.1 | 155.0 | 155.0 |
| | | | | | |
| **YoY % Change** | | | | | |
| Net Sales | 6% | 5% | 20% | 20% | 18% |
| Operating Profit | 30% | 1% | 74% | 43% | 27% |
| Net Profit | 29% | 0% | 64% | 41% | 26% |
| | | | | | |
| **As % of Sales** | | | | | |
| Gross Profit | 41.2% | 42.3% | 46.1% | 47.5% | 47.2% |
| Operating Profit | 16.0% | 15.4% | 22.4% | 26.7% | 28.7% |
| Net Profit | 13.4% | 12.8% | 17.5% | 20.5% | 22.0% |
| Capex | 10.4% | 13.5% | 11.5% | 9.5% | 8.1% |
| Depreciation and Amortization | 9.9% | 9.7% | 8.2% | 7.2% | 6.4% |

**Balance Sheet**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total Assets** | **3,028.2** | **3,199.1** | **3,315.1** | **3,593.8** | **4,001.2** |
| | | | | | |
| **Total Current Assets** | **1,497.9** | **1,581.4** | **1,625.0** | **1,843.7** | **2,201.0** |
| Cash and Cash Equivalents | 625.1 | 653.7 | 585.3 | 650.8 | 824.9 |
| Marketable Securities | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Account Receivables | 294.4 | 328.2 | 393.4 | 471.1 | 556.4 |
| Inventory | 482.8 | 520.5 | 567.2 | 642.7 | 740.6 |
| Other Current Assets | 95.5 | 79.1 | 79.1 | 79.1 | 79.1 |
| **Total Long Term Assets** | **1,530.3** | **1,617.7** | **1,690.1** | **1,750.1** | **1,800.1** |
| Net PP&E | 1,183.7 | 1,300.9 | 1,373.3 | 1,433.3 | 1,483.3 |
| Investments in Securities | 40.3 | 50.4 | 50.4 | 50.4 | 50.4 |
| Other assets | 306.3 | 266.4 | 266.4 | 266.4 | 266.4 |
| | | | | | |
| **Total Current Liabilities** | **276.5** | **316.5** | **326.1** | **341.0** | **360.6** |
| ST Debt & Current Portion of LT Debt | 0.8 | 1.7 | 1.7 | 1.7 | 1.7 |
| Accounts Payable | 69.6 | 79.8 | 89.5 | 104.3 | 123.9 |
| Other Current Liabilities | 206.1 | 234.9 | 234.9 | 234.9 | 234.9 |
| **Total Long Term Liabilities** | **171.7** | **164.8** | **164.8** | **164.8** | **164.8** |
| Long Term Debt | 1.7 | 1.5 | 1.5 | 1.5 | 1.5 |
| Other Long Term Liabilities | 170.0 | 163.3 | 163.3 | 163.3 | 163.3 |
| Minority Interests | -0.8 | -0.9 | -0.9 | -0.9 | -0.9 |
| **Total Equity** | **2,580.0** | **2,717.8** | **2,825.1** | **3,088.9** | **3,476.7** |
| | | | | | |
| **Net Debt** | **-663.0** | **-700.8** | **-632.4** | **-697.9** | **-872.1** |

**Cash Flow Statement**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Cash from Operations** | **451.9** | **425.2** | **461.5** | **591.2** | **718.1** |
| Net Income | 233.8 | 233.8 | 383.2 | 539.5 | 681.8 |
| Depreciation and Amortization | 173.3 | 178.2 | 180.6 | 190.0 | 200.0 |
| Changes in Working Capital: | 24.4 | -18.0 | -102.3 | -138.3 | -163.7 |
| Other-net | 20.3 | 31.3 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Net Cash from Investing Activities** | **-208.1** | **-193.8** | **-253.0** | **-250.0** | **-250.0** |
| Purchase of PP&E | -179.4 | -243.0 | -253.0 | -250.0 | -250.0 |
| Sale/Purchase of Invenstments | 3.4 | 2.2 | 0.0 | 0.0 | 0.0 |
| Other-net | -32.1 | 46.9 | 0.0 | 0.0 | 0.0 |
| | | | | | |
| **Free cash flow** | **243.8** | **231.4** | **208.5** | **341.2** | **468.1** |
| | | | | | |
| **Net Cash from Financing Activities** | **-242.7** | **-221.8** | **-276.9** | **-275.7** | **-294.0** |
| Change in Interest-bearing Debt | -50.4 | 0.8 | 0.0 | 0.0 | 0.0 |
| Change in Treasury Stock | -80.0 | -100.0 | -150.0 | -150.0 | -150.0 |
| Payment of Cash Dividends | -101.6 | -110.7 | -126.9 | -125.7 | -144.0 |
| Other-net | -10.7 | -11.9 | 0.0 | 0.0 | 0.0 |
| Net Effect of Exchange Rate Changes | 2.0 | 19.0 | 0.0 | 0.0 | 0.0 |
| **Net Change in Cash** | **3.1** | **28.6** | **-68.4** | **65.5** | **174.1** |

**Segment Information**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales** | **1,793.3** | **1,830.9** | **2,194.6** | **2,628.3** | **3,104.1** |
| **Components Total** | **1,033.1** | **1,159.7** | **1,526.1** | **1,838.7** | **2,156.5** |
| Capacitors | 831.8 | 936.4 | 1,274.5 | 1,577.0 | 1,884.3 |
| Inductors and EMI Filters | 201.3 | 223.3 | 251.6 | 261.7 | 272.2 |
| **Devices/Modules** | **697.2** | **656.0** | **653.2** | **776.7** | **934.7** |
| High Frequency Devices/Communications Module | 443.6 | 394.8 | 377.9 | 453.5 | 544.2 |
| Battery/Power supply | 155.7 | 154.1 | 162.3 | 203.4 | 263.5 |
| Functional Devices | 97.8 | 107.1 | 113.0 | 119.8 | 127.0 |
| **Others** | **13.1** | **15.2** | **15.3** | **13.0** | **13.0** |
| | | | | | |
| **Total Operating Profit** | **279.7** | **281.8** | **490.8** | **702.6** | **891.0** |
| Components Total | 275.2 | 315.1 | 501.4 | 671.4 | 834.5 |
| Devices/Modules | 10.0 | -26.5 | -2.4 | 37.2 | 62.5 |
| Others | -5.4 | -6.8 | -8.2 | -6.0 | -6.0 |
| | | | | | |
| **Operating Profit Margin** | **15.6%** | **15.4%** | **22.4%** | **26.7%** | **28.7%** |
| Components Total | 26.6% | 27.2% | 32.9% | 36.5% | 38.7% |
| Devices/Modules | 2.3% | -6.7% | -0.6% | 8.2% | 11.5% |

**Sales by Application**

| (Y bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Net Sales (excl. Non-product Sales)** | **1,793.3** | **1,830.9** | **2,194.6** | **2,628.3** | **3,104.1** |
| AV | 674.2 | 653.0 | - | - | - |
| Communication | 453.1 | 474.5 | - | - | - |
| Computer and Peripheral | 281.9 | 310.4 | - | - | - |
| Automobile Electronics | 150.4 | 142.7 | - | - | - |
| Home Appliances and Others | 183.7 | 250.3 | - | - | - |
| | | | | | |
| **As % of Total** | | | | | |
| AV | 38.7% | 36% | - | - | - |
| Communication | 26.0% | 26% | - | - | - |
| Computer and Peripheral | 16.2% | 17% | - | - | - |
| Automobile Electronics | 8.6% | 8% | - | - | - |
| Home Appliances and Others | 10.5% | 14% | - | - | - |

Note: Shares outstanding is measured in million shares; Net Debt = Interest bearing Debt - Cash & cash equivalents - Short-term marketable securities - Investments in securities; Operating Profit breakdown is our estimate based on company interview when the information is not disclosed by the firm; DPS estimates are based on the dividend ratio in the past; e = Morgan Stanley Research estimates Source: Company Data, Morgan Stanley Research

# Nichicon: Key Financial Data

**Exhibit 66:**

**Income Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **175.8** | **169.7** | **187.7** | **200.6** | **207.4** |
| Costs of Sales | 147.4 | 139.7 | 150.7 | 157.7 | 162.0 |
| **Gross Profit** | 28.3 | 30.0 | 37.0 | 42.9 | 45.4 |
| SG&A | 23.1 | 23.5 | 26.3 | 28.3 | 29.6 |
| **Operating Income** | **5.2** | **6.5** | **10.7** | **14.6** | **15.8** |
| Non-operating income/expenses | 2.3 | 1.9 | 0.3 | 0.2 | 0.2 |
| **Recurring Profit** | **7.5** | **8.3** | **11.0** | **14.8** | **16.0** |
| Extraordinary income | 1.0 | -1.1 | 0.0 | 0.0 | 0.0 |
| **Profit before income taxes** | **8.5** | **7.2** | **11.0** | **14.8** | **16.0** |
| Income taxes | 2.1 | 0.4 | 2.8 | 4.5 | 4.9 |
| (Effective tax rate) | 25% | 5% | 25% | 30% | 31% |
| Profit attributable to non-controlling interests | 0.5 | 0.5 | 0.5 | 0.5 | 0.5 |
| **Net Profit** | **5.9** | **6.3** | **7.7** | **9.8** | **10.6** |
| | | | | | |
| Capex | 11.1 | 7.6 | 12.0 | 13.0 | 13.5 |
| Depreciation & amortization | 8.5 | 8.1 | 8.5 | 9.4 | 10.3 |
| R&D | 7.2 | 7.3 | 7.5 | 8.0 | 8.3 |
| EBITDA | 13.7 | 14.5 | 19.2 | 24.0 | 26.1 |
| **ROE** | **5.3%** | **5.5%** | **6.4%** | **7.8%** | **8.0%** |
| | | | | | |
| No of average shares (mn) | 68.3 | 67.1 | 66.7 | 65.3 | 65.3 |
| EPS (JPY) | 86.0 | 94.0 | 115.5 | 150.1 | 162.3 |
| BPS (JPY) | 1,644.3 | 1,780.9 | 1,868.6 | 1,975.4 | 2,095.7 |
| DPS (JPY) | 36.0 | 38.0 | 39.0 | 41.0 | 43.0 |
| | | | | | |
| USD/JPY (Average) | 151.6 | 150.0 | 156.0 | 155.0 | 155.0 |

**Balance Sheet**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total assets** | **192.6** | **195.6** | **224.9** | **233.1** | **240.6** |
| | | | | | |
| **Current assets** | **108.3** | **107.7** | **133.0** | **137.8** | **142.2** |
| Cash and cash equivalents | 25.5 | 24.5 | 43.1 | 43.1 | 45.6 |
| Accounts receivable | 44.8 | 47.4 | 51.4 | 55.0 | 56.8 |
| Inventories | 33.2 | 32.3 | 35.0 | 36.3 | 36.4 |
| Other financial assets | 4.7 | 3.5 | 3.5 | 3.5 | 3.5 |
| **Fixed assets** | **84.3** | **87.9** | **91.9** | **95.3** | **98.3** |
| Tangible fixed assets | 53.1 | 52.5 | 56.7 | 60.3 | 63.5 |
| Intangible fixed assets | 1.9 | 2.1 | 1.9 | 1.7 | 1.6 |
| Other non-current assets | 29.3 | 33.2 | 33.2 | 33.2 | 33.2 |
| | | | | | |
| **Current liabilities** | **51.6** | **47.2** | **50.0** | **51.8** | **52.3** |
| Short term borrowings | 9.2 | 10.9 | 11.1 | 11.0 | 10.6 |
| Accounts payable | 28.5 | 23.3 | 25.8 | 27.5 | 28.5 |
| Other current liabilities | 13.9 | 13.0 | 13.1 | 13.3 | 13.3 |
| **Fixed liabilities** | **27.2** | **24.8** | **48.9** | **48.4** | **47.5** |
| Long term borrowings | 15.8 | 13.3 | 15.3 | 14.8 | 13.9 |
| Other fixed liabilities | 11.5 | 11.6 | 33.6 | 33.6 | 33.6 |
| | | | | | |
| **Net assets** | **113.8** | **123.5** | **125.9** | **132.9** | **140.8** |
| | | | | | |
| **Total liabilities and equity** | **192.6** | **195.6** | **224.9** | **233.1** | **240.6** |

**Cashflow Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Cash flow from operating activities** | **18.3** | **8.2** | **10.2** | **15.0** | **18.7** |
| EBIT | 8.5 | 7.2 | 11.0 | 14.8 | 16.0 |
| Depreciation | 8.5 | 8.1 | 8.5 | 9.4 | 10.3 |
| Changes in Receivables | 3.2 | -1.2 | -4.0 | -3.5 | -1.9 |
| Change in inventory | 3.7 | 1.8 | -2.7 | -1.3 | -0.1 |
| Changes in Payables | -2.2 | -6.0 | 2.5 | 1.8 | 0.9 |
| Other | -3.3 | -1.7 | -5.0 | -6.1 | -6.6 |
| **Cash flow from investing activities** | **-8.4** | **-6.6** | **-10.6** | **-11.6** | **-12.1** |
| Purchase of PP&E | -10.7 | -7.1 | -12.0 | -13.0 | -13.5 |
| Sales of PP&E | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other | 2.3 | 0.5 | 1.4 | 1.4 | 1.4 |
| **Cash flow from financing activities** | **-14.3** | **-3.8** | **16.8** | **-3.3** | **-4.1** |
| Net Change In Borrowings | 2.2 | -0.8 | 2.3 | -0.6 | -1.4 |
| Purchace of treasury shares | -1.6 | 0.0 | -5.0 | 0.0 | 0.0 |
| Cash dividend paid | -2.5 | -2.4 | -2.5 | -2.6 | -2.7 |
| Other | -12.5 | -0.6 | 22.0 | 0.0 | 0.0 |
| Effect of exchange rate changes | 0.5 | 1.2 | 2.2 | -0.2 | 0.0 |
| Changes in cash and cash equivalents | -3.9 | -1.1 | 18.7 | 0.0 | 2.5 |
| **Cash and cash equivalents at end of the period** | **25.5** | **24.4** | **43.1** | **43.1** | **45.6** |
| | | | | | |
| **FCF** | **10.0** | **1.6** | **-0.4** | **3.4** | **6.6** |

**Sales by Product**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Capacitor** | **99.2** | **102.7** | **115.7** | **120.8** | **123.7** |
| Aluminum capacitor | 79.3 | 82.0 | 90.1 | 93.8 | 95.6 |
| Film capacitor | 19.8 | 20.7 | 25.6 | 27.0 | 28.1 |
| **NECST** | **76.6** | **67.0** | **72.0** | **79.8** | **83.7** |
| Applied system and equipment | 7.3 | 7.2 | 8.8 | 9.4 | 10.0 |
| EV | 5.6 | 3.5 | 2.7 | 2.6 | 2.6 |
| Power source | 26.3 | 21.7 | 18.9 | 19.0 | 19.0 |
| Storage | 35.6 | 32.4 | 39.5 | 46.7 | 50.0 |
| Others | 1.9 | 2.2 | 2.2 | 2.2 | 2.2 |
| (YoY) | | | | | |
| **Capacitor** | **-7%** | **4%** | **13%** | **4%** | **2%** |
| Aluminum capacitor | -9% | 3% | 10% | 4% | 2% |
| Film capacitor | -19% | 6% | 21% | 13% | 5% |
| **NECST** | **2%** | **-13%** | **8%** | **11%** | **5%** |
| Applied system and equipment | 6% | -1% | 22% | 7% | 7% |
| EV | -31% | -37% | -24% | -2% | -2% |
| Power source | 11% | -17% | -13% | 0% | 0% |
| Storage | 4% | -9% | 22% | 18% | 7% |
| Others | -20% | 15% | 0% | 0% | 0% |

**OP by Product**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Capacitor** | **1.6** | **4.6** | **6.8** | **9.6** | **10.3** |
| Aluminum capacitor | 0.5 | 3.1 | 6.1 | 8.7 | 9.4 |
| Film capacitor | 1.0 | 1.5 | 0.7 | 0.9 | 0.9 |
| **NECST** | **3.7** | **1.9** | **4.0** | **5.0** | **5.5** |
| Applied system and equipment | 1.1 | 0.8 | 1.3 | 1.0 | 1.1 |
| EV | -0.3 | -0.8 | -0.9 | -0.8 | -0.8 |
| Power source | 0.5 | 0.1 | -0.1 | 0.0 | 0.0 |
| Storage | 2.2 | 1.5 | 3.6 | 4.8 | 5.1 |
| Others/Adjustment | 0.2 | 0.2 | 0.1 | 0.0 | 0.0 |
| (OPM) | | | | | |
| **Capacitor** | **1.6%** | **4.5%** | **5.9%** | **7.9%** | **8.4%** |
| Aluminum capacitor | 0.7% | 3.8% | 6.8% | 9.3% | 9.9% |
| Film capacitor | 5.1% | 7.2% | 2.6% | 3.2% | 3.2% |
| **NECST** | **4.8%** | **2.8%** | **5.5%** | **6.3%** | **6.5%** |
| Applied system and equipment | 14.4% | 11.3% | 14.7% | 10.6% | 10.6% |
| EV | -5.4% | -21.3% | -34.8% | -29.4% | -29.4% |
| Power source | 1.9% | 0.3% | -0.3% | 0.1% | 0.2% |
| Storage | 6.2% | 4.7% | 9.1% | 10.2% | 10.3% |

Note: e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# Nippon Chemi-Con: Key Financial Data

**Exhibit 67:**

**Income Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **122.7** | **136.8** | **153.8** | **154.9** | **157.5** |
| Costs of Sales | 99.0 | 112.4 | 122.9 | 122.7 | 123.6 |
| **Gross Profit** | 23.7 | 24.4 | 30.9 | 32.2 | 33.9 |
| SG&A | 20.0 | 21.1 | 23.4 | 23.6 | 24.1 |
| **Operating Income** | **3.7** | **3.4** | **7.5** | **8.6** | **9.8** |
| Non-operating income/expenses | -2.2 | -1.3 | -2.0 | -2.0 | -1.9 |
| **Recurring Profit** | **1.6** | **2.1** | **5.5** | **6.6** | **7.9** |
| Extraordinary income | -1.0 | 1.4 | 0.0 | 0.0 | 0.0 |
| **Profit before income taxes** | **0.6** | **3.5** | **5.5** | **6.6** | **7.9** |
| Income taxes | 0.5 | 1.1 | 1.8 | 2.0 | 2.4 |
| (Effective tax rate) | 88% | 31% | 33% | 30% | 30% |
| Profit attributable to non-controlling interests | 0.0 | 0.1 | 0.0 | 0.0 | 0.0 |
| **Net Profit** | **0.0** | **2.4** | **3.7** | **4.6** | **5.5** |
| | | | | | |
| Capex | 7.6 | 5.9 | 5.7 | 6.2 | 6.3 |
| Depreciation & amortization | 7.1 | 7.3 | 7.2 | 6.9 | 6.9 |
| R&D | 4.2 | 3.9 | 4.4 | 4.4 | 4.5 |
| EBITDA | 10.8 | 10.7 | 14.7 | 15.5 | 16.7 |
| **ROE** | **0.1%** | **4.0%** | **5.7%** | **6.7%** | **7.6%** |
| | | | | | |
| No of average shares (mn) | 38.9 | 34.4 | 27.4 | 27.4 | 27.4 |
| EPS (JPY) | 1.0 | 68.8 | 134.1 | 167.9 | 200.8 |
| BPS (JPY) | 2,631.2 | 2,594.1 | 2,457.4 | 2,574.1 | 2,735.2 |
| DPS (JPY) | 0.0 | 20.0 | 20.0 | 20.0 | 20.0 |
| | | | | | |
| USD/JPY (Average) | 152.6 | 150.8 | 156.1 | 155.0 | 155.0 |

**Balance Sheet**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total assets** | **162.7** | **166.0** | **175.5** | **174.2** | **175.3** |
| | | | | | |
| **Current assets** | **86.6** | **87.6** | **99.4** | **99.6** | **102.0** |
| Cash and cash equivalents | 23.9 | 21.3 | 24.9 | 25.5 | 27.6 |
| Accounts receivable | 28.9 | 29.2 | 32.8 | 33.1 | 33.6 |
| Inventories | 33.1 | 31.2 | 35.8 | 35.2 | 35.0 |
| Other financial assets | 0.8 | 5.8 | 5.8 | 5.8 | 5.8 |
| **Fixed assets** | **76.1** | **78.4** | **76.1** | **74.6** | **73.3** |
| Tangible fixed assets | 48.3 | 47.5 | 46.0 | 45.3 | 44.7 |
| Intangible fixed assets | 2.3 | 2.6 | 1.7 | 0.9 | 0.2 |
| Other non-current assets | 25.4 | 28.3 | 28.3 | 28.3 | 28.3 |
| | | | | | |
| **Current liabilities** | **60.6** | **58.5** | **62.0** | **60.7** | **59.8** |
| Short term borrowings | 36.7 | 34.6 | 37.1 | 35.6 | 34.5 |
| Accounts payable | 13.1 | 8.7 | 9.8 | 9.9 | 10.1 |
| Other current liabilities | 10.8 | 15.1 | 15.2 | 15.2 | 15.2 |
| **Fixed liabilities** | **45.4** | **44.4** | **45.5** | **42.4** | **40.0** |
| Long term borrowings | 38.1 | 35.9 | 37.0 | 33.8 | 31.5 |
| Other fixed liabilities | 7.3 | 8.5 | 8.5 | 8.5 | 8.5 |
| | | | | | |
| **Net assets** | **56.7** | **63.1** | **68.0** | **71.2** | **75.6** |
| | | | | | |
| **Total liabilities and equity** | **162.7** | **166.0** | **175.5** | **174.2** | **175.3** |

**Cashflow Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Cash flow from operating activities** | **-0.5** | **7.6** | **4.7** | **12.7** | **13.0** |
| EBIT | 0.6 | 3.5 | 5.5 | 6.6 | 7.9 |
| Depreciation | 7.1 | 7.3 | 7.2 | 6.9 | 6.9 |
| Changes in Receivables | 2.7 | -4.3 | -3.6 | -0.2 | -0.6 |
| Change in inventory | -3.8 | 3.1 | -4.6 | 0.6 | 0.3 |
| Changes in Payables | -1.0 | -0.5 | 1.1 | 0.1 | 0.2 |
| Other | -6.1 | -1.5 | -0.9 | -1.2 | -1.7 |
| **Cash flow from investing activities** | **-9.8** | **-5.3** | **-5.7** | **-6.2** | **-6.3** |
| Purchase of PP&E | -9.3 | -4.4 | -5.1 | -5.6 | -5.7 |
| Sales of PP&E | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other | -0.4 | -0.9 | -0.6 | -0.6 | -0.6 |
| **Cash flow from financing activities** | **-11.9** | **-6.2** | **0.4** | **-5.6** | **-4.6** |
| Net Change In Borrowings | -10.6 | -4.6 | 3.5 | -4.6 | -3.5 |
| Purchace of treasury shares | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Cash dividend paid | -0.2 | -0.6 | -1.1 | -1.1 | -1.1 |
| Other | -1.2 | -1.1 | -2.0 | 0.0 | 0.0 |
| Effect of exchange rate changes | 0.7 | 1.3 | 4.3 | -0.3 | 0.0 |
| Changes in cash and cash equivalents | -21.4 | -2.6 | 3.6 | 0.6 | 2.2 |
| **Cash and cash equivalents at end of the period** | **23.9** | **21.3** | **24.9** | **25.5** | **27.6** |
| | | | | | |
| **FCF** | **-10.2** | **2.3** | **-1.0** | **6.5** | **6.7** |

**Sales by Product**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Capacitor** | **118.0** | **131.8** | **149.2** | **150.4** | **153.0** |
| Aluminum capacitor | 106.1 | 120.0 | 137.4 | 138.6 | 141.2 |
| DLCAP | 3.8 | 3.6 | 3.4 | 3.3 | 3.3 |
| Other capacitor | 2.5 | 2.6 | 2.5 | 2.5 | 2.5 |
| Capacitor material | 5.7 | 5.6 | 6.0 | 6.0 | 6.0 |
| **Mechanical part** | **3.4** | **3.2** | **2.9** | **2.9** | **2.9** |
| **Other** | **1.2** | **1.8** | **1.7** | **1.7** | **1.7** |
| (YoY) | | | | | |
| **Capacitor** | **-19%** | **12%** | **13%** | **1%** | **2%** |
| Aluminum capacitor | -20% | 13% | 14% | 1% | 2% |
| DLCAP | -28% | -4% | -7% | -1% | 0% |
| Other capacitor | -28% | 4% | -4% | -1% | 0% |
| Capacitor material | 24% | -1% | 7% | -1% | 0% |
| **Mechanical part** | **-2%** | **-8%** | **-9%** | **-1%** | **0%** |
| **Other** | **-21%** | **51%** | **-9%** | **-1%** | **0%** |

Note: e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

# KOA: Key Financial Data

**Exhibit 68:**

**Income Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Sales** | **64.1** | **72.3** | **89.5** | **94.2** | **100.1** |
| Costs of Sales | 46.0 | 50.4 | 62.5 | 64.8 | 67.2 |
| **Gross Profit** | 18.2 | 21.9 | 27.0 | 29.4 | 32.9 |
| SG&A | 17.0 | 18.2 | 21.3 | 22.6 | 24.4 |
| **Operating Income** | **1.2** | **3.6** | **5.7** | **6.8** | **8.5** |
| Non-operating income/expenses | 0.1 | 1.6 | 0.6 | -1.2 | -1.1 |
| **Recurring Profit** | **1.2** | **5.2** | **6.3** | **5.6** | **7.4** |
| Extraordinary income | 0.0 | 0.0 | 3.0 | 0.0 | 0.0 |
| **Profit before income taxes** | **1.3** | **5.3** | **9.3** | **5.6** | **7.4** |
| Income taxes | 1.0 | 1.3 | 1.3 | 1.7 | 2.3 |
| (Effective tax rate) | 79% | 25% | 14% | 30% | 31% |
| Profit attributable to non-controlling interests | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **Net Profit** | **0.3** | **4.0** | **8.0** | **3.9** | **5.1** |
| | | | | | |
| Capex | 24.2 | 5.9 | 4.1 | 6.6 | 7.0 |
| Depreciation & amortization | 5.9 | 7.1 | 7.2 | 7.3 | 7.5 |
| R&D | 3.6 | 3.6 | 3.5 | 3.7 | 3.9 |
| EBITDA | 7.0 | 10.7 | 12.9 | 14.1 | 16.0 |
| **ROE** | **0.3%** | **4.7%** | **9.0%** | **4.4%** | **5.6%** |
| | | | | | |
| No of average shares (mn) | 34.1 | 37.1 | 37.1 | 37.1 | 37.1 |
| EPS (JPY) | 7.6 | 106.4 | 214.1 | 105.0 | 137.3 |
| BPS (JPY) | 2,291.0 | 2,385.1 | 2,369.8 | 2,418.7 | 2,506.0 |
| DPS (JPY) | 40.0 | 32.0 | 63.0 | 45.0 | 52.5 |
| | | | | | |
| USD/JPY (Average) | 152.6 | 151.1 | 156.4 | 155.0 | 155.0 |

**Balance Sheet**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Total assets** | **141.4** | **151.6** | **148.4** | **151.4** | **153.1** |
| | | | | | |
| **Current assets** | **57.5** | **62.7** | **62.8** | **66.6** | **69.0** |
| Cash and cash equivalents | 26.6 | 29.0 | 24.5 | 27.1 | 27.8 |
| Accounts receivable | 13.8 | 16.0 | 19.8 | 20.8 | 22.1 |
| Inventories | 13.4 | 13.5 | 14.2 | 14.5 | 14.8 |
| Other financial assets | 3.6 | 4.3 | 4.3 | 4.3 | 4.3 |
| **Fixed assets** | **83.9** | **88.8** | **85.6** | **84.7** | **84.1** |
| Tangible fixed assets | 71.5 | 74.5 | 71.3 | 70.5 | 69.8 |
| Intangible fixed assets | 3.2 | 3.0 | 2.9 | 2.9 | 2.9 |
| Other non-current assets | 9.2 | 11.3 | 11.3 | 11.3 | 11.3 |
| | | | | | |
| **Current liabilities** | **15.9** | **24.8** | **23.2** | **22.1** | **21.1** |
| Short term borrowings | 3.3 | 9.9 | 7.5 | 6.2 | 4.9 |
| Accounts payable | 5.0 | 3.2 | 4.0 | 4.2 | 4.5 |
| Other current liabilities | 7.6 | 11.7 | 11.7 | 11.7 | 11.7 |
| **Fixed liabilities** | **47.3** | **38.1** | **37.1** | **39.4** | **38.9** |
| Long term borrowings | 41.2 | 35.5 | 34.5 | 36.8 | 36.3 |
| Other fixed liabilities | 6.1 | 2.6 | 2.6 | 2.6 | 2.6 |
| | | | | | |
| **Net assets** | **78.1** | **88.6** | **88.0** | **89.8** | **93.1** |
| | | | | | |
| **Total liabilities and equity** | **141.4** | **151.6** | **148.4** | **151.4** | **153.1** |

**Cashflow Statement**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| **Cash flow from operating activities** | **8.1** | **9.1** | **11.6** | **10.3** | **11.4** |
| EBIT | 1.3 | 5.3 | 9.3 | 5.6 | 7.4 |
| Depreciation | 5.9 | 7.1 | 7.2 | 7.3 | 7.5 |
| Changes in Receivables | 0.3 | -1.6 | -3.8 | -1.0 | -1.3 |
| Change in inventory | 0.7 | 0.5 | -0.8 | -0.2 | -0.4 |
| Changes in Payables | -0.5 | -0.9 | 0.8 | 0.2 | 0.3 |
| Other | 0.5 | -1.3 | -1.1 | -1.6 | -2.2 |
| **Cash flow from investing activities** | **-23.9** | **-7.1** | **-4.1** | **-6.6** | **-7.0** |
| Purchase of PP&E | -25.1 | -7.5 | -4.0 | -6.5 | -6.9 |
| Sales of PP&E | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Other | 1.1 | 0.4 | -0.1 | -0.1 | -0.1 |
| **Cash flow from financing activities** | **11.3** | **-0.5** | **-5.2** | **-1.0** | **-3.7** |
| Net Change In Borrowings | 13.2 | 0.7 | -3.4 | 1.0 | -1.8 |
| Purchace of treasury shares | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| Cash dividend paid | -1.8 | -1.1 | -1.8 | -1.9 | -1.9 |
| Other | -0.1 | -0.1 | 0.0 | 0.0 | 0.0 |
| Effect of exchange rate changes | 0.2 | 1.1 | -6.8 | -0.2 | 0.0 |
| Changes in cash and cash equivalents | -4.4 | 2.6 | -4.5 | 2.6 | 0.7 |
| **Cash and cash equivalents at end of the period** | **26.6** | **29.0** | **24.5** | **27.1** | **27.8** |
| | | | | | |
| **FCF** | **-15.8** | **2.0** | **7.5** | **3.7** | **4.4** |

**Sales by customer region**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| Japan | 16.5 | 18.3 | 22.2 | 23.3 | 24.5 |
| North America | 11.0 | 11.5 | 14.1 | 14.0 | 14.4 |
| Asia | 24.5 | 28.7 | 37.1 | 40.7 | 44.7 |
| Europe | 12.1 | 13.8 | 16.1 | 16.2 | 16.6 |
| (YoY) | | | | | |
| Japan | -9% | 11% | 21% | 5% | 5% |
| North America | -3% | 5% | 22% | 0% | 3% |
| Asia | 5% | 17% | 29% | 10% | 10% |
| Europe | 2% | 14% | 17% | 1% | 2% |

**Sales by customer region**

| (JPY bn) | F3/25 | F3/26 | F3/27e | F3/28e | F3/29e |
|---|---|---|---|---|---|
| Automotive | 34.7 | 37.4 | - | - | - |
| Industrial | 7.1 | 8.5 | - | - | - |
| Home appliance | 3.1 | 3.2 | - | - | - |
| Communication | 4.5 | 5.6 | - | - | - |
| Power supply | 3.2 | 4.0 | - | - | - |
| Others | 11.7 | 13.5 | - | - | - |
| (YoY) | | | | | |
| Automotive | 4% | 8% | - | - | - |
| Industrial | -21% | 20% | - | - | - |
| Home appliance | 1% | 5% | - | - | - |
| Communication | 12% | 26% | - | - | - |
| Power supply | 10% | 26% | - | - | - |
| Others | -9% | 16% | - | - | - |

Note: e = Morgan Stanley Research estimates
Source: Company Data, Morgan Stanley Research

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|---|---|---|---|---|---|---|---|
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## INDUSTRY COVERAGE: Electronic Components

| COMPANY (TICKER) | RATING (AS OF) | PRICE* (10/21/2026) |
|---|---|---|
| **Shoji Sato** | | |
| ALPS ALPINE (6770.T) | E (10/06/2026) | ¥2,101 |
| Hamamatsu Photonics (6965.T) | E (06/17/2026) | ¥2,129 |
| Ibiden (4062.T) | O (08/04/2026) | ¥9,500 |
| Kyocera (6971.T) | E (06/25/2020) | ¥3,552 |
| Mabuchi Motor (6592.T) | E (11/03/2022) | ¥1,731 |
| Minebea Mitsumi (6479.T) | E (10/23/2025) | ¥3,284 |
| Murata Manufacturing (6981.T) | O (11/26/2025) | ¥6,756 |
| Nidec (6594.T) | NR (09/05/2025) | ¥1,762 |
| Niterra (5334.T) | O (01/17/2024) | ¥3,513 |
| Taiyo Yuden (6976.T) | E (09/16/2026) | ¥9,253 |
| TDK (6762.T) | O (08/02/2022) | ¥2,903 |
| **Sota Harashima** | | |
| CMK (6958.T) | E (02/28/2025) | ¥776 |
| Daishinku (6962.T) | U (06/17/2026) | ¥748 |
| Hirose Electric (6806.T) | O (07/10/2024) | ¥24,305 |
| IRISO Electronics (6908.T) | E (08/02/2022) | ¥2,722 |
| Japan Aviation Electronics Industry (6807.T) | E (01/17/2024) | ¥2,691 |
| KOA (6999.T) | E (06/17/2026) | ¥2,061 |
| Meiko Electronics (6787.T) | O (09/29/2026) | ¥20,950 |
| Nichicon (6996.T) | E (11/10/2021) | ¥2,292 |
| Nihon Dempa Kogyo (6779.T) | E (03/07/2024) | ¥2,843 |
| Nippon Chemi-Con (6997.T) | U (09/20/2024) | ¥1,729 |

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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